Before the Public Service Commission

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY

Rebuttal Testimony

of

The Revenue Requirements Panel

Case 19-G-0309

September 18, 2019

Case 19-G-0309

Rebuttal Testimony of the Revenue Requirements Panel

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Rebuttal Testimony of the Revenue Requirements Panel

I. Introduction

Q. Please introduce the members of the Revenue Requirements Panel.

A. The Panel consists of James M. Molloy, David B. Doxsee, and Stephanie A. Briggs.

Q. Is this the same Panel that previously submitted direct, supplemental, and corrections and updates testimony in this proceeding?

A. Yes. The terms defined in the Panel's direct testimony have the same definitions here.

Q. What is the purpose of the Panel's rebuttal testimony?

A. The Panel responds to various adjustments proposed by Staff and intervenors in their direct testimonies dated August 30, 2019. In particular, the Panel addresses the following subjects: (i) proposed revenue adjustments; (ii) proposed O&M expense adjustments; (iii) regulatory deferrals; (iv) proposed adjustments to taxes other than income taxes; (v) rate base adjustments; (vi) federal income tax adjustments; and (vii) proposed changes to depreciation. In addition, the Panel addresses adjustments proposed by Staff that the Company previously agreed to adopt in information request ("IR") responses or agrees to adopt in rebuttal, and

also addresses corrections to Staff's exhibits and testimony that the Company has identified.

Q. Does the Company respond to each of Staff's and the intervenors' proposed adjustments and recommendations?

A. No. In this testimony, as well as the rebuttal testimony of the other Company witnesses, the Company is only responding to certain issues. Where the Company accepts an adjustment or agrees with an issue, such acceptance or agreement is explicitly acknowledged. The Company's silence on a particular adjustment or recommendation should not be construed as acceptance or waiver of a particular issue or as creating precedent for any future proceeding. The Company relies on its direct, supplemental, and corrections and updates testimonies as support and justification for those items not specifically addressed in its rebuttal testimony.

Q. How has the Panel organized its rebuttal testimony?

A. The rebuttal testimony addresses proposed adjustments following the general order the adjustments are presented in the Staff Revenue Requirements Panel's ("SRRP") Exhibit __ (SRRP-2), Schedules 7a through 7c.

Q. Does the Panel sponsor any exhibits?

A. Yes. The Panel sponsors the following exhibits that were prepared by or under the supervision and direction of one or all members of the Panel and that, in all cases, refer to KEDNY.

Exhibit ___ (RRP-1R)	Summary Revenue Requirements Pages
Exhibit ___ (RRP-2R)	Net Utility Plant and Depreciation Expense
Exhibit ___ (RRP-3R)	Other Taxes Adjustment
Exhibit ___ (RRP-4R)	Relevant Portions of Company IR Responses
Exhibit ___ (RRP-5R)	Staff IR Responses

Q. In rebuttal, the Panel references various IR responses. Where can those responses be found?

A. The Company's IR responses referenced by the Panel have been compiled in Exhibit ___ (RRP-4R) except for those responses included as exhibits to Staff's direct testimony. Because of the size of some of the responses, the Company included only relevant pages and attachments. Staff's responses to Company IRs referenced herein have been compiled in Exhibit ___ (RRP-5R).

II. Overall Revenue Requirement

Q. Is the Company proposing any changes to the revenue requirement in this filing?

A. Yes. The Company's corrections and updates filing reflected a revenue requirement of $195.6 million. Based on the Company's review of the direct testimony filed by Staff and the intervenors, as well as discovery submitted since the time of the corrections and updates filing, the Company has accepted several adjustments and reflected certain updates to the revenue requirement. Exhibit ___ (RRP-1R) sets forth the Company's position on each of the adjustments proposed by Staff.

In addition, the revenue requirement reflected in the corrections and updates filing assumed the NESE project would be completed by the winter of 2020/2021. In this rebuttal filing, the Company adjusted the revenue requirement to assume the NESE project will not be completed within that timeframe. Specifically, the Company includes adjustments that were identified in its supplemental filing, which the Staff Revenue Requirements Panel ("SRRP") reflected in Exhibit ___ (SRRP-2), Schedule 7a, together with certain other adjustments (*e.g.,* an updated revenue forecast and updates/corrections discussed by the Company's GIOP). In principle, the

Company agrees with the need for the additional no-NESE project adjustments reflected by the SRRP in Exhibit ___ (SRRP-2), Schedule 7b, but disagrees with the calculation of some of those adjustments. In addition, the Company disagrees with the adjustment to Other Initiatives listed in that schedule, as discussed by the Future of Heat Panel. The Company included the agreed adjustments in the revenue requirement. Any disagreement is discussed below.

Q. What is the updated Rate Year revenue requirement?

A. The updated revenue requirement is $190.491 million.

Q. Does the Panel have any general comments regarding the adjustments proposed by Staff to the revenue requirement?

A. Yes. It is important for the Commission to recognize that, in total, the adjustments and proposals made by Staff, if adopted, would provide a level of rate relief that would not provide the Company with the revenues needed to provide safe and reliable service to customers, earn a reasonable return on its investment, continue to attract capital on commercially reasonable terms, and deliver on the Commission and State's clean energy goals. Staff proposes a return on equity of 8.2 percent, which would be the lowest ROE approved for a gas distribution utility in the United States. Moreover,

although Staff says throughout its testimony that the Company should invest at levels the Company deems appropriate, Staff's proposals effectively deny the Company funding for programs and investments it believes are critical to advancing safety and reliability. Indeed, in many cases, Staff's proposals would require the Company to absorb material costs of doing business. Specific examples include:

- *Information Technology*. A disallowance of $114.4 million of the Company's projected capital IT investments that must be incurred to modernize the Company's aging infrastructure and enable key customer and operations programs.
- *GBE Program*. A disallowance of more than $57 million in costs that will need to be incurred for the benefit of customers to progress the project, which is needed to build a modern platform that enhances safety and supports customer demands.
- *Unidentified Savings*. An adjustment to impute more than $9 million in incremental, unidentified savings on top of the more than $36 million in savings already reflected in the Rate Year.
- *Newtown Creek*. An adjustment that effectively requires the Company to fund a portion of the costs of the Newtown Creek project notwithstanding the agreement in the Joint Proposal in the

2016 KEDNY and KEDLI Rate Cases that the Company would proceed with the project.

Future of Heat. Virtually no funding for the Company's Future of Heat programs, which are designed to advance cost-effective, reliable, heating sources that help reduce carbon emissions on the gas network.

In addition to proposing significant disallowances of costs that the Company will need to incur in the Rate Year, Staff also proposes a series of downward-only true-ups for costs associated with full-time equivalents, Service Company IT rent expense, paving, GBE, and credit cards. At the same time, Staff rejects the limited true-ups sought by the Company for costs over which it has limited control such as property taxes and CSC O&M spending. The proposed downward only true-ups effectively preclude the Company from retaining efficiencies found to offset the costs that Staff proposes to disallow and thus achieve the additional productivity that Staff proposes to impute. On top of this, Staff proposes to modify the Company's performance metrics substantially, adding more stringent targets, but not providing funding to meet these new targets. These proposals effectively result in a further disallowance of costs by increasing the likelihood that the Company will incur negative revenue adjustments.

The combined effect of all of Staff's adjustments is that the Company would be saddled with the lowest ROE authorized in recent years for a gas utility and, at the same time, effectively precluded from earning it. This end-result is unreasonable and unjustified and creates grave concern as to whether the Company will be able to continue to attract necessary capital on commercially reasonable terms in an environment in which the Company is facing increased opposition to any sales growth in its business and is experiencing a supply constraint that, along with Staff's proposals in this filing, is effectively foreclosing it from pursuing current growth opportunities.

Over the term of its current rate plan, the Company has invested billions of dollars in its gas distribution network to support safe operations, met and exceeded all customer and gas performance metrics, and improved its compliance performance year over year. In that same time period, the regulatory landscape has seen significant changes that will likely have material impacts on the Company's costs and programs going forward. The proposed rate plan was designed to address in a balanced manner issues raised by Staff and other stakeholders and take important step changes necessary to lead the transition to New York's energy future. As discussed herein, as well as through the Company's direct and rebuttal testimonies,

the recommendations advanced by Staff in this proceeding would not achieve a similar result.

III. Operating Revenues Adjustments

Q. Please summarize Staff's proposed adjustments to Operating Revenues.

A. Staff proposed three adjustments to Operating Revenues that are reflected in Exhibit __ (SRRP-2), Schedules 7a, 7b, and 7c. The first adjustment was made to reduce Operating Revenues to reflect the unavailability of the NESE project. The second adjustment was made to reflect the Company's latest sales forecast. Although the Company agrees these adjustments are required, the Company does not agree with Staff's calculations of the adjustments. The rebuttal testimony of the Company's Rate Design Panel provides the correct calculations. The third adjustment reflects the Staff Policy Panel's ("SPP") recommendation to impute $3.281 million in revenues associated with the Newtown Creek project.

Q. Does the Company agree with the adjustment related to the Newtown Creek project?

A. No. As discussed in the rebuttal testimony of the Company's Future of Heat Panel, the Company disagrees with this adjustment.

IV. O&M Expense Adjustments

Q. Please summarize Staff's proposed adjustments to O&M expense.

A. Staff's proposed adjustments to O&M expense are shown in Exhibit ___ (SRRP-2), Schedules 7a, 7b, and 7c.

A. Consultants

Q. Does Staff make any adjustments to consultants expense?

A. Yes. The SRRP proposes to disallow $1.146 million in costs associated with work performed by a consultant, AlixPartners LLP, in the Historic Test Year. The basis for the adjustment is the SRRP's belief that these charges will not recur in the Rate Year.

Q. Does the Company agree with Staff's proposed disallowance?

A. No. As explained in the response to IR DPS-806, the Company uses consultants like AlixPartners LLP to provide services aimed at ensuring the efficient delivery of the IT portfolio. While the SRRP contends that "it is

not reasonable" for the Company to use a consultant to perform this type of work again in the Rate Year (at 15-16), the Company submits that it would be unreasonable and imprudent if it did not. The IT portfolio is ever-changing to keep pace with evolving customer and stakeholder needs. The Company will continue to engage the services of consultants like AlixPartners LLP to look proactively for ways to maintain existing efficiencies and ensure the effective operation of the portfolio. Such work would be expected of any major company with an IT portfolio as large as the Company's – especially given the potential benefits that could accrue to customers from this work. Therefore, these costs are fully expected to recur in the Rate Year and should not be adjusted from the cost of service.

Q. In support of its position, the SRRP contends (at 16-17) that individual work performed by AlixPartners LLP such as work to refresh the Company's IT strategy will not recur because the Company has already undertaken this work. Does the Company agree with the SRRP's position?

A. No. The SRRP's view of what constitutes recurring work is too narrowly focused. This is just one item under a broad category of work that is done to manage the IT portfolio. Although this specific item may not recur every year, that does not mean that other work to evaluate and assess the IT

portfolio will not recur. For instance, work to assist with contract negotiations, work to analyze system investments, and benchmarking with other organizations is all work that consultants such as AlixPartners LLP provide and will continue to provide in the Rate Year.

Q. Is there an additional reason why the SRRP's adjustment should be rejected?

A. Yes. As explained in the response to IRs DPS-931 and DPS-933, the work performed by AlixPartners LLP resulted in annual run rate savings of $22.1 million, of which $16.6 million is reflected in the revenue requirement in the Rate Year and Data Years. Therefore, customers received a significant benefit from the very work for which the the SRRP seeks to disallow cost recovery. This further shows the unreasonableness of the SRRP's proposed adjustment.

B. <u>Contractors</u>

Q. Did Staff propose any adjustments to contractors expense?

A. Yes. The SRRP proposed two adjustments to contractors expense.

Q. Please explain the first adjustment.

A. The first adjustment reflects a correction to contractors expense associated with Local Law 30 that the Company inadvertently did not include in corrections and updates. The adjustment reduces contractors expense by $5.201 million.

Q. Does the Company agree with this adjustment?

A. Yes.

Q. Please discuss the second adjustment.

A. The SRRP proposes an adjustment to snow removal costs based on the use of a three-year average, which it asserts (at 22) "will smooth out the year to year changes" and "produce a more reasonable Rate Year forecast." The adjustment reduces contractors expense by $1.263 million.

Q. Does the Company agree with this adjustment?

A. No. The Company believes that use of the Historic Test Year to forecast snow removal costs is reasonable and appropriate. Two main reasons support the Company's position.

First, use of the Historic Test Year treats customers and the Company fairly over time. This expense has been forecast the same way in several past National Grid rate cases, and Staff has never proposed using a different methodology. In KEDNY's last rate case, the rate allowance for snow removal expense was approximately $0.689 million. Actual expenses in calendar years 2017 and 2018 (rate years 1 and 2 of the current rate plan) were $1.8 million and $3.337 million, respectively. Calendar year 2019 (rate year three) expense to date is $2.115 million with certain winter months still forthcoming. Utilizing the SRRP's proposed three-year average in this case is inconsistent with the historic forecasting methodology and there is no reason to believe that it will result in a more accurate forecast of Rate Year expense.

Q. What is the second reason for why the SRRP's proposal is unreasonable?

A. Use of a consistent forecasting methodology helps minimize controversy by avoiding situations such as the one here where parties pick and choose different methodologies depending on the end-result. Notably, the SRRP is not proposing to use a three-year average to calculate KEDLI's snow removal expense, but instead is using the Historic Test Year expense as the

basis for the Rate Year forecast. For all these reasons, the SRRP's adjustment should be rejected.

C. Other Expense

Q. Did Staff propose an adjustment to other expense?

A. Yes. The Staff Accounting Panel ("SAP") proposes a 25 percent reduction to the Company's Historic Test Year costs associated with violations and fines incurred for work performed in New York City.

Q. What is the basis for the SAP's proposal?

A. The SAP contends (at 18) that a 25 percent cost reduction is a "conservative approach" to reflect process improvements undertaken by the Company to reduce the number of violations and fines and to account for violations and fines the SAP believes result from circumstances under the Company's control. This adjustment reduces the revenue requirement by $0.920 million.

Q. Did the SAP provide any calculation or prepare any analysis showing that a 25 percent reduction in violations and fines is in fact achievable?

A. No. The SAP simply claimed (at 18-19) that it is "reasonable to assume the benefits" associated with the Company's existing process improvements

will "come to fruition prior to the end of the Rate Year" without providing any support for how the additional benefits could be achieved.

Q. Does the Company agree with the SAP's position?

A. No. The SAP's position completely disregards the realities of performing work in New York City. As the Company explained in the response to IR DPS-550, these costs are incurred in the ordinary course of business as the Company must regularly excavate in streets and sidewalks in one of the largest and most densely populated metropolitan areas in the country. While the Company takes precautions to avoid violations and fines, given the nature of many of the Company's projects, these costs are not cost-effectively avoidable above the level of reductions that the Company has already achieved. As explained in the response to IR DPS-550, these violations are often the result of unanticipated field conditions (*e.g.*, subsurface facilities, parking conditions, heavy traffic) that require the Company to work in a larger area or for a longer period than was contemplated at the time the permit was secured. The Company could take additional measures solely for purposes of avoiding violations, such as repeated demobilizations and remobilizations to avoid working past permit times, but such measures would not be as efficient and would result in more customer disruptions. Thus, while the Company will continue its efforts to

avoid violations and fines to the extent possible, it believes that these charges are a reasonable and unavoidable cost of doing business in its service territory and should be fully recoverable from customers.

Q. Please respond to the SAP's assertion that the Company's process improvements will result in a 25 percent reduction in violations and fines.

A. As described in the SAP's testimony (at 14-17), the Company has implemented numerous process improvements to mitigate this cost. What the SAP fails to recognize, however, is that these process improvements have kept these costs from increasing even higher and that the Historic Test Year reflects the reasonably expected results from these efforts. A 25 percent improvement beyond these efforts is simply unreasonable. Specifically, achieving the reductions to date was difficult and many resulted from initiatives that could be easily implemented at the time but are not repeatable. Additionally, even with KEDNY's efforts to obtain reductions in this area, the expectations of the New York City Department of Transportation ("DOT"), which continues to expand its code enforcement resources and capabilities, are fluid and evolving such that new areas triggering fines and violations could emerge. For example, KEDNY recently has experienced increased scrutiny on issues related to traffic flow

and pedestrian accessibility – areas that have not been a major focus in the past and which are resulting in more fines despite the Company's prudent efforts. For instance, the Company's procedures require that, for leak investigations, excavations be kept open to vent trapped gas readings to make the area safe before permanent repairs can be made. This requires the Company to barricade the excavation to avoid pedestrian injury. The DOT, however, requires that the full width of the sidewalk be kept open outside of the time stated on the permit, thus bringing the Company's work into conflict with DOT requirements.

Q. In proposing its adjustment, did the SAP address the impact that the Company's increased capital plan will have on this cost element?

A. No, they did not. While the Company strives to react to changing expectations and continuously improve in these areas, the issue is further compounded by the significant expansion of the Company's work plan, including increased CSC work and LPP targets, above Historic Test Year levels. As the Company explained in the response to IR DPS-928, an increase in the amount of permitted work will likely result in more fines. While KEDNY will continue its ongoing efforts to reduce the number of fines and violations received and work with the DOT where possible, the costs are ultimately an unavoidable cost of doing business in New York City

and are not expected to significantly decrease in the coming years. Accordingly, a 25 percent adjustment is not reasonable or achievable given the issues experienced in the field and the significant increase in work that will occur in the Rate Year.

D. Service Company Rent Expense

Q. Does Staff make any adjustments to Service Company rent expense?

A. Yes. The Staff Information Technology Panel ("SITP") proposes four adjustments to Service Company rent expense.

Q. Please describe the SITP's first adjustment.

A. The SITP proposes to remove the costs associated with the Community Distributed Generation Low Income Bill Discount program.

Q. Does the Company agree with the SITP's proposal?

A. The Company acknowledged in response to IR DPS-620 that the costs of the project should be removed. However, as explained in the rebuttal testimony of the Company's IT Panel, there is an error in the SITP's calculation of the adjustment.

Q. Please describe the SITP's second adjustment.

A. Staff recommends an adjustment of $3.553 million to Rate Year Service Company rent expense to reflect its reduction of the Service Company return on assets rate from 8.52 percent to 7.58 percent.

Q. Does the Company agree with the SITP adjustment?

A. In principle, the Company agrees that, for ratemaking purposes, the ROE for the Service Company asset recovery should match KEDNY's ROE. Because the Company's position on KEDNY's ROE differs from Staff's, the Company is setting the Service Company ROE to match KEDNY's ROE as supported by Company Witness Bulkley.

Q. Did the SITP have any other adjustments to the return used for the Service Company asset recovery?

A. Yes, the SITP adjusted the Service Company debt rates to match those used to calculate KEDNY's rate of return.

Q. Does the Company agree with the SITP's debt adjustment?

A. No. The Service Company has its own debt, which should be the basis for setting the return for the Service Company asset recovery. Company Witness Jonathan Cohen addresses this adjustment in his rebuttal testimony.

Q. Please describe the SITP's third adjustment.

A. The SITP proposes to disallow capital expenditures of $57.4 million associated with the GBE Program. This adjustment results in a $2.136 million reduction to the revenue requirement.

Q. Does the Company agree with this adjustment?

A. No. As discussed in the rebuttal testimony of Company Christopher Connolly, the Company disagrees with this adjustment.

Q. Please describe the SITP's fourth adjustment.

A. The SITP recommends a forecasting adjustment to the Company's IT capital expenditures, resulting in a reduction to the revenue requirement of $4.572 million.

Q. Does the Company agree with this adjustment?

A. No. The Company's IT Panel responds to this adjustment in its rebuttal testimony. Additionally, the IT Panel explains the errors it identified in the SITP's calculation of the adjustment.

Q. Did Staff make any other recommendations that would affect the Company's Service Company rent expense?

A. Yes. The SITP proposes a downward only Service Company Rents IT and GBE Program capital tracker. The rebuttal testimony of the Company's IT Panel and Company Witness Christopher Connolly respond to this recommendation.

E. Labor Expense

Q. Please summarize Staff's adjustments to labor expense.

A. Staff recommends two adjustments to labor expense.

Q. What is the first adjustment recommended by Staff?

A. Staff Witness Gadomski (at 17) proposes reducing the Company's management wage increase of 3.35 percent (which was implemented on July 1, 2019) and the projected wage increase of 3.1 percent for subsequent years to 3.0 percent. The adjustment deceases the Company's labor expense forecast by $0.270 million.

Q. Does the Company agree with Mr. Gadomski's proposed adjustment?

A. No. As indicated in the rebuttal testimony of Company Witness Heaphy, the Company does not agree with Mr. Gadomski's testimony on this issue and does not accept the proposed adjustment.

Q. Please explain Staff's second adjustment to labor expense.

A. The SRRP proposes (at 24-29) imputing a vacancy rate to the Company's labor forecast of KEDNY employees based on their assumption that the Company's forecast does not account for vacancies. The SRRP developed their vacancy rate of 3.16 percent by dividing the number of unfilled positions within KEDNY by the targeted employee level for that company. The SRRP's adjustment was specific to FTEs who directly charge time to KEDNY and did not include Service Company employees whose time is allocated to KEDNY. The adjustment reduces the Company's Rate Year labor expense forecast by an additional $2.759 million.

Q. Does the Company agree with the SRRP's application of a vacancy rate to the labor expense forecast?

A. No. To develop the labor forecast, the Company used adjusted headcounts for KEDNY and the Service Company as of December 31, 2018 (the end of the Historic Test Year). The December 31st headcounts only included

positions *actually filled* by employees as of that date. It did not include positions that were open or vacant at that time, even though such positions existed.

Table 1 below depicts open positions (those positions approved to be filled) and positions pending approval at calendar-year end 2018 for all National Grid companies, including KEDNY and employees that may allocate or directly charge time to the Company. None of these vacancies were included in the Company's labor forecast. Therefore, the SRRP's assumption that the Company's labor forecast does not account for vacancies is incorrect. Indeed, the Company's forecast does assume that vacancies as of December 31, 2018 will continue to occur in the Rate Year just in a different manner than the SRRP proposes. Rather than applying a separate vacancy rate to the forecast, the Company entirely removed any actual vacancies from the labor forecast. In doing so, the Company bears the financial risk of vacancies that were not included in the headcount but may be filled after the end of the Historic Test Year. As such, application of a vacancy rate to the previously reduced labor expense forecast is a double count of vacant positions.

Table 1 – National Grid Open Positions as of CYE 2018

Designated Company for Position (Management)	Open	Pending Approval	Total Open Positions
Service Company	438	162	600
KeySpan Gas East Corporation	5	3	8
The Brooklyn Union Gas Company	8	1	9
All other Companies	16	7	23
Total Positions	467	173	640

Designated Company for Position (Represented)	Open	Pending Approval	Total Open Positions
Service Company	124	6	130
KeySpan Gas East Corporation	4	9	13
The Brooklyn Union Gas Company	58	1	59
All other Companies	169	66	235
Total Positions	355	82	437

Q. Was it appropriate for the SRRP to exclude Service Company employees from its vacancy analysis?

A. No. Table 2 below compares the headcounts approved in the 2016 KEDNY and KEDLI Rate Cases, which were based on headcounts as of September 30, 2015, to the December 31st headcounts used by the Company for the labor forecast in the current rate filing.

Table 2 – Headcount 2016 Rate Cases vs. December 31, 2018 Headcount

	KEDLI	KEDNY	Service Co.
Headcounts Approved in 2016 Rate Cases			
Management	142	189	4,033
Union	626	1,328	1,563
Total	768	1,517	5,596
Headcounts as of December 31, 2018			
Management	74	120	5,307
Union	631	1,349	1,595
Total	705	1,469	6,902
Variance (December 2018 vs September 2015)			
Management	(68)	(69)	1,274
Union	5	21	32
Total	(63)	(48)	1,306

While the Company agrees with the SRRP that there were less KEDNY employees in 2018 than requested and filled in the 2016 KEDNY and KEDLI Rate Cases, the same cannot be said for Service Company employees. Indeed, Table 2 shows there were more Service Company employees who may allocate their time or a portion of their time to KEDNY, as of December 31, 2018, than were included in the 2016 KEDNY and KEDLI Rate Cases. In addition, the Service Company variance between those years is significantly higher than the variance for KEDNY employees during that same period.

Q. Is the methodology to forecast labor expense in this case consistent with the methodology previously utilized in past KEDNY, KEDLI, and Niagara Mohawk rate cases?

A. Yes. The labor expense forecast methodology used in this case is the same methodology used in the 2016 KEDNY and KEDLI Rate Case, the 2017 Niagara Mohawk Rate Case, and the 2012 Niagara Mohawk Rate Case. In those cases, Staff accepted the methodologies without applying a vacancy rate adjustment. No adjustment should be applied in this case either.

Q. Is there an additional reason why the SRRP's adjustment should be rejected?

A. Yes. In IR NG-07, the Company asked Staff to confirm if it was their position that vacancies were not included in the Company's December 31, 2018 headcounts. Staff replied, among other things, that the Company did not apply a vacancy rate for the projected incremental FTEs.

Q. Why is the reference to incremental FTEs significant?

A. Because it further demonstrates the unreasonableness of the SRRP's adjustment. The incremental FTEs proposed by the Company were forecast based on the incremental work required in the Rate Year. Application of a vacancy rate to incremental FTEs, as the SRRP asserts, is illogical as it

results in an insufficient number of FTE needed to perform the incremental work, the majority of which is dedicated to gas safety programs.

F. Transportation Expense

Q. Please describe the SRRP's proposed adjustment to the Company's forecast of transportation expense.

A. The SRRP proposes (at 42) a downward adjustment of $0.619 million to the lease component of transportation expense. The adjustment is based on the SRRP's belief that the Rate Year costs are "excessive" because the Company forecasts replacing 180 more vehicles from the end of the Historic Test Year through the end of the Rate Year than it had during the prior three-year period.

Q. Does the Company agree with the SRRP's adjustment?

A. No. The Company's forecast of replacement vehicles is based on a detailed fleet plan that carefully considers the type of vehicle, the age of the vehicle, maintenance history, and work for which the vehicle is utilized to develop a projected replacement date for each vehicle.

In KEDNY's last rate proceeding, Staff proposed an adjustment of $0.732 million in transportation lease expense, which was reflected in the Joint

Proposal adopted by the Commission. To manage its vehicle replacements within this rate allowance, the Company modified its vehicle replacement schedule to stretch out the lifecycle of certain vehicles. This adjustment increased the average age of vehicles that are needed to provide service to the Company's customers and help maintain and operate the gas network. The Company estimates that the replacement of approximately 88 vehicles, calculated by dividing the $0.723 million lease expense adjustment from the previous rate case by the $8,205 average per vehicle cost calculated by Staff in Exhibit ___ (SRRP-4), were delayed by this adjustment and therefore included in the forecast of replacements in this case.

Q. The SRRP asserts (at 39) that because the Company has in the past utilized vehicles with expired lease dates it is "inappropriate" to assume that vehicles with expiring leases will be replaced in the Rate Year. Is this a fair assumption?

A. No. The lease end date is based on the expected lifecycle of each vehicle. While the timing of replacements varies depending on the specific conditions of the vehicles (*e.g.,* depending on the performance or usage of the vehicle, the asset life may fall short of or exceed the planned lifecycle),

in general each vehicle with a lease term that has expired should be replaced to ensure reliable fleet operations.

While the Company was able to increase the average age of its fleet over the past three years to stay within the budgeted rate allowance without unduly compromising reliability, this cannot continue indefinitely if the Company hopes to maintain a reliable vehicle fleet. The Company needs to replace more vehicles than it has in the past three years to restore the reliability of the vehicle fleet to its optimal level. The Company does not believe that deviating from the planned lifecycle replacement is reasonable or in the best interests of customers, as it will lead to higher maintenance costs and potentially compromise the integrity of the Company's vehicle fleet. Moreover, the SRRP has submitted no evidence that rebuts or contradicts the reasonableness of the Company's replacement schedule, and instead unreasonably substitutes its own judgement in place of the Company's fleet plan. For these reasons, the SRRP's adjustment should be rejected.

G. Other Initiatives

Q. Does Staff recommend adjustments to other initiatives?

A. Yes. Staff recommends a total of 25 adjustments to other initiatives expense. For purposes of clarity, the Panel grouped the adjustments into categories.

Future of Heat

Q. Please summarize Staff's adjustments related to the Company's Future of Heat proposals.

A. Staff proposes 12 adjustments related to the Company's Future of Heat proposals. *See* Adjustment Nos. 17(f)(3), (7)-(13), (15), and (19)-(20) to Exhibit ___ (SRRP-2), Schedule 7c and Adjustment No. 12(a) on Schedule 7b of that exhibit. The adjustments include: (i) removing the costs of the Hydrogen Blending Study, the Expanded Geothermal Pilot, and the Renewable Natural Gas Interconnections programs; (ii) reducing the number of incremental FTEs needed for the Green Gas Tariff, Geothermal, Demand Response, Utility Energy Services Contract ("UESC"), and Renewable Natural Gas and Non-Pipeline Alternative programs; (iii) disallowing a portion of the costs of the Fuel Switching Calculator program; (iv) reflecting the costs of the UESC program in the ETIP instead of base rates; (v) removing EM&V costs; and (vi) moving recovery of the non-labor

costs of the Demand Response program from base rates to the Delivery Rate Adjustment surcharge.

Q. Does the Company agree with these adjustments?

A. No. The rebuttal testimony of the Future of Heat and Rate Design Panels discuss the Company's objections to these adjustments.

GIOP and Gas Safety

Q. Please summarize Staff's adjustments related to programs supported by the Company's GIOP and Gas Safety Panels.

A. Staff proposes eight adjustments related to programs supported by the Company's GIOP and Gas Safety Panels. *See* Adjustment Nos. 17(f)(1), (4)-(6), (16)-(18), and (22) to Exhibit ___ (SRRP-2), Schedule 7c. The adjustments include: (i) reducing the number of incremental FTEs required to support the Company's Contractor Safety Inspection, Enhanced Methane Detection, Storm Hardening, Integrity Management and Verification, and capital programs; (ii) moving the costs of the Storm Hardening beyond the Rate Year; (iii) disallowing costs associated with the Pipeline Integrity – Integrity Management Program (PHMSA Rules); and (iv) moving the costs of the Low-Pressure Main Valve Installation program from the capital

program to O&M expense and offsetting those costs with a portion of the existing negative revenue adjustment balance.

Q. Does the Company agree with Staff's adjustments?

A. As explained in the rebuttal testimony of the GIOP and Gas Safety Panels, the Company agrees with some adjustments but disagrees with others.

Q. Does the Company agree with Staff's recommendation to use a portion of the existing negative revenue adjustments to fund the costs of certain safety programs?

A. In principle, while the Company is not against using the existing negative revenue adjustments to fund safety programs, the Company is concerned about how much of the balance should be used. The Company's position related to amortization of regulatory deferrals is discussed in more detail below. In addition, the Gas Safety Panel discusses the Company's opposition to using negative revenue adjustments to fund the costs of the Low-Pressure Main Valve Installation program.

IT

Q. Please summarize Staff's adjustments related to IT costs.

A. Staff proposes two adjustments. The first adjustment relates to the O&M and run the business costs associated with the SITP's forecasting adjustment

to the Company's IT capital expenditures. The second adjustment removes the operating costs associated with the Company's Customer Information System project. *See* Adjustment Nos. 17(f)(21) and (23) to Exhibit ___ (SRRP-2), Schedule 7c.

Q. Does the Company agree with Staff's adjustments?

A. No. The Company's objection to these adjustments is discussed in the rebuttal testimony of the IT Panel.

Flow-Through Adjustments

Q. Please summarize Staff's flow-through adjustments to other initiatives expense.

A. The SRRP reflects two flow-through adjustments related to Mr. Gadomski's proposed management wage increase factor and use of the SRRP's labor burden rates. *See* Adjustment Nos. 17(f)(2) and (14) to Exhibit ___ (SRRP-2), Schedule 7c.

Q. What is the Company's position with respect to these flow-through adjustments?

A. While the Company agrees in principle that flow-through adjustments would be required if the Commission were to adopt the Staff's proposals,

because the Company disagrees with the underlying adjustments, the Company's position is that the proposed flow-through adjustments, with the exception of the update to burden rates as stated in the Company's response to IR DPS-877, are not necessary.

New Hire True-Up

Q. Does the Company agree with the SRRP's proposed downward-only tracker for incremental FTEs (at 47-48)?

A. No. There is no basis for a downward-only true up of labor expense, especially in a one-year case. The new hire true-up was agreed to as part of the comprehensive settlement establishing a multi-year rate plan in the 2016 KEDNY and KEDLI Rate Cases. A similar reconciliation was not included in the 2017 NMPC Rate Case.

H. Productivity

Q. Does the Company agree with Staff's adjustment to productivity?

A. The Company agrees that productivity should be adjusted to reflect the labor adjustments adopted in this proceeding. Staff's adjustment, however, reflects labor adjustments that the Company disagrees with, as discussed above.

I. Uncollectible Expense

Q. Does Staff make any adjustments to the Company's forecast of uncollectible expenses?

A. Yes. The SAP recommends (at 6) an adjustment of $0.621 million to reduce Rate Year uncollectible expense. The adjustment is based on the SAP's use of a three-year average uncollectible rate calculated using the period June 2016 to May 2019. The rebuttal testimony of the Company's Shared Services Panel discusses the Company's objection to this adjustment.

Q. Has the Company identified errors in the SAP's calculation of its proposed adjustment?

A. Yes. The Company found two errors in SAP's uncollectible expense adjustment. The first error resulted from the SAP applying its proposed uncollectible rate to the Company's corrections and updates tariff revenues at present rates, which reflected the availability of the NESE project. The second error was the calculation of the proposed uncollectible rate. The SAP confirmed these errors in its response to IR NG-06, which is included in Exhibit___(RRP-5R).

J. SIR Expense

Q. Does Staff recommend an adjustment to the Company's forecast of SIR expense?

A. Yes. The Staff SIR Panel (at 29) recommends a downward adjustment of $15.168 million. The rebuttal testimony of Company Witness Chuck Willard discusses the Company's objection to this adjustment.

Q. Please address PULP's recommendation with respect to SIR costs.

A. PULP claims (at 23-24) that shareholders should bear 100 percent of future SIR costs if the Company earns above its allowed return pursuant to an earnings sharing mechanism established as part of a multi-year rate plan. While PULP makes a passing reference to the section of the Commission's SIR Generic Order that sets forth the reasons utility shareholders may be held responsible for a portion of SIR costs, it cites no evidence or analysis to demonstrate that the Company requires an incentive to carry out SIR activities in a cost effective manner, which is a prerequisite for requiring shareholders to absorb SIR costs. Indeed, KEDNY's cost control efforts are well documented, follow the Commission's best practices inventory set forth in the SIR Generic Order, and have been reviewed by Staff in this and other proceedings and found to be reasonable. PULP conducted no discovery on the Company's cost mitigation strategies and procurement

practices and offered no testimony to suggest the Company's practices were inadequate or imprudent. In fact, PULP's only argument, a blanket statement that shareholders should, in equity, bear a portion of these costs was rejected by the Commission in the SIR Generic Order and, most recently, by the Commission in the 2016 KEDNY and KEDLI rate case when PULP made the same argument.

K. Savings

Q. What level of savings is typically reflected in a rate filing?

A. Rate cases traditionally include a productivity adjustment on the premise that well-run companies should be able to find a modest measure of efficiencies in the rate year. The adjustment is typically calculated as one percent of total labor expense and payroll taxes in recognition of how difficult it is to achieve savings year after year. In this case, the traditional productivity adjustment would result in efficiencies totaling $3.894 million. The Company, however, has proposed to provide customers with more than $36 million in savings in the Rate Year – a level *more than eight times* the traditional productivity adjustment. The SRRP asserts that $9.475 million of additional efficiencies should be imputed above this level. If the SRRP's position were adopted, this would equate to savings of more than 11 times

the traditional productivity adjustment, which is simply unrealistic and not supported.

Q. Will the level of savings reflected by the Company in the rate filing be difficult to achieve?

A. Yes. It is a challenge for any business to achieve a one percent efficiency reduction each year let alone eight times that number. In its filing, the Company committed to reduce its costs through an ambitious effort (the Accelerate Program), despite that many of the initiatives to achieve these reductions are difficult and potentially not sustainable. Indeed, the Company is working tirelessly to reduce its costs to mitigate bill impacts for customers while continuing to invest to assure reliability and advance our systems for the future.

To reduce costs to the magnitude the Company proposes in this filing requires major changes to people, processes, and systems. This requires time and effort. There is a major risk that the savings will not be realized because competing priorities will distract from the Company's ability to deliver the initiatives. For example, new work, changes in law, new regulatory requirements, changes in customer expectations, or major weather events could all impact the Company's ability to progress

initiatives or deliver savings. Staff's filing further exacerbates this risk through their proposals to disallow costs that the Company will need to incur in the Rate Year to ensure the delivery of safe and reliable service.

Q. The SRRP asserts that savings associated with Implementation Level ("IL") 3 Accelerate Program initiatives should be imputed into the revenue requirement, contending that savings from these initiatives "have been identified and quantified," and been defined by the Company as "bankable" (at 56-57). Does the Panel agree?

A. No. While IL3 Accelerate Program initiatives have been assigned an initial estimate of potential savings, the estimate is aspirational as the business has not taken any of the steps that are necessary to implement the initiative. In IL3, the business develops a plan to implement an initiative. Until each step in the implementation plan has been completed, whether the initiative can be delivered and the savings ultimately achieved is unknown. As the Company explained in the response to IR DPS-755, "bankable" means that the Company is willing to invest the time and resources into pursuing the initiative, as the Company has limited resources to dedicate to implementing initiatives. This does not mean that the initiative can actually deliver savings, however. There are risks that this initial estimate, which is really a placeholder to prioritize initiatives, may never materialize or may

change materially. These risks include changes in assumptions as the initiative progresses, delays in implementation, or cancelation of the initiative because, despite the Company's efforts, the implementation plan could not be delivered (*e.g.*, a vendor may not be willing to provide a volume discount or a new contract to reduce costs could not be negotiated). Therefore, contrary to the SRRP's position, IL3 estimates are not quantified let alone known and measurable, which is the standard for inclusion in the revenue requirement. Rather, IL3 estimates are speculative and unidentified efficiency initiatives that are properly subsumed within the traditional productivity adjustment.

In the Panel's direct testimony, we explained the rigorous process undertaken to progress initiatives. Each initiative must pass through implementation levels ranging from IL0 (purely an idea) to IL5 (fully implemented), where they are scrutinized by groups from the Company's Finance, Regulation and Pricing, and Business Units, among others. It is not until IL4 where an initiative undergoes implementation. In IL4 the business has completed the steps in its implementation plan that are a prerequisite to achieving benefits. The SRRP's proposal ignores this process that was implemented to provide transparency to the business and

its regulators of the full amount of savings that were achieved, and the simple fact that initiatives in IL3 are entirely uncertain.

Q. The SRRP further asserts (at 58) that initiatives "move quickly through implementation levels, meaning initiatives currently at Level Three will soon be at Levels Four or Five, and thus, savings will likely accrue during the Rate Year." The SRRP also claims (at 57) that few IL3 initiatives are canceled. What is the Panel's response to these statements?

A. As explained in the response to IR DPS-755, initially, initiatives moved quickly through the various implementation levels because they were already in flight at the beginning of the Accelerate Program. However, that movement occurred during the earlier stages of the program. Now that the program is past the inaugural period, the movement of initiatives has slowed.

In addition, while the Company agrees that certain initiatives in IL3 can move to ILs 4 and 5 quickly, that movement depends on whether the initiative can be easily implemented. With respect to the initiatives currently in IL3 for which the SRRP is proposing to impute the associated savings to the Company, on average, these initiatives have been in IL3 for

more than 150 days – more than five times the 26 day average an initiative that can be easily implemented typically moves from IL3 to IL4. Given the length of time these initiatives have been stalled in IL3, it is highly unlikely these initiatives will progress to implementation and deliver the aspirational savings estimated.

Moreover, the response to IR DPS-758 provides the key milestones necessary to complete the implementation plans for the top ten IL3 initiatives impacting the Company. The response shows that key steps in at least five of the ten initiatives are either late or have not yet been planned. Further, in progressing Initiative No. 14707, it was determined that the scope of the initiative was similar to that of Initiative No. 15464. Therefore, Initiative No. 14707 was canceled. Similarly, the viability of Initiative No. 17509 is being questioned as the solution has not been piloted. These examples, along with the accumulation of aged initiatives currently in IL3, further demonstrate the inherent uncertainty surrounding IL3 savings estimates and the unreasonable of the adjustment.

Q. Are there additional challenges that impact the deliverability of IL3 initiatives in the Rate Year?

A. Yes. The revenue requirement proposed by Staff, which provides material disallowances to costs necessary to run the business, presents significant challenges. For example, Initiative Nos. 953 and 3600, two initiatives in IL3 that impact the Company, are contingent upon IT investments to deliver the planned savings. The SITP's proposal to disallow approximately $114 million of IT costs calls into question the ability of the Company to deliver these initiatives. If the SITP's recommendation is adopted, the Company will need to re-prioritize IT investments that could lead to the cancelation of these initiatives. Similarly, various Staff witnesses propose a litany of new reporting obligations in IT, customer, and gas operations, among other areas. This is incremental work that was not contemplated at the time the IL3 and other Accelerate Program initiatives were planned and will require the Company to re-valuate priorities, further challenging the Company's ability to progress IL3 and other initiatives.

Q. Are certain IL3 initiatives already captured in the revenue requirement?

A. Yes. As explained in the response to IR DPS-762, because the Company separately forecast facility-related projects, the savings from Initiative No.

3705 are captured in the revenue requirement. Additionally, the benefits from Initiative No. 24734 are embedded in the forecast of transportation expense.

Q. Did the Company already account for the possibility that IL3 initiatives may move to IL4 or IL5 for purposes of forecasting the revenue requirement?

A. Yes. The Company recognizes that IL3 initiatives may be delivered in the Rate Year. However, as explained above, the level of savings from these initiatives is uncertain. To account for the uncertainty associated with IL3 initiatives, the Company included a one percent productivity adjustment to capture the possibility that these initiatives may move to IL4 or IL5 in the Rate Year. Therefore, the SRRP's proposed imputation is a double count of the productivity adjustment already reflected by the Company.

Given the level of savings already reflected in the revenue requirement, it would have been reasonable for the Company to have foregone including a productivity adjustment. However, in the interest of mitigating bill impacts and full transparency, the Company believed it was appropriate to include the productivity adjustment to account for the possibility that IL3 initiatives may be delivered in the Rate Year. In that regard, the one percent

productivity adjustment is about half of the aspirational estimates in IL3 currently that impact KEDNY and KEDLI, which demonstrates the reasonableness of the Company's proposal. Additionally, the Company captured the IL3 initiatives a second way. Under its multi-year rate plan proposal, the Company included the full forecast of Rate Year savings and held those amounts constant across each of the Data Years (with inflation).

Q. Why is this significant?

A. It is significant because the Accelerate Program ends in the Rate Year. Therefore, the Company is assuming the risk that it can sustain this level of savings in future years. While the SRRP characterized the Company's proposal as "irrelevant" (at 56) because this effort does not impact the Rate Year, the Company's proposal would result in savings of more than $156 million through the term of the Company's proposed rate plan. Combined with KEDLI, the amount of savings proposed to be reflected for customers is more than $222 million. This is an unprecedented level of savings that is anything but "irrelevant" and fully captures potential IL3 initiatives for customers.

Q. Please summarize the Company's position concerning the SRRP's proposed imputation of the IL3 initiatives.

A. There is no reasonable basis for the Commission to adopt the SRRP's position. The SRRP's position is essentially built around the possibility that IL3 initiatives may move to IL4 and IL5. This is purely speculative, however, and the SRRP has provided no rationale basis for including unknown savings in the revenue requirement. The Company, at all times throughout this filing, has been transparent in the savings reflected. As the Company explained in the response to IR DPS-916, while many initiatives could arguably have been removed as one-time in nature, the Company included all initiatives in IL4 and IL5 to mitigate customer bill impacts. The $32.483 million in Accelerate Program savings plus the $3.894 million in productivity to capture the IL3 initiatives is reasonable and should be adopted. The Company should not be penalized by including preliminary savings estimates from initiatives that have not yet been delivered – and may never be. Rather, the Companies should be encouraged to be innovative and test concepts without the fear that preliminary and aspirational estimates will be held against them. The savings adjustments proposed by the SRRP would have a chilling effect on future savings programs that benefit customers.

Q. The SRRP's recommends (at 52) removing the costs to achieve the Accelerate program savings. Does the Company agree with this recommendation?

A. No. The costs to achieve were incurred to deliver the forecast savings included in the case. It is therefore unreasonable to disallow those costs without also removing the savings. If it is truly the SRRP's position that the $0.211 million in costs to achieve reflected in the Rate Year should be disallowed, then the Accelerate Program savings delivered as a result of those costs should be removed. Indeed, this result would be completely consistent with past positions taken by Staff in previous rate proceedings that the costs of new initiatives should not be reflected in rates if the savings are not included.

Q. The SRRP also recommends (at 50) an adjustment to reflect the latest known savings projections associated with IL4 and IL5 initiatives and reflect the savings associated with two initiatives that were inadvertently not included in the Company's corrections and updates filing. What is the Company's position with respect to these two adjustments?

A. The Company agrees with these two adjustments.

L. Economic Development

Q. Does Staff propose any adjustments to the Company's Economic Development program costs?

A. Yes. The rebuttal testimony of the Company's Future of Heat Panel responds to Staff's proposed adjustment as well as program changes recommended by the Staff Consumer Services Panel ("SCSP").

M. Paving Expense

Q. Does the Company agree with the SRRP's proposed downward adjustment of $1.177 million to paving expense?

A. Yes. The Company agreed to this adjustment in the response to IR DPS-869.

Q. Does the Company agree with the SRRP's proposed downward-only tracker for paving expense (at 63)?

A. No. There is no basis for a downward-only deferral of paving expense. Staff has remarked several times throughout its filing in opposing the few symmetrical true-ups proposed by the Company (*e.g.*, property tax, CSC O&M expense) that deferrals are generally not required in a one-year rate case. As part of a multi-year plan, the Company would be willing to support

a full symmetrical reconciliation of paving expense but is opposed to a downward only reconciliation.

V. Taxes Other Than Income Taxes

A. Property Taxes

Q. Please explain Staff's adjustments to KEDNY's property taxes.

A. The SAP recommends (at 34-35) use of a three-year average growth rate based on calendar year data instead of the two-year growth rate based on fiscal year data recommended by the Company. The rebuttal testimony of the Company's Shared Services Panel responds to this adjustment.

Q. Does Staff propose any additional recommendations relating to property taxes?

A. The SAP recommends (at 38) elimination of the property tax reconciliation mechanism, asserting "there is no need to allow for a property tax reconciliation in a one-year rate case." The Company disagrees with this recommendation. As discussed by the Shared Services Panel, eliminating the property tax reconciliation would place undue risk on customers and the Company even in a one-year case.

B. Payroll Taxes

Q. Does the Company agree with Staff's adjustment to payroll taxes?

A. The Company agrees that payroll taxes should be adjusted to reflect the labor adjustments adopted in this proceeding. Staff's adjustment, however, reflects labor adjustments that the Company disagrees with, as discussed above.

C. Other Taxes

Q. Please describe Staff's adjustment to Other Taxes.

A. In the Historic Test Year, the Company established a sales tax reserve of $0.223 million related to KEDNY's current sales/use tax audit that covers the period June 2015 to August 2018. The SAP asserts (at 27) that because a portion of the reserve relates to a time period outside the Historic Test Year, an adjustment of $0.184 million is required.

Q. Does the Company agree with the proposed adjustment?

A. The Company agrees in principle with the adjustment but disagrees with the calculation. The adjustment made by the SAP reflects only eight months of costs in the Historic Test Year (January 2018 through August 2018). The total amount incurred in the Historic Test Year was $0.068 million, as shown in Exhibit ___ (RRP-3R). Therefore, an adjustment to add back

\$0.024 million to the SAP's proposed adjustment should be made to reflect a complete year.

VI. Federal Income Taxes

Q. How did the Company propose to reflect the amortization of the annual Excess Deferred Income Taxes ("EDIT") for the unprotected plant and non-plant balances resulting from the Tax Cuts and Jobs Act in the rate filing?

A. The Company proposed to amortize the balances over 44 years in accordance with the manner in which protected EDIT was amortized under the Average Rate Assumption Method ("ARAM") required by the Internal Revenue Service normalization rules.

Q. What is Staff's position on this issue?

A. The SAP (at 46) rejects the use of the ARAM and instead proposes a 10-year amortization period for the unprotected plant and non-plant balances. The proposal is premised upon that use a shorter period will more rapidly reduce the revenue requirement and return the tax benefits to customers quicker rather than any analysis.

Q. Does the Company agree with the SAP's use of a 10-year amortization period?

A. No. The Company believes the amortization period should match the service life of the asset. If the unprotected EDIT is returned to customers over 10-years, as proposed by the SAP, there would be a mismatch for over 30 years in which customers would receive benefits before the Company receives the cash benefits. Moreover, if the SAP's proposal is adopted, future changes to tax rates could result in the Company having to collect money from customers that it previously returned. For these reasons, the Company submits that its proposal to align the amortization life with the reversal of the temporary differences is more equitable and in the best interests of customers.

VII. Regulatory Assets and Liabilities

A. Deferral Balances

Q. What is Staff's position regarding the Company's proposed treatment of legacy deferral balances?

A. The SAP agrees (at 41-42) with the Company's proposal to net together several inactive deferral accounts (identified in Table 7 of the Panel's direct testimony) and create a single account with a credit balance of

approximately $3.5 million, indicating that these accounts have been audited.

Q. Does the Company agree with the SRRP's (at 67) proposal to amortize the regulatory liability balance amounts associated with gas safety negative revenue adjustments, unexpended energy efficiency funds, and unexpended economic development funds?

A. Although in principle the Company is not against using a portion of regulatory liabilities to offset gas safety, energy efficiency, and economic development programs costs, the Company is concerned about how much of the balance should be used. The Company has on its books a significant regulatory asset balance that is not being proposed to be recovered from customers. Therefore, the Company believes a balance must be struck between the appropriate level of regulatory liabilities to use now and future rate mitigation efforts. The rebuttal testimony of the Company's Gas Safety Panel and the Future of Heat Panel provide additional testimony addressing the SRRP's proposal.

Q. Does the Company have anything else to add regarding gas safety negative revenue adjustments?

A. Yes. The Company disagrees with the statement in the testimony of the Staff Pipeline Safety Panel (at 40) that the Company missed the Damage Prevention metric in 2018 resulting in a negative revenue adjustment. The Company's Gas Safety Panel discusses the Company's specific objection to Staff's assertion in its rebuttal testimony. While it does not appear that the SRRP has included the alleged negative revenue adjustment in the balance that it is proposing to amortize, the Company's position is that it did not miss the metric and did not incur a negative revenue adjustment.

B. <u>New and Existing Deferrals</u>

Q. Does Staff recommend any changes to the new deferrals or the modifications to existing deferral mechanisms proposed by the Company?

A. Yes. Various Staff witnesses propose removing or modifying many of the new and existing deferrals. The Company's position is discussed in the rebuttal testimonies of the GIOP, IT, Shared Services, and Future of Heat Panels and Company Witness Christopher Connolly.

Q. Does Staff recommend any new deferral mechanisms?

A. Yes. In addition to the downward-only new hire and paving expense deferral discussed above, various Staff witnesses recommend a number of new deferrals. The rebuttal testimony of the Company's GIOP, IT, Shared Services, and Future of Heat Panels and Company Witness Christopher Connolly respond to Staff's proposals.

C. Earnings Sharing Mechanism

Q. The Staff Policy Panel ("SPP") recommends (at 12-14) that the Commission establish an Earnings Sharing Mechanism ("ESM") for the Companies for each 12-month period following the Rate Year. Does the Panel agree with this recommendation?

A. No, we do not. ESMs are typically a feature of multi-year rate plans that are submitted to the Commission as joint proposals that reflect the broad agreement of most, if not all, parties to Commission rate proceedings. It is our understanding that the Commission only recently imposed an ESM in a litigated one-year rate proceeding. From our perspective, imposing ESMs in litigated cases would be poor regulatory policy in that it would discourage the Companies from finding ways to manage their businesses in a manner that minimizes the need for time consuming and expensive rate proceedings. Moreover, the SPP's ESM recommendation essentially

requests the Commission to impose a mechanism that would confiscate a portion of the Companies' earnings without making a finding as to what a just and reasonable ROE would be in years beyond the Rate Year or conducting the process that is typically followed in establishing utility rates.

Q. Please explain.

A. In this case, the Commission is setting rates that it will determine to be just and reasonable for a Rate Year beginning April 1, 2020 and ending March 31, 2021. Among the decisions being made is the appropriate ROE that should be applied to the Company's rate base during this period. As the Commission is aware, the just and reasonable ROE changes over time. However, if this case is litigated, the Commission will make no finding as to what the appropriate ROE for the Company will be for any period beyond the Rate Year. At the same time, however, under the SPP's ESM mechanism in years beyond the Rate Year, the Company could be required to forfeit a portion of its earnings regardless of whether those earnings would, depending on capital market conditions at the time, be no greater than the amount needed to enable the Company to earn a compensatory ROE. Such a result would be procedurally defective and substantively confiscatory.

The Commission has the ability under the Public Service Law to monitor the Company's earnings and take appropriate action to the extent that it believes that the Company's rates are producing excessive returns. There is no need for the Commission to impose an ESM to ensure that rates remain just and reasonable and it is quite possible that the results of imposing such a mechanism would not be just and reasonable. For these reasons, the SPP's ESM recommendation should be rejected.

VIII. Rate Base

A. Net Plant and Depreciation Expense – Plant in Service Model

Q. How did Staff forecast the Company's net utility plant in service and depreciation expense?

A. Staff used the Company's plant in service model and applied its proposed capital plan adjustments, flow-through adjustments for cost of removal, and depreciation rates to the model.

Q. What is the rate base and depreciation expense impact of Staff's proposed forecast?

A. Staff's proposed adjustments, in total, decrease the Company's Rate Year net utility plant in service by $83.366 million and depreciation expense by $17.931 million.

Q. Does the Company agree with Staff's proposed adjustments to net utility plant in service and depreciation expense?

A. No. The Company's GIOP responds to Staff's proposed adjustments to the Company capital plan, while Company Witness Paul M. Normand addresses Staff's proposed depreciation rates.

Q. Did the Company identify any errors in Staff's net utility plant and depreciation adjustments reflected in Exhibit ___ (SRRP-2)?

A. Yes. In reviewing Staff's adjustments, the Company identified the following five errors:

(i) Staff double-counted the adjustments to exclude the NESE project in Exhibit ___ (SRRP-2).

(ii) Staff did not correctly reflect the capital adjustments described in their testimony in Exhibit ___ (SGIOP-4). In some instances, Staff described an adjustment in testimony, but Exhibit ___ (SGIOP-4) did not reflect the adjustment. In other cases, there were adjustments in the exhibit that were not discussed in testimony.

(iii) Staff did not correctly reflect the capital adjustments described in testimony and in Exhibit ___ (SGIOP-4) in the net utility plan and

depreciation forecast that ultimately was included in Staff's revenue requirement presentation in Exhibit ___ (SRRP-2).

(iv) Staff did not consistently reflect the capital adjustments to the Newtown Creek projects revenue requirement described in the SPP's testimony in Exhibit ___ (SGIOP-4) and Exhibit ___ (SRRP-2).

(v) Staff miscalculated the annual depreciation accrual for KEDNY presented in Exhibit ___ (SRRP-2).

Q. Did Staff agree with these errors and, if so, what corrections are required to Staff's adjustments to Rate Year net utility plant and depreciation expense?

A. Staff agreed with the errors noted above in the responses to IRs NG-10 through NG-14. These corrections change Staff's proposed Rate Year net utility plant and depreciation expense downward adjustments from $83.366 million and $17.931 million to $56.367 million and $14.329 million, respectively.

B. Earnings Base/Capitalization/Working Capital Adjustment

Q. Please describe your understanding of the Earnings Base/Capitalization ("EB/CAP")/Working Capital adjustments recommended by the SRRP.

A. In its filing, KEDNY proposed to make a normalization adjustment to its proposed EB/CAP calculation and an offsetting adjustment to a separate working capital component in the Historic Test Year to isolate and explicitly identify a CSC accounts receivable balance of $58.744 million. The $58.774 million adjustment represents the outstanding balance of capital and operating expenditures that the City of New York ("NYC") is required to reimburse KEDNY for capital expenditures that KEDNY has incurred to enable NYC to execute its municipal work plan. The outstanding balance results from the fact that there is a considerable period of time between when KEDNY incurs reimbursable CSC costs and when those costs are reimbursed by NYC.

In addition to the Historic Test Year CSC adjustment, KEDNY proposed to make a CSC-related working capital adjustment to reflect the projected increase in working capital associated with reimbursable CSC expenditures between the end of the Historic Test Year and the end of the Rate Year. This adjustment increased Rate Year rate base by $28.273 million. This

adjustment reflects the fact that the balance of reimbursable CSC costs is projected to increase as a result of both an increase in CSC work and the continued lag in the time it will take NYC to reimburse KEDNY for its CSC expenditures.

While the SRRP acknowledges that there is no revenue requirement impact associated with Historic Test Year CSS adjustment of $58.744 million, the SRRP nonetheless opposes this adjustment as well as the proposed Rate Year adjustment. The SRRP's recommendation would reduce KEDNY's rate base by $28.273 million.

Q. Do you agree with the SRRP's recommendations concerning KEDNY's proposed CSC-related working capital adjustments?

A. No. The proposed adjustments would unreasonably require KEDNY's shareholders to bear the entire cost of financing $28.273 million of CSC-related expenditures that KEDNY is required to incur to assist NYC. These CSC-related costs are prudently incurred by KEDNY to fulfill its obligations to NYC. There is no sound reason for prohibiting KEDNY from recovering the cost of financing these reasonable expenditures during the period in which they remain unreimbursed.

Q. The SRRP (at 78) asserts that the Commission should reject KEDNY's proposed CSC working capital adjustment because the Commission has a long-standing practice of relying on the Federal Energy Regulatory Commission's ("FERC") formula for calculating the amount of working capital included in rate base. Do you agree with this assertion?

A. No, for two primary reasons. First, the FERC working capital formula establishes a level of working capital associated with a utility's O&M expenses. It provides a level of working capital equal to approximately 45-days of O&M expenses. The reimbursable CSC amounts are not part of KEDNY's O&M expenses and therefore the working capital associated with those amounts is not recovered through the application of the FERC formula. Second, it is our understanding that FERC itself follows a policy of applying the 45-day formula in the absence of hardships that would justify a departure from the established formula. The circumstances surrounding the reimbursable CSC expenditures would create an unreasonable hardship for KEDNY by forcing it to forego recovery of approximately $2.414 million of carrying charges in the Rate Year if its proposal to include the projected amount of reimbursable Rate Year CSC expenditures in rate base is rejected.

Q. Has the Commission previously recognized that there may be situations where the FERC working capital formula does not capture the impact of particular costs or revenues on the need for working capital such that an additional working capital adjustment is necessary to compensate a utility for the costs of financing a lag in the collection of costs or revenues?

A. Yes. In an Order dated June 1, 1992 in Case 90-G-0112, the Commission acknowledged that the recognition of unbilled revenue in the rates charged by the Long Island Lighting Company ("LILCO") created an additional financing requirement for LILCO that required compensation in excess of that provided by the FERC working capital formula. The reimbursable CSC expenditures for which KEDNY seeks a working capital adjustment in rate base are analogous to the unbilled revenues that were not supported by the FERC working capital allowance.

Q. The SRRP claims (at 81) that using the FERC formula and adopting the Company's proposal in this case would result in a double count. Do you agree?

A. No. On the contrary, it would result in permitting KEDNY to recover a proper amount of working capital associated with its O&M expenses and a proper amount of working capital associated with its reimbursable CSC

expenditures. As discussed above, the return on unreimbursed CSC costs is not recovered through the FERC working capital formula.

Q. The SRRP claims (at 82-83) that if KEDNY's proposed adjustment for working capital associated with reimbursable CSC-related expenditures is permitted then all items affecting working capital, such as income taxes, would have to be analyzed from a lead-lag perspective. Do you agree?

A. No. As the SRRP notes, the Commission adopted the FERC working capital formula in the early 1970s. At that time, the Commission was certainly aware that the formula explicitly captured working capital associated with O&M expenses but did not explicitly capture working capital associated with other non-O&M costs that were incurred at the time, such as income taxes. Thus, it is reasonable to conclude that the FERC formula was intended to provide a level of working capital that would compensate utilities for the costs they were incurring at the time the formula was adopted. However, KEDNY did not obtain the ability to seek reimbursement of CSC expenditures until the passage of the New York State Gas Facility Cost Allocation Act in 1988. Moreover, the amount of reimbursable CSC expenditures has grown dramatically in recent years due to an expansion of NYC's municipal construction program. Thus, contrary

to SRRP's claim, it would be completely reasonable and appropriate for the Commission to recognize a working capital adjustment for reimbursable CSC costs without making any other modifications to its policy of using the FERC formula to compensate utilities for the financing of costs that were a part of utility revenue requirements at the time the Commission adopted the FERC working capital formula.

Q. The SRRP further asserts (83-84) that the Commission should reject KEDNY's CSC-related working capital adjustment because it is equivalent to making a Rate Year adjustment to the historic EB/CAP adjustment. Do you agree with this assertion?

A. No. KEDNY is not seeking to change the Commission's method of determining the EB/CAP adjustment. Under KEDNY's proposal, the EB/CAP adjustment will continue to apply only to the Historic Test Year. KEDNY is instead seeking recovery of a single, material financing cost associated with reimbursable CSC expenditures that KEDNY will unavoidably incur during the Rate Year. The Commission's obligation to set just and reasonable rates mandates that it afford KEDNY the opportunity to recover the carrying cost associated with its Rate Year reimbursable CSC balance.

Q. The SRRP contends (at 84-89) that the Commission should reject KEDNY's CSC-related working capital adjustment because KEDNY has been "at least partially, at fault for and contributed to, the long lag time in getting reimbursed by the City for its reimbursable CSC costs." Do you agree?

A. No. The SRRP unreasonably utilizes KEDNY's efforts to improve the process of billing and recovering reimbursable CSC costs from NYC as a basis to deny KEDNY the opportunity to recover a carrying charge on prudently incurred reimbursable CSC costs. The primary cause of the backlog with respect to reimbursable CSC costs is the fact that NYC significantly increased its municipal work plan in 2017. This in turn increased CSC construction costs as well as requested reimbursements. In addition, NYC has also increased the audit scrutiny applied to reimbursable CSC costs, further increasing the payment lag. While KEDNY has been working with NYC representatives to attempt to improve the timing for processing CSC invoices, the simple fact of the matter is that NYC has policies and procedures in place that render it likely that there will be a 21-month lag between the time reimbursable CSC expenditures are booked and the time they are paid. The $28.273 million rate base adjustment proposed in this case for the Rate Year reflects KEDNY's reasonable efforts to speed up collection of reimbursable CSC costs. The fact that KEDNY has

attempted to speed up the recovery process provides no basis to require KEDNY to bear the full costs of financing unrecovered reimbursable CSC costs.

Q. The SRRP further asserts (at 89-91) that KEDNY's proposed working capital adjustment for CSC reimbursable expenditures should be rejected because KEDNY's cost sharing agreement with NYC does not include either a deadline for payment or the ability to assess late payment charges. Do you agree?

A. No. The Gas Facility Cost Allocation Act has no provisions that compels NYC to reimburse the Company for CSC costs within any particular timeframe or pay a late charge for failure to do so. In the absence of legislation to the contrary, KEDNY has no ability to compel NYC to modify the cost sharing agreement to include either a late payment charge or a firm payment deadline. While the Company will continue to try to reach an amended agreement with NYC, it is inconceivable that any such agreement will not provide NYC a significant amount of time to process, audit and pay KEDNY's reimbursable CSC costs. The 21-month period underlying KEDNY's cost recovery proposal in this case is the expected timeframe for payments from NYC for the foreseeable future.

Q. The SRRP also proposes (at 92-95) removing from rate base a $22.316 million regulatory asset for KEDNY associated with the cost sharing account because such costs are already reflected in the EB/CAP adjustment. Do you agree?

A. No. The regulatory asset associated with the cost sharing agreement was included in rate base in determining the Historic Test Year EB/CAP adjustment. It is inconsistent for the SRRP to remove the regulatory asset from the forecast but not from the EB/CAP adjustment. The SRRP acknowledged that this should be the case in its response to IR NG-19, which is included in Exhibit (RRP-5R). Making the appropriate adjustment to the EB/CAP calculation eliminates any revenue requirement impact of Staff's proposed adjustments.

Q. The SRRP asserts (at 96) that KEDNY's accounting practices with respect to reimbursable CSC expenditures could cause (i) plant in service balances to be overstated, and (ii) the unreasonable addition of interest onto the costs of reimbursable CSC capital projects due to the application of an Allowance for Funds Used During Construction ("AFUDC"). Do you have any comments concerning this assertion?

A. Yes. As the Panel previously discussed, there is no merit in the SRRP's speculation that KEDNY's practices with respect to reimbursable CSC

costs have been unreasonable in the past. As noted above, the primary cause of the increase in NYC's accounts receivable balance with respect to reimbursable CSC costs is the fact that NYC significantly increased its municipal work plan in 2017; not due to a delay in billing as the SRRP asserts. The Company reflects the billings to NYC after the work is completed and the project is closed to plant in service. When billing is performed, the Company credits the funding project and the balance is included in non-interest bearing CWIP. As a result, the gross capital investment closed to plant in service and the billing credit in non-interest bearing CWIP are both included in rate base resulting in a net capital investment and no change in earnings base. Additionally, AFUDC ceases to be accrued once the project is in service and closed to plant. The timing of when the Company bills the work and receives the reimbursement from NYC does not impact the earnings base or AFUDC. The billing adjusts plant; however, there is an equal and offsetting EBcap adjustment leaving earnings base unchanged. Therefore, the SRRP's assertion that plant could be overstated is incorrect.

IX. Flow-Through Adjustments

Q. Has the Company reflected any additional flow-through adjustments in its revenue requirement?

A. Yes. Changes to O&M expense have an impact on working capital requirements. Additionally, any change in rate base results in a change to return on rate base. Moreover, there are flow-through adjustments for productivity, payroll taxes, uncollectible expense, income taxes, and deferred taxes. The flow-through adjustments are reflected in Exhibit ___ (RRP-1R).

X. Conclusion

Q. Does this conclude the Panel's rebuttal testimony?

A. Yes.

INDEX OF EXHIBITS

Exhibit __ (RRP-1R):	Summary Revenue Requirements Pages
Exhibit __ (RRP-2R):	Net Utility Plant and Depreciation Expense
Exhibit __ (RRP-3R):	Other Taxes Adjustment
Exhibit __ (RRP-4R):	Relevant Portions of Company IR Responses
Exhibit__ (RRP-5R):	Staff IR Responses

Exhibit __ (RRP-1R)

Summary Revenue Requirement

The Brooklyn Union Gas Company d/b/a National Grid NY
PSC Case No. 19-G-0309
Statement of Operating Income - Company Rebuttal
For the Rate Year Ending March 31, 2021
($000's)

	C&U Filing Rate Year Ending March 31, 2021	Adj. #	Staff Adjustments	Company Adjustments to Staff Amounts	Rate Year Ending March 31, 2021	Base Revenue Increase Required	Rate Year Ending March 31, 2021 with Base Revenue Requirement
Operating Revenues	$ 1,875,172	1,9,16	$ (109,536)	$ 33,315	$ 1,798,951	$ 170,449	$ 1,969,400
Deductions							
Purchased Gas Costs	529,543	2,10	(97,275)	30,435	462,703		462,703
Revenue Taxes	65,303	3,11	(2,885)	709	63,127	5,981	69,108
Total Deductions	594,846		(100,160)	31,144	525,830	5,981	531,811
Gross Margin	1,280,326		(9,376)	2,171	1,273,121	164,468	1,437,589
Total Operation & Maintenance Expenses	670,976	4,12,17	(70,144)	60,285	661,117	1,556	662,673
Amortization of Regulatory Deferrals	18,521	18	(13,647)	13,647	18,521	-	18,521
Depreciation, Amort. & Loss on Disposition	159,342	5,18	(17,931)	17,814	159,225	-	159,225
Taxes Other Than Revenue & Income Taxes	180,800	20	(1,663)	1,503	180,640	-	180,640
Total Operating Revenue Deductions	1,029,639		(103,385)	93,249	1,019,503	1,556	1,021,059
Operating Income Before Income Taxes	250,687		94,009	(91,078)	253,618	162,912	416,530
Income Taxes							
Federal Income Taxes	24,816	6,13,21	7,604	(7,008)	25,412	31,345	56,757
State Income Taxes	11,793	7,14,22	8,071	(7,812)	12,052	13,652	25,704
Total Income Taxes	36,609		15,675	(14,820)	37,464	44,997	82,461
Operating Income After Income Taxes	$ 214,078		$ 78,334	$ (76,258)	$ 216,155	$ 117,915	$ 334,070
Rate Base	$ 4,965,422		$ (130,928)	$ 100,067	$ 4,934,561		$ 4,934,561
Rate of Return	4.31%				4.38%		6.77%

Note 1

	Present Rates	Proposed	Difference
Operating Revenues	$ 1,798,951	$ 1,969,400	$ 170,449
GRT	(63,127)	(69,108)	(5,981)
Purchased Power	(462,703)	(462,703)	-
Remove Tax Surcredit	(44,449)	-	44,449
Add back ETIP	18,426	-	(18,426)
Base Revenue Increase	$ 1,247,098	$ 1,437,589	$ 190,491

The Brooklyn Union Gas Company d/b/a National Grid NY
PSC Case No. 19-G-0309
Summary of O&M Expenses - Company Rebuttal
For the Rate Year Ending March 31, 2021
($000's)

		C&U Filing Rate Year Ending March 31, 2021	Adj. #	Staff Adjustments	As Adjusted by Staff Rate Year Ending March 31, 2021	Company Adjustments to Staff Amounts	Company Rebuttal Rate Year Ending March 31, 2021
	Operation & Maintenance Expenses:						
	Departmental Items:						
1	Consultants	$ 12,039	17(a)	(1,146)	$ 10,893	1,146	$ 12,039
2	Contractors	78,724	17(b)	(6,464)	72,260	1,263	73,523
3	Donations	-		-	-	-	-
4	Employee Expenses	5,022		-	5,022	-	5,022
5	Hardware	256		-	256	-	256
6	Software	6,114		-	6,114	-	6,114
7	Other	21,764	17(c)	(920)	20,844	920	21,764
8	Rents	8,366		-	8,366	-	8,366
9	Service Company Rents	43,746	17(d)	(10,323)	33,423	10,240	43,663
10	Construction Reimbursement	400		-	400	-	400
11	FAS 106	(2,389)		-	(2,389)	-	(2,389)
12	FAS 112	279		-	279	-	279
13	Health Care	17,377		-	17,377	-	17,377
14	Group Life Insurance	768		-	768	-	768
15	Other Benefits	526		-	526	-	526
16	Pension	11,313		-	11,313	-	11,313
17	Thrift Plan	7,010		-	7,010	-	7,010
18	Workers Comp	1,626		-	1,626	-	1,626
19	Materials Outside Vendor	4,274		-	4,274	-	4,274
20	Materials From Inventory	14,817		-	14,817	-	14,817
21	Materials Stores Handling	1,340		-	1,340	-	1,340
22	Postage	8,661		-	8,661	-	8,661
23	Total Labor	167,595	17(e)	(3,029)	164,566	3,029	167,595
24	Transportation	8,399	17( )	(619)	7,780	619	8,399
25	Energy Efficiency Program	18,879		-	18,879	(210)	18,669
26	Injuries & Damages	7,473		-	7,473	-	7,473
27	Other Initiatives	66,243	4(a), 12(a), 17(f)	(18,443)	47,800	18,158	65,958
28	Productivity Adjustment	(3,894)		38	(3,856)	(38)	(3,894)
29	Rate Case Expense	241		-	241	-	241
30	Regulatory Assessment Fees	7,509		-	7,509	-	7,509
31	Uncollectible Accounts	17,037	4(b), 17(h)	(1,503)	15,534	805	16,339
32	Site Investigation & Remediation Expenses	86,088	17(i)	(15,168)	70,920	15,168	86,088
33	Joint Facilities	-		-	-	-	-
34	Savings	(10,265)	17(j)	(10,790)	(21,055)	9,686	(11,369)
35	Legal	1,841		-	1,841	-	1,841
36	Accounting	2,589		-	2,589	-	2,589
37	Economic Development Program	500	17(k)	500	1,000	(500)	500
38	Low Income Program	25,466		-	25,466	-	25,466
39	Incentive Program	1,600	4(c)	(1,100)	500	-	500
40	Paving	31,642	17(l)	(1,177)	30,465	-	30,465
	Sub Total - Departmental	$ 670,976		$ (70,144)	$ 600,832	$ 60,285	$ 661,117
	TOTAL	$ 670,976		$ (70,144)	$ 600,832	$ 60,285	$ 661,117

The Brooklyn Union Gas Company d/b/a National Grid NY
PSC Case No. 19-G-0309
Federal Income Taxes - Company Rebuttal
For the Rate Year Ending March 31, 2021
(Whole Dollars)

	Company Rebuttal Position					
	Federal Taxable Income	Deferrable Basis	Book Taxable Income	@ the Statutory Rate	DFIT Reversals	Net FIT Before Rev Req
NET INCOME BEFORE FEDERAL & STATE INCOME TAXES	$ 253,618,498		$ 253,618,498	$ 53,260,000		$ 53,260,000
Interest	(105,599,634)		(105,599,634)	(22,176,000)		(22,176,000)
New York State Income Taxes	(12,051,977)		(12,051,977)	(2,531,000)		(2,531,000)
Flow-through Cost of Removal (through AFUDC)	(142,426)		(142,426)	(30,000)		(30,000)
Flow-through Depreciation	700,225		700,225	147,000		147,000
Flow-through Unamortized Debt	-		-	-		-
Flow-through Bond Redemption	-		-	-		-
Meals and Entertainment	95,000		95,000	20,000		20,000
GAIN ON REDEMPTION BONDS	-		-	-		-
Other -2	-		-	-		-
Other - 3	-		-	-		-
Tax Only Item - Rate Change	-		-	-		-
Tax Only Item - State Year 2000	-		-	-		-
Tax Only Item - 3	-		-	-		-
Excess ADIT Amortization						(3,278,217)
TOTAL FIT EXPENSE	$ 136,619,686	$ -	$ 136,619,686	$ 28,690,000	$ -	$ 25,411,783

21.00%

The Brooklyn Union Gas Company d/b/a National Grid NY
PSC Case No. 19-G-0309
State Income Taxes - Company Rebuttal
For the Rate Year Ending March 31, 2021
(Whole Dollars)

	Company Rebuttal Position					
	State Taxable Income	Deferrable Basis	Book Taxable Income	@ the Statutory Rate	DSIT Reversals	Net SIT Before Rev Req
NET INCOME BEFORE FEDERAL & STATE INCOME TAXES	$ 253,618,498		$ 253,618,498	$ 21,253,000		$ 21,253,000
Interest	(105,599,634)		(105,599,634)	(8,849,000)		(8,849,000)
Flow-through Cost of Removal (through AFUDC)	(142,426)		(142,426)	(12,000)		(12,000)
Flow-through Depreciation	700,225		700,225	59,000		59,000
Flow-through Unamortized Debt	-		-	-		-
Flow-through Bond Redemption	-		-	-		-
Meals and Entertainment	95,000		95,000	8,000		8,000
GAIN ON REDEMPTION BONDS	-		-	-		-
Other -2	-		-	-		-
Other - 3	-		-	-		-
Tax Only Item - Rate Change	-		-	-		-
Tax Only Item - State Year 2000	-		-	-	(407,023)	(407,023)
Tax Only Item - 3	-		-	-		-
Excess ADIT Amortization						
TOTAL SIT EXPENSE	$ 148,671,663	$ -	$ 148,671,663	$ 12,459,000	$ (407,023)	$ 12,051,977

8.38%

The Brooklyn Union Gas Company d/b/a National Grid NY
PSC Case No. 19-G-0309
Federal Income Taxes - Company Rebuttal
For the Rate Year Ending March 31, 2021
(Whole Dollars)

	Staff Adjusted					
	Federal Taxable Income	Deferrable Basis	Book Taxable Income	@ the Statutory Rate	DFIT Reversals	Net FIT Before Rev Req
NET INCOME BEFORE FEDERAL & STATE INCOME TAXES	$ 344,696,240		$ 344,696,240	$ 72,386,000		$ 72,386,000
Interest	(103,458,193)		(103,458,193)	(21,726,000)		(21,726,000)
New York State Income Taxes	(19,864,000)		(19,864,000)	(4,171,000)		(4,171,000)
Flow-through Cost of Removal	(142,000)		(142,000)	(30,000)		(30,000)
Flow-through Depreciation	700,000		700,000	147,000		147,000
Flow-through Unamortized Debt	-		-	-		-
Flow-through Bond Redemption	-		-	-		-
Meals and Entertainment	95,000		95,000	20,000		20,000
GAIN ON REDEMPTION BONDS	-		-	-		-
Other -2	-		-	-		-
Other - 3	-		-	-		-
Tax Only Item - Rate Change	-		-	-		-
Excess ADIT Amortization	-		-	(3,278,000)		(3,278,000)
Excess ADIT Amortization - Staff Adjustment	-		-	(10,928,000)		(10,928,000)
TOTAL FIT EXPENSE	$ 222,027,047	$ -	$ 222,027,047	$ 32,420,000	$ -	$ 32,420,000
	21.00%					

The Brooklyn Union Gas Company d/b/a National Grid NY
PSC Case No. 19-G-0309
Federal Income Taxes - Company Rebuttal
For the Rate Year Ending March 31, 2021
(Whole Dollars)

	Staff Adjusted					
	State Taxable Income	Deferrable Basis	Book Taxable Income	@ the Statutory Rate	DSIT Reversals	Net SIT Before Rev Req
NET INCOME BEFORE FEDERAL & STATE INCOME TAXES	$ 344,696,240		$ 344,696,240	$ 28,886,000		$ 28,886,000
Interest	(103,458,193)		(103,458,193)	(8,670,000)		(8,670,000)
Flow-through AFUDC	(142,000)		(142,000)	(12,000)		(12,000)
Flow-through Depreciation	700,000		700,000	59,000		59,000
Flow-through Unamortized Debt			-	-		-
Flow-through Bond Redemption			-	-		-
Meals and Entertainment	95,000		95,000	8,000		8,000
GAIN ON REDEMPTION BONDS	-		-	-		-
Other -2	-		-	-		-
Other - 3	-		-	-		-
Tax Only Item - Rate Change	-		-	(407,000)		(407,000)
Tax Only Item - State Year 2000	-		-	-		-
Tax Only Item - 3	-		-	-		-
TOTAL SIT EXPENSE	$ 241,891,047	$ -	$ 241,891,047	$ 19,864,000	$ -	$ 19,864,000
	8.38%					

The Brooklyn Union Gas Company d/b/a National Grid NY
PSC Case No. 19-G-0309
Summary of Rate Base - Company Rebuttal
For the Rate Year Ending March 31, 2021
($000's)

	C&U Filing Rate Year Ending March 31, 2021	Adj. #	Staff Adjustments	Rate Year Ending December 31, 2021	Company Adjustments to Staff Amounts	Company Rebuttal Rate Year Ending December 31, 2021
Net Utility Plant	$ 5,795,887	8(a),23(b)	$ (83,366)	$ 5,712,521	$ 58,848	$ 5,771,369
Regulatory Assets / Liabilities	40,816	23(c)	(22,316)	18,500	22,316	40,816
Accumulated Deferred Income Taxes - Federal	(973,048)	8(b),23(d)	12,628	(960,420)	(14,028)	(974,448)
Accumulated Deferred Income Taxes - State	(189,201)	8(c),23(e)	2,952	(186,249)	(3,559)	(189,808)
Working Capital						
Materials and supplies	113,951		-	113,951	-	113,951
Prepayments	107,530		-	107,530	-	107,530
O&M Cash Allowance (1/8 O&M exp)	81,742	8(d)1,15,23(f)3	(8,580)	73,162	7,435	80,597
Supply Cash Allowance (Dec 18 lead/lag study)	31,865		-	31,865	-	31,865
City/State Construction Accounts Receivable	58,744	23(f)1	(58,744)	0	58,744	58,744
Change in Supply Cash Allowance (4.77 % x RY PP exp)	(7,699)	8(d)2	(3,973)	(11,672)	783	(10,889)
Change in City/State Construction Accounts Receivable	28,273	23(f)2	(28,273)	0	28,273	28,273
subtotal Working Capital	414,406		(99,570)	314,836	95,235	410,071
subtotal avg. before EBCAP adj.	5,088,860		(189,672)	4,899,188	158,811	5,057,999
Excess Earnings Base adjustment	(123,437)	22(g)	58,744	(64,693)	(58,744)	(123,437)
Total Rate Base	$ 4,965,423		$ (130,928)	$ 4,834,495	$ 100,067	$ 4,934,562

Niagara Mohawk Power Corporation d/b/a National Grid
PSC Case No. 17-G-0239
Capital Structure - Company Rebuttal
For the Rate Year Ending March 31, 2021

Company's Rebuttal Capital Structure Forecast

	Total Annual Avg	Weighting Percent	Cost	Weighted Cost	Pre-Tax Weighted Cost
Long Term Debt	$ 2,560,964	51.58%	4.14%	2.13%	2.13%
Customer Deposits	21,055	0.42%	2.45%	0.01%	0.01%
Preferred Stock	-	0.00%	0.00%	0.00%	0.00%
Common Equity	2,383,403	48.00%	9.65%	4.63%	6.40%
Total	$ 4,965,422	100.00%		6.77%	8.54%

Staff's Capital Structure Forecast

	Total Annual Avg	Weighting Percent	Cost	Weighted Cost	Pre-Tax Weighted Cost
Long Term Debt	$ 2,492,882	51.56%	4.14%	2.13%	2.13%
Customer Deposits	21,055	0.44%	2.45%	0.01%	0.01%
Preferred Stock	-	0.00%	0.00%	0.00%	0.00%
Common Equity	2,320,558	48.00%	8.20%	3.94%	5.44%
Total	$ 4,834,495	100.00%		6.08%	7.58%

OTHER REVENUE REQUIREMENT INPUTS

Forecast Rate Year Rates to apply to Rev Req				
Bad Debt % for Rev Req	0.91%	0.91423%	Tax	$ 63,127
GRT rate for Rev Req	3.51%		Revenue	$ 1,798,951
Federal Income Tax rate	21.00%		GRT	3.5091006%
NYS Income Tax rate	8.38%	72.3798%		
Historic Year EBCAP	$ 32,828			
General Inflation (from 12/31/18 to 3/31/2021)	3.9570%			

The Brooklyn Union Gas Company d/b/a National Grid NY
PSC Case No. 19-G-0309
Company Rebuttal
Company Settlement to Staff Adjustments for the Rate Year Ending March 31, 2021
($000's)

		Staff Direct Amount		Company Adjustments to Staff Amount		Company Rebuttal Amount	
	Operating Revenues						
Adj. 1	To reduce Operating Revenues associated with NESE, Company adjustment	(96,571)		-		(96,571)	
Adj. 9	To reduce Operating Revenue associated with NESE, to reflect the Company's latest sales forecast	(16,246)		36,596		20,350	
Adj. 16	To reflect increased revenues associated with the Newtown Creek project	3,281	$ (109,536)	(3,281)	$ 33,315	-	$ (76,221)
	Purchased Gas Costs						
Adj. 2	To reduce Purchased Gas costs associated with NESE	(83,249)		-		(83,249)	
Adj. 10	To reduce Purchased Gas costs associated with NESE, to reflect the Company's latest sales forecast	(14,026)	$ (97,275)	30,435	$ 30,435	16,409	$ (66,840)
	Revenue Taxes						
Adj. 3	To reduce Revenue Tax associated with NESE	(2,685)		-		(2,685)	
Adj. 11	To reduce Revenue Taxes associated with NESE, to reflect the Company's latest sales forecast	(200)	$ (2,885)	709	$ 709	509	$ (2,176)
	Operating and Maintenance Expenses						
	Consultants						
Adj. 17 (a)	To adjust Consultants to remove charges from Alix Partners	(1,146)	$ (1,146)	1,146	$ 1,146	-	$ -
	Contractors						
Adj. 17 (b)							
1	To adjust Contractors to reflect a 3-year average of snow removal	(1,263)		1,263		-	
2	To adjust Contractors to reflect the proper forecast for Local Law 30	(5,201)	$ (6,464)	-	$ 1,263	(5,201)	$ (5,201)
	Other						
Adj. 17 (c)	To adjust Other expense to reflect a 25% reduction in costs for Notice Of Violations	(920)	$ (920)	920	$ 920	-	$ -
	Service Company Rents						
Adj. 17 (d)							
1	To adjust Service Company Rents to remove certain projects	(62)		(21)		(83)	
2	To reduce Service Company Rents to reflect Staff's ROE	(3,553)		3,553		-	
3	To remove Gas Business Enablement CapEx contingencies	(2,136)		2,136		-	
4	To adjust Service Company Rents to reflect Staff's forecasted budget	(4,572)	$ (10,323)	4,572	$ 10,240	-	$ (83)
	Total Labor						
Adj. 17 (e)							
1	To reduce Labor expense to reflect a 3% management wage increase	(270)		270		-	
2	To reduce Labor expense to reflect a vacancy rate	(2,759)	$ (3,029)	2,759	$ 3,029	-	$ -
	Transportation						
Adj. 17 (none)	To reflect Staff's forecast of vehicles to be replaced	(619)	$ (619)	619	$ 619	-	$ -
						-	
	Other Initiatives						
Adj. 4 (a)	To reduce Other Initiatives associated with NESE	(3)		(6)		(9)	
Adj. 12 (a)	To remove 2.4 FTEs from Future of Heat for Renewable Natural Gas and Non-Pipeline Alternative	(233)		233		-	
Adj. 17 (f)							
1	To include the CapEx costs of Low-Pressure Main Valve Installations (offset by the amortization of NRA deferra	2,460		(2,460)		-	
2	To reduce management salary increase to 3%	(16)		16		-	
3	Staff adjustment to the Hydrogen Blending Research project	(24)		24		-	
4	To remove 2 FTEs from GSP Contractor Safety Inspection	(27)		27		-	
5	To remove 0.4 FTE from GSP Enhanced Methane Detection	(44)		44		-	
6	To remove 0.6 FTE from GIOP Storm Hardening	(55)		55		-	
7	To remove 0.5 FTE from FOH Green Gas Tariff	(64)		64		-	
8	To remove 0.5 FTE from FOH Geothermal	(82)		82		-	
9	To remove 0.7 FTE from FOH Demand Response	(86)		86		-	
10	To adjust allocation of costs for the Customer Online Fuel Switch Calculator	(92)		92		-	
11	To remove 1 FTE from FOH Utility Energy Services Contract	(105)		105		-	
12	Staff adjustment to Renewable Natural Gas	(111)		111		-	
13	Staff adjustment to the Geothermal project	(117)		117		-	
14	To update labor burdens for Staff's Rate Year forecast	(123)		(50)		(173)	
15	To remove UESC costs to reflect costs being funded through the ETIP budget	(138)		138		-	
16	To remove 2 FTEs from GIOP IMP/IVP OpEx	(192)		192		-	
17	To remove 9 FTEs from GIOP OpEx Support For Capital Program	(319)		216		(103)	
18	To remove Storm Hardening to reflect pushing program out a year	(521)		521		-	
19	To remove EM&V costs to reflect costs being funded through the ETIP budget	(924)		924		-	
20	To remove Demand Response Program costs, recovered through a non-bypassable delivery surcharge	(1,216)		1,216		-	
21	To adjust Gas IS Opex/RTB to apply slippage to Opex/RTB	(1,600)		1,600		-	
22	Staff adjustment to IMP/IVP OpEx - IMP (PHMSA Rules)	(4,285)		4,285		-	
23	To adjust Gas IS Opex/RTB to remove CIS	(10,526)	$ (18,443)	10,526	$ 18,158	-	$ (285)
	Productivity Adjustment						
Adj. 17 (g)	To adjust productivity to reflect Staff's Labor forecast	38	$ 38	(38)	$ (38)	-	$ -
	Uncollectible Accounts					-	
Adj. 4 (b)	To reduce Uncollectible accounts associated with NESE and updated sales forecast	(882)		184		(698)	
Adj. 17 (h)	To adjust Uncollectibles to reflect the latest rolling 3 year average	(621)	$ (1,503)	621	$ 805	-	$ (698)
	Site Investigation and Remediation						
Adj. 17 (i)	To reduce SIR Expense to reflect a projected average of MGP Costs for FY21-FY24	(15,168)	$ (15,168)	15,168	$ 15,168	-	$ -

The Brooklyn Union Gas Company d/b/a National Grid NY
PSC Case No. 19-G-0309
Company Rebuttal
Company Settlement to Staff Adjustments for the Rate Year Ending March 31, 2021
($000's)

		Staff Direct Amount		Company Adjustments to Staff Amount		Company Rebuttal Amount	
	Savings						
Adj. 17 (j)							
1	To adjust savings to include savings associated with initiatives #17533 and #24611	(119)		-		(119)	
2	To adjust savings, reducing the cost to achieve	(211)		211		-	
3	To adjust savings to reflect the updated Level 4 and Level 5 savings	(985)		-		(985)	
4	To adjust savings to reflect Level 3 savings in the Rate Year	(9,475)	$ (10,790)	9,475	$ 9,686	-	$ (1,104)
	Economic Development						
Adj. 17 (k)	To adjust economic development to reflect Staff's incremental program costs	500	$ 500	(500)	$ (500)	-	$ -
	Incentive Program						
Adj. 4 (c)	To reduce Incentive Program costs associated with NESE	(1,100)	$ (1,100)	-	$ -	(1,100)	$ (1,100)
	Paving						
Adj. 17 (l)	To adjust Contractors to reflect the proper forecast for Local Law 30	(1,177)	$ (1,177)	-	$ -	(1,177)	$ (1,177)
Adj. 17 (m)	**Energy Efficiency**						
	To adjust for energy efficiency revenue forecast	-	$ -	(210)	$ (210)	(210)	$ (210)
	Total Operating and Maintenance Expense Adjustment		$ (70,144)		$ 60,285		$ (9,859)
	Amortization of Regulatory Deferrals						
Adj. 18							
1	To amortize the Economic Development program deferral account to offset Staff's incremental program costs	(500)		500		-	
2	To amortize Gas Safety NRAs deferral accounts to offset the costs of specific Gas Safety programs reflected in Ot	(5,852)		5,852		-	
3	To amortize the unexpended EEPS and ETIP deferral balances over a 5-year period	(7,295)	$ (13,647)	7,295	$ 13,647	-	$ -
	Depreciation Expense						
Adj. 5	To reduce Depreciation expense associated with NESE	(386)		4		(382)	
Adj. 19							
1	To adjust Depreciation Expense tracking Staff's forecast of Plant additions	(761)		1,026		265	
2	To adjust Depreciation Expense to reflect Staff's Depreciation Rates	(16,784)	$ (17,931)	16,784	$ 17,814	-	$ (117)
	Taxes Other Than Revenue & Income Taxes						
	Real Estate Taxes						
Adj. 20 (a)	To reduce Property Taxes to reflect a 3-Year average growth rate	(1,274)	$ (1,274)	1,274	$ 1,274	-	$ -
	Payroll Taxes						
Adj. 20 (b)	To adjust Payroll Taxes to reflect Staff's Labor Forecast	(205)	$ (205)	205	$ 205	-	$ -
	Other Taxes						
Adj. 20 (c)	To adjust Other Taxes to remove out of period non-recurring amounts	(184)	$ (184)	24	$ 24	(160)	$ (160)
	Total Taxes Other Than Revenue & Income Taxes Adjustments		**$ (1,663)**		**$ 1,503**		**$ (160)**
	Federal Income Taxes						
Adj. 6	To adjust current Federal Income tax tracking the adjustments removing NESE	(1,464)		-		(1,464)	
Adj. 13	To adjust current Federal Income tax tracking the adjustments removing NESE	(342)		-		(342)	
Adj. 21 (a)	To reflect an amortization period of 10 years for excess ADIT	(10,928)		10,928		-	
Adj. 21 (b)	To adjust current Federal Income Taxes, tracking Staff's adjustments	20,338	$ 7,604	(17,936)	$ (7,008)	2,402	$ 596
	State Income Taxes						
Adj. 7	To adjust current State Income tax tracking the adjustments removing NESE	(638)		-		(638)	
Adj. 14	To adjust current State Income tax tracking the adjustments removing NESE	(150)		-		(150)	
Adj. 22	To adjust current State Income Taxes, tracking Staff's adjustments	8,859	$ 8,071	(7,812)	$ (7,812)	1,047	$ 259
	Total Income Tax Adjustments		**$ 15,675**		**$ (14,820)**		**$ 855**
	Rate Base						
	Net Utility Plant						
Adj. 8 (a)	To reduce Net Utility Plant associated with NESE	(30,413)		659		(29,754)	
	Utility Plant						
Adj. 23 (a)	To reflect Staff's forecast of plant additions	(48,573)		53,809		5,236	
	Accumulated Depreciation						
Adj. 23 (b)							
1	To adjust Accumulated Depreciation tracking Staff's adjustments to Utility Plant	(12,772)		12,772		-	
2	To adjust Accumulated Depreciation tracking Staff's adjustment to Depreciation expense	8,392	$ (83,366)	(8,392)	$ 58,848	-	$ (24,518)
	Regulatory Assets/Liabilities						
Adj. 23 (c)	To remove the regulatory deferred asset balance related to CSC reimbursable projects from rate base	(22,316)	$ (22,316)	22,316	$ 22,316	-	$ -
	Accumulated Deferred Income Taxes - Federal						
Adj. 8 (b)	To increase ADIT associated with NESE	2,443		-		2,443	
Adj. 23 (d)							
1	Staff Adjustment to ADIT tracking Staffs adjustment to the amortization of other non-plant excess ADIT	(929)		929		-	
2	Staff Adjustment to ADIT tracking Staffs adjustment to the amortization of excess unprotected plant ADIT	6,392		(6,392)		-	
3	To adjust ADFIT tracking Staffs adjustment to Net Utility Plant	4,722	$ 12,628	(8,565)	$ (14,028)	(3,843)	$ (1,400)

The Brooklyn Union Gas Company d/b/a National Grid NY
PSC Case No. 19-G-0309
Company Rebuttal
($000's)

		Staff Direct Amount		Company Adjustments to Staff Amount		Company Rebuttal Amount	
	Accumulated Deferred Income Taxes - State						
Adj. 8 (c)	To increase ADIT associated with NESE	1,068		-		1,068	
Adj. 23 (e)	Staff Adjustment to ADSIT Tracking Staff's forecast of Plant Additions	1,884	$ 2,952	(3,559)	$ (3,559)	(1,675)	$ (607)
	Working Capital						
Adj. 8 (d)							
2	Change in Supply Cash Allowance associated with NESE	(3,973)	$ (3,973)	783	$ 783	(3,190)	(3,190)
1	Change in Cash Working Capital associated with NESE	(138)		-		(138)	
Adj. 15	Change in Cash Working Capital associated with NESE	(29)		-		(29)	
Adj. 23 (f) 3	To adjust working capital to reflect Staff's O&M adjustments	(8,413)	$ (8,580)	7,435	$ 7,435	(978)	(1,145)
Adj. 23 (f) 1	Staff adjustment to remove the HTY CSC Accounts Receivable Balance from Working Capital	(58,744)	$ (58,744)	58,744	$ 58,744	-	-
Adj. 23 (f) 2	Staff adjustment to reduce working capital removing the projected change in CSC accounts receivable balance in	(28,273)	$ (28,273)	28,273	$ 28,273	-	-
	Excess Earnings Base (EB/CAP)						
Adj. 22 (g)	Staff adj to include the HTY City/State Accounts Receivable balance in EB/CAP rather than in working capital	58,744	$ 58,744	(58,744)	$ (58,744)	-	-
	Total Rate Base Adjustments		**$ (130,928)**		**$ 100,067**		**$ (30,861)**

The Brooklyn Union Gas Company d/b/a National Grid NY
PSC Case No. 19-G-0309
Taxes Other Than Income Taxes - Company Rebuttal
For the Rate Year Ending March 31, 2021
($000's)

Taxes Other Than Revenue and Income Taxes	C&U Filing Rate Year Ending March 31, 2021	Adj. #	Staff Adjustments	Rate Year As Adjusted By Staff	Company Adjustments to Staff Amounts	Company Rebuttal Rate Year
Real Estate Taxes						
Real Property	$ 168,094	20(a)	$ (1,274)	$ 166,820	$ 1,274	$ 168,094
Special Franchise	-		-	0	-	-
Total Real Estate Taxes	168,094		(1,274)	166,820	1,274	168,094
Payroll Taxes	11,351	20(b)	(205)	11,146	205	11,351
Other	1,355	20(c)	(184)	1,171	24	1,195.30
Total Taxes Other Than Revenue and Income Taxes	$ 180,800		$ (1,663)	$ 179,137	$ 1,503	$ 180,640

The Brooklyn Union Gas Company d/b/a National Grid NY
PSC Case No. 19-G-0309
Summary of Depreciation and Amortization Expense - Company Rebuttal
For the Rate Year Ending March 31, 2021
($000's)

	C&U Filing Rate Year Ending March 31, 2021	Adj. #	Staff Adjustments	As Adjusted by Staff Rate Year Ending December 31, 2021	Company Adjustments to Staff Amounts	Company Rebuttal Rate Year Ending December 31, 2021
Depreciation Expense (acct 403)	$ 159,342	5, 19	$ (17,931)	$ 141,411	$ 17,814	$ 159,225
Amortization Expense (acct 404-405)	-		-	-	-	-
Accretion Expense (acct 411.10)	-		-	-	-	-
(Gain) Loss on Disposition of Utility Plant (acct 411.7)	-		-	-	-	-
Total Depreciation & Amortization Expense	159,342		$ (17,931)	$ 141,411	$ 17,814	$ 159,225

The Brooklyn Union Gas Company d/b/a National Grid NY
PSC Case No. 19-G-0309
Tax Deduction for Interest Expense - Company Rebuttal
For the Rate Year Ending March 31, 2021
($000's)

	C&U Filing Rate Year Ending March 31, 2021	Staff Adjustments	As Adjusted by Staff Rate Year Ending December 31, 2021	Company Adjustments to Staff Amounts	Company Rebuttal Rate Year Ending December 31, 2021
Avg Rate Base Per Books	$ 5,088,860	$ (189,672)	$ 4,899,188	$ 158,811	$ 5,057,999
Plus: Forecast of Avg Interest Bearing CWIP	-	-	-	-	-
Less: Rate Base moved to GAC	-	-	-	-	-
Less: Excess Earnings Adj (EBCAP)	123,437	(58,744)	64,693	58,744	123,437
Rate Base	4,965,423	(130,928)	4,834,495	100,067	4,934,562
Weighted Cost of LTD Debt	2.12%	0.01%	2.13%	0.00%	2.13%
Weighted Cost of Cust Deposits	0.01%	0.00%	0.01%	0.00%	0.01%
subtotal weighted cost of debt	2.13%	0.01%	2.14%	0.00%	2.14%
Total Income Tax Interest Deduction	$ 105,764	$ (2,305)	$ 103,458	$ 2,141	$ 105,600

The Brooklyn Union Gas Company d/b/a National Grid NY
PSC Case No. 19-G-0309
Working Capital - Cash Allowance - Company Rebuttal
For the Rate Year Ending March 31, 2021
($000's)

Description	C&U Filing Rate Year Ending March 31, 2021	Staff Adjustments	As Adjusted by Staff Rate Year Ending December 31, 2021	Company Adjustments to Staff Amounts	Company Rebuttal Rate Year Ending December 31, 2021
Total O&M Expense	$ 670,976	$ (70,144)	$ 600,832	$ 60,285	$ 661,117
Remove major non-cash items included O&M expense :					
Bad Debt expense	(17,037)	1,503	(15,534)	(805)	(16,339)
Other (EE, 18A)	0	0	0	-	0
Subtotal	(17,037)	1,503	(15,534)	(805)	(16,339)
Add major cash items not included in O&M expense:					
Other	-	-	-	-	-
Subtotal	-	-	-	-	-
Total Adjustments	(17,037)	1,503	(15,534)	(805)	(16,339)
Adjusted O&M Expense	$ 653,938	$ (68,641)	$ 585,298	$ 59,480	$ 644,778
Departmental Cash Allowance - 1/8 (45 days)	$ 81,742	$ (8,580)	$ 73,162	$ 7,435	$ 80,597
Supply Cost Cash Allowance (3.64% x HY Gas exp)	-	-	-	-	-

(note: The Supply Cost Allowance is being presented separately, therefore will be removed from the historic Excess Earnings Base Adjustment)

The Brooklyn Union Gas Company d/b/a National Grid NY
PSC Case No. 19-G-0309
Comparison of Average Historic Rate Base and Capitalization - Company Rebuttal
For the Rate Year Ending March 31, 2021
($000's)

		TOTAL	Staff Adjustments	TOTAL	Company Adjustments	TOTAL
(A)	AVERAGE RATE BASE - PER BOOKS	$ 3,550,394	-	$ 3,550,394	-	$ 3,550,394
(B)	ADD: Average interest-bearing CWIP	462,738	-	462,738	-	462,738
(C)	TOTAL EARNINGS BASE (A+B)	4,013,132	-	4,013,132	-	4,013,132
	Percent	100.00%				
(D)	AVERAGE CAPITALIZATION (CE excludes merger Goodwill):					
	Long Term Debt	1,562,500		1,562,500		1,562,500
	Notes Payable	0		0		0
	Gas Supplier Refunds	422		422		422
	Customer Deposits	23,553		23,553		23,553
	Preferred Stock	0		0		0
	Common Equity (excludes merger GW)	1,976,780	[1]	1,976,780		1,976,780
	Avg. Allocated to Gas based on Earnings Base	3,563,255		3,563,255		3,563,255
(E)	Add dividends declared but unpaid representing the timing difference between declaration and payment	-	-	-	-	-
(F)	SUBTOTAL (D+E)	3,563,255		3,563,255		3,563,255
	LESS Average Investments in:					
	Detailed balance sheet accounts	(396,123)	-	(396,123)	-	(396,123)
	Accumulated Def Inc Tax Adjustment	(20,926)	-	(20,926)	-	(20,926)
	Goodwill		[1]			
(G)	Total Deductions	(417,049)		(417,049)		(417,049)
(H)	Capitalization Dedicated to Public Service (F-G)	3,980,304		3,980,304		3,980,304
(J)	Excess Earnings Base (Total Earnings Base) less Average Capitalization Devoted to Service Current Customers) (C-H)	$ 32,828		$ 32,828		$ 32,828

[1] Goodwill related to merger with National Grid is excluded from the equity component of capitalization

Exhibit __ (RRP-2R)

Net Utility Plant and Depreciation Expense

The Brooklyn Union Gas Company d/b/a National Grid NY
NY PSC Case 19-G-0309
Company Rebuttal
Rate Year and Data Years Balances of Gas Net Utility Plant and Depreciation Expense
($000's)

	Rate Year and Data Years Ending December 31,			
	2021	2022	2023	2024
Total Net Plant per Corrections and Updates	$ 5,795,886.6	$ 6,482,015.3	$ 7,272,868.8	$ 8,057,144.3
Adjustments to Reflect Rebuttal:				
1. Updated Net Utility Plant Forecast				
Update to exclude NESE projects	(29,754.3)	(82,879.3)	(168,593.9)	(253,783.8)
Updates for capital investment changes	5,235.9	5,138.4	4,805.8	4,523.4
Total Adjustments	$ (24,518.4)	$ (77,740.9)	$ (163,788.1)	$ (249,260.4)
Revised Total Net Plant to Reflect Rebuttal	$ 5,771,368.2	$ 6,404,274.4	$ 7,109,080.8	$ 7,807,883.9
Revenue Requirement Effect of Rate Base Change				
Total Adjustments	$ (24,518.4)	$ (77,740.9)	$ (163,788.1)	$ (249,260.4)
Pre-Tax Return %	8.54%	8.96%	9.07%	9.07%
Revenue Requirement Change due to Net Plant Adjustments	$ (2,093.1)	$ (6,962.9)	$ (14,853.2)	$ (22,604.3)
Total Depreciation Expense per Corrections and Updates	$ 159,342.3	$ 172,593.3	$ 187,722.1	$ 202,567.8
1. Updated Net Utility Plant Forecast				
Update to exclude NESE projects	(382.4)	(1,154.9)	(2,498.1)	(3,850.9)
Updates for capital investment changes	265.2	283.5	282.5	282.5
Total Adjustments	$ (117.2)	$ (871.4)	$ (2,215.6)	$ (3,568.5)
Revised Total Depreciation Expense Rebuttal	$ 159,225.1	$ 171,721.9	$ 185,506.5	$ 198,999.3

The Brooklyn Union Gas Company d/b/a National Grid NY
Monthly Balances of Gas Net Utility Plant and Depreciation Expense
Rate Year Ending March 31, 2021

($000's)

	Balance at Month End	Total Gas Plant in Service (a)	Non-Interest Bearing CWIP (b)	Reserve for Depreciation (c)	Gas Net Utility Plant in Service (d)	Depreciation (e)
1	Mar-20 (1/2 month)	$ 3,353,082	$ 19,612	$ (636,338)	$ 2,736,356	
2	Apr-20	$ 6,758,056	$ 39,152	$ (1,276,996)	$ 5,520,212	$ 12,819
3	May-20	$ 6,802,735	$ 39,314	$ (1,281,873)	$ 5,560,175	$ 12,897
4	Jun-20	$ 6,870,879	$ 38,381	$ (1,285,064)	$ 5,624,197	$ 12,966
5	Jul-20	$ 6,911,027	$ 38,806	$ (1,291,079)	$ 5,658,755	$ 13,069
6	Aug-20	$ 6,958,589	$ 41,058	$ (1,293,794)	$ 5,705,853	$ 13,131
7	Sep-20	$ 6,991,480	$ 43,460	$ (1,298,680)	$ 5,736,261	$ 13,204
8	Oct-20	$ 7,099,154	$ 42,644	$ (1,299,169)	$ 5,842,628	$ 13,256
9	Nov-20	$ 7,156,452	$ 42,141	$ (1,303,984)	$ 5,894,609	$ 13,419
10	Dec-20	$ 7,205,602	$ 43,614	$ (1,307,727)	$ 5,941,490	$ 13,506
11	Jan-21	$ 7,246,464	$ 43,748	$ (1,314,856)	$ 5,975,356	$ 13,587
12	Feb-21	$ 7,295,354	$ 44,255	$ (1,319,900)	$ 6,019,709	$ 13,649
13	Mar-21 (1/2 month)	$ 3,679,304	$ 22,732	$ (661,217)	$ 3,040,818	$ 13,723
14	Total Gas (Sum of Lines 1 to 13)	84,328,177	498,917	(15,570,676)	69,256,419	159,225
15	Average Monthly Balance (Line 16 / 12)	$ 7,027,348	$ 41,576	$ (1,297,556)	$ 5,771,368	

Column (a) - Lines 1 through 13 - Workpapers for Exhibit (RRP-7), Schedule 1, Workpaper 1, Page 16-17 Total Plant in Service line for respective month
Column (b) - Lines 1 through 13 - Workpapers for Exhibit (RRP-7), Schedule 1, Workpaper 1, Page 30-31 NIBCWIP line for respective month
Column (c) - Lines 1 through 13 - Workpapers for Exhibit (RRP-7), Schedule 1, Workpaper 1, Page 23-24 Total Depreciation Reserve line for respective month
Column (d) - Lines 1 through 13 - Column (a) + Column (b) + Column (c)
Column (e) - Lines 2 through 13 - Workpapers for Exhibit (RRP-7), Schedule 1, Workpaper 1, Page 16-17 Total Depreciation Expense line for respective month

The Brooklyn Union Gas Company d/b/a National Grid NY
Monthly Balances of Gas Net Utility Plant and Depreciation Expense
Rate Year Ending March 31, 2022

($000's)

	Balance at Month End	Total Gas Plant in Service (a)	Non-Interest Bearing CWIP (b)	Reserve for Depreciation (c)	Gas Net Utility Plant in Service (d)	Depreciation (e)
1	Mar-21 (1/2 month)	$ 3,679,304	$ 22,732	$ (661,217)	$ 3,040,818	
2	Apr-21	$ 7,411,227	$ 45,926	$ (1,325,164)	$ 6,131,990	$ 13,818
3	May-21	$ 7,458,721	$ 46,555	$ (1,330,773)	$ 6,174,504	$ 13,894
4	Jun-21	$ 7,546,527	$ 44,656	$ (1,333,992)	$ 6,257,192	$ 13,967
5	Jul-21	$ 7,589,055	$ 45,149	$ (1,340,261)	$ 6,293,943	$ 14,130
6	Aug-21	$ 7,638,913	$ 47,932	$ (1,342,875)	$ 6,343,969	$ 14,195
7	Sep-21	$ 7,672,917	$ 50,834	$ (1,348,008)	$ 6,375,743	$ 14,270
8	Oct-21	$ 7,766,313	$ 52,220	$ (1,347,736)	$ 6,470,796	$ 14,322
9	Nov-21	$ 7,824,338	$ 52,127	$ (1,351,903)	$ 6,524,563	$ 14,461
10	Dec-21	$ 7,875,062	$ 54,072	$ (1,355,734)	$ 6,573,399	$ 14,550
11	Jan-22	$ 7,921,598	$ 54,070	$ (1,362,981)	$ 6,612,687	$ 14,630
12	Feb-22	$ 7,976,601	$ 54,459	$ (1,368,095)	$ 6,662,966	$ 14,701
13	Mar-22 (1/2 month)	$ 4,047,214	$ 25,612	$ (684,102)	$ 3,388,724	$ 14,784
14	Total Gas (Sum of Lines 1 to 13)	92,407,790	596,344	(16,152,841)	76,851,293	171,722
15	Average Monthly Balance (Line 16 / 12)	$ 7,700,649	$ 49,695	$ (1,346,070)	$ 6,404,274	

Column (a) - Lines 1 through 13 - Workpapers for Exhibit (RRP-7), Schedule 1, Workpaper 1, Page 18-19 Total Plant in Service line for respective month
Column (b) - Lines 1 through 13 - Workpapers for Exhibit (RRP-7), Schedule 1, Workpaper 1, Page 32-33 NIBCWIP line for respective month
Column (c) - Lines 1 through 13 - Workpapers for Exhibit (RRP-7), Schedule 1, Workpaper 1, Page 25-26 Total Depreciation Reserve line for respective month
Column (d) - Lines 1 through 13 - Column (a) + Column (b) + Column (c)
Column (e) - Lines 2 through 13 - Workpapers for Exhibit (RRP-7), Schedule 1, Workpaper 1, Page 18-19 Total Depreciation Expense line for respective month

The Brooklyn Union Gas Company d/b/a National Grid NY
Monthly Balances of Gas Net Utility Plant and Depreciation Expense
Rate Year Ending March 31, 2023

($000's)

	Balance at Month End	Total Gas Plant in Service (a)	Non-Interest Bearing CWIP (b)	Reserve for Depreciation (c)	Gas Net Utility Plant in Service (d)	Depreciation (e)
1	Mar-22 (1/2 month)	$ 4,047,214	$ 25,612	$ (684,102)	$ 3,388,724	
2	Apr-22	$ 8,158,727	$ 50,561	$ (1,373,700)	$ 6,835,588	$ 14,960
3	May-22	$ 8,214,657	$ 50,089	$ (1,378,679)	$ 6,886,066	$ 15,057
4	Jun-22	$ 8,299,669	$ 48,217	$ (1,382,641)	$ 6,965,245	$ 15,140
5	Jul-22	$ 8,353,135	$ 47,697	$ (1,390,035)	$ 7,010,797	$ 15,267
6	Aug-22	$ 8,412,299	$ 49,515	$ (1,393,246)	$ 7,068,568	$ 15,349
7	Sep-22	$ 8,454,158	$ 51,626	$ (1,399,300)	$ 7,106,484	$ 15,438
8	Oct-22	$ 8,503,595	$ 56,680	$ (1,400,432)	$ 7,159,842	$ 15,502
9	Nov-22	$ 8,571,561	$ 55,631	$ (1,405,522)	$ 7,221,670	$ 15,578
10	Dec-22	$ 8,629,130	$ 56,843	$ (1,410,176)	$ 7,275,797	$ 15,678
11	Jan-23	$ 8,677,937	$ 56,566	$ (1,418,448)	$ 7,316,055	$ 15,767
12	Feb-23	$ 8,736,177	$ 56,576	$ (1,424,573)	$ 7,368,179	$ 15,841
13	Mar-23 (1/2 month)	$ 4,390,623	$ 29,896	$ (714,565)	$ 3,705,954	$ 15,929
14	Total Gas (Sum of Lines 1 to 13)	101,448,881	635,509	(16,775,420)	85,308,970	185,506
15	Average Monthly Balance (Line 16 / 12)	$ 8,454,073	$ 52,959	$ (1,397,952)	$ 7,109,081	

Column (a) - Lines 1 through 13 - Workpapers for Exhibit (RRP-7), Schedule 1, Workpaper 1, Page 19-20 Total Plant in Service line for respective month
Column (b) - Lines 1 through 13 - Workpapers for Exhibit (RRP-7), Schedule 1, Workpaper 1, Page 33-34 NIBCWIP line for respective month
Column (c) - Lines 1 through 13 - Workpapers for Exhibit (RRP-7), Schedule 1, Workpaper 1, Page 26-27 Total Depreciation Reserve line for respective month
Column (d) - Lines 1 through 13 - Column (a) + Column (b) + Column (c)
Column (e) - Lines 2 through 13 - Workpapers for Exhibit (RRP-7), Schedule 1, Workpaper 1, Page 19-20 Total Depreciation Expense line for respective month

The Brooklyn Union Gas Company d/b/a National Grid NY
Monthly Balances of Gas Net Utility Plant and Depreciation Expense
Rate Year Ending March 31, 2024

($000's)

	Balance at Month End	Total Gas Plant in Service (a)	Non-Interest Bearing CWIP (b)	Reserve for Depreciation (c)	Gas Net Utility Plant in Service (d)	Depreciation (e)
1	Mar-23 (1/2 month)	$ 4,390,623	$ 29,896	$ (714,565)	$ 3,705,954	
2	Apr-23	$ 8,851,942	$ 58,816	$ (1,435,029)	$ 7,475,729	$ 15,998
3	May-23	$ 8,913,423	$ 58,214	$ (1,441,979)	$ 7,529,658	$ 16,104
4	Jun-23	$ 9,006,766	$ 55,842	$ (1,446,109)	$ 7,616,500	$ 16,194
5	Jul-23	$ 9,062,824	$ 55,274	$ (1,454,136)	$ 7,663,961	$ 16,333
6	Aug-23	$ 9,127,326	$ 56,943	$ (1,457,693)	$ 7,726,576	$ 16,418
7	Sep-23	$ 9,171,637	$ 59,100	$ (1,464,323)	$ 7,766,414	$ 16,515
8	Oct-23	$ 9,241,091	$ 62,800	$ (1,465,032)	$ 7,838,859	$ 16,583
9	Nov-23	$ 9,397,089	$ 54,072	$ (1,467,325)	$ 7,983,836	$ 16,688
10	Dec-23	$ 9,454,427	$ 55,547	$ (1,471,802)	$ 8,038,172	$ 16,918
11	Jan-24	$ 9,504,263	$ 55,299	$ (1,479,927)	$ 8,079,636	$ 17,004
12	Feb-24	$ 9,564,107	$ 55,349	$ (1,485,838)	$ 8,133,618	$ 17,078
13	Mar-24 (1/2 month)	$ 4,854,073	$ 25,006	$ (743,385)	$ 4,135,694	$ 17,166
14	Total Gas (Sum of Lines 1 to 13)	110,539,592	682,158	(17,527,144)	93,694,606	198,999
15	Average Monthly Balance (Line 14 / 12)	$ 9,211,633	$ 56,847	$ (1,460,595)	$ 7,807,884	

Column (a) - Lines 1 through 13 - Workpapers for Exhibit (RRP-7), Schedule 1, Workpaper 1, Page 20-21 Total Plant in Service line for respective month
Column (b) - Lines 1 through 13 - Workpapers for Exhibit (RRP-7), Schedule 1, Workpaper 1, Page 34-35 NIBCWIP line for respective month
Column (c) - Lines 1 through 13 - Workpapers for Exhibit (RRP-7), Schedule 1, Workpaper 1, Page 27-28 Total Depreciation Reserve line for respective month
Column (d) - Lines 1 through 13 - Column (a) + Column (b) + Column (c)
Column (e) - Lines 2 through 13 - Workpapers for Exhibit (RRP-7), Schedule 1, Workpaper 1, Page 20-21 Total Depreciation Expense line for respective month

The Brooklyn Union Gas Company d/b/a National Grid NY
Capital Expenditures (CAPEX)
Based on CAPEX Budget Classifications

		In-Svc/ Closing Rule	(a) 3 mos Forecast Jan'19 - Mar'19	(b) FY2020	(c) FY2021	(d) FY2022	(e) FY2023	(f) FY2024
	GAS PLANT							
1	Storage	9 months	0	10,448,017	19,520,351	40,172,763	19,954,646	19,114,373
2	Gas Land & Land Rights	1 month	0	0	0	0	0	0
3	Mains & Svc	8 months	0	495,432,128	520,724,276	597,556,327	677,475,482	682,320,876
4	Meters/Hse Reg	2 months	0	14,599,528	11,373,110	9,248,996	9,433,815	9,638,814
5	Meas. & Reg	9 months	0	22,209,028	22,013,972	41,161,361	39,130,480	40,022,227
6	Gen Equip	2 months	0	6,982,037	7,501,869	7,938,536	8,038,671	8,191,929
7	Pipeline Integrity - IMP - Jamaica Bay Line ILI	Mar-2024	0	0	2,000,000	10,000,000	10,000,000	10,000,000
8	Pipeline Integrity - IMP - Southern Line Robotic ILI	Mar-2024	0	3,002,700	3,000,000	10,000,000	10,000,000	18,000,000
9	LTNY11751 - Kew Gardens Gate - PM	Oct-2020	0	4,806,891	17,937,000	0	0	0
10	LTNY12025 - Belmont Gate Station - PM	Oct-2023	0	0	0	180,000	720,000	25,514,000
11	Flatlands - SE853 Phase 2 - Trans Offset Louisiana Ave & Georgia Ave .	Aug-2019	0	69,416,000	0	0	0	0
12	SE856 Phase 2 Trans. Offset Sheffield & New Jersey Ave. - Trans Work	Nov-2023	0	1,609,000	26,590,000	26,980,000	27,590,000	4,000,000
13	SE856 Phase 2 Trans. Offset Sheffield & New Jersey Ave. - Dist Work	Mar-2022	0	0	14,400,000	14,400,000	0	0
14	LTNY10205 - MRI - PM - Main Phase 1-4	Various	0	88,940,732	35,425,601	0	0	0
15	LTNY10205 - MRI - PM - Main Phase 5	Oct-2021	0	0	39,574,399	20,729,685	0	0
16	LTNY12058 - Elmhurst Reliability - PM	Oct-2024	0	0	0	0	1,000,000	35,000,000
17	LTNY13231 - Marine Park Regulator Station - PM	Oct-2021	0	99,327	0	0	0	0
18	LNG - Vaporizers 3 & 4 Replacement	Mar-2021	0	21,183,000	2,000,000	0	0	0
19	LNG - Vaporizers 7 & 8 Replacement	Mar-2024	0	100,000	500,000	10,200,000	10,127,000	3,000,000
20	LNG - Salt Water Pump House Upgrade	Mar-2022	0	996,000	9,634,000	36,482,000	162,000	0
21	Newtown Creek	Dec-2019	0	14,010,000	869,403	0	0	0
22	Fleet and Supply Chain	6 months	0	1,144,800	1,250,000	1,550,000	750,000	750,000
23	Facilities - Base Spend	9 months	0	4,805,000	2,375,000	2,950,000	2,950,000	4,000,000
24	Facilities -Pitkin Cust Office Expansion	Sep-2020	0	0	500,000	0	0	0
25	Facilities - NYC Training Center (s)	Jun-2021	0	0	11,600,000	4,400,000	0	0
26	Facilities - Greenpoint Electrical	Various	0	500,000	600,000	800,000	0	0
27	Facilities - Canarsie Roofs & Facades	Various	0	1,351,640	2,300,000	1,500,000	2,300,000	0
28	Facilities - Canarsie Parking	Various	0	400,000	450,000	0	0	0
29	Future of Heat - Power to Gas		0	0	0	0	0	0
30	Future of Heat - Gas Demand Response	2 months	0	235,840	58,960	58,960	58,960	0
31	Total Gas Plant		0	762,271,668	752,197,941	836,308,628	819,691,053	859,552,217

Column (a-f) - Lines 1 through 21 - Workpapers for Exhibit (RRP-7), Schedule 1, Workpaper 2 for respective period
Column (a-f) - Lines 22 - Workpapers for Exhibit (RRP-7), Schedule 1, Workpaper 5 and 6 for respective period
Column (a-f) - Lines 23 through 28 - Workpapers for Exhibit (RRP-7), Schedule 1, Workpaper 4 for respective period
Column (a-f) - Lines 29 through 30 - Workpapers for Exhibit (RRP-7), Schedule 1, Workpaper 7 for respective period

The Brooklyn Union Gas Company d/b/a National Grid NY
Cost of Removal (COR)
Based on CAPEX Budget Classifications

		(a) 6 mos Forecast Oct'18 - Mar'19	(b) FY2020	(c) FY2021	(d) FY2022	(e) FY2023	(f) FY2024
	GAS PLANT						
1	Storage	0	0	0	0	0	0
2	Gas Land & Land Rights	0	0	0	0	0	0
3	Mains & Svc	0	83,666,321	81,361,062	91,570,339	90,303,129	94,872,505
4	Meters/Hse Reg	0	0	0	0	0	0
5	Meas. & Reg	0	0	0	0	0	0
6	Gen Equip	0	0	0	0	0	0
7	Pipeline Integrity - IMP - Jamaica Bay Line ILI	0	0	0	0	0	0
8	Pipeline Integrity - IMP - Southern Line Robotic ILI	0	0	0	0	0	0
9	LTNY11751 - Kew Gardens Gate - PM	0	0	0	0	0	0
10	LTNY12025 - Belmont Gate Station - PM	0	0	0	0	0	0
11	Flatlands - SE853 Phase 2 - Trans Offset Louisiana Ave & Georgia Ave .	0	0	0	0	0	0
12	SE856 Phase 2 Trans. Offset Sheffield & New Jersey Ave. - Trans Work	0	0	0	0	0	0
13	SE856 Phase 2 Trans. Offset Sheffield & New Jersey Ave. - Dist Work	0	0	0	0	0	0
14	LTNY10205 - MRI - PM - Main Phase 1-4	0	0	0	0	0	0
15	LTNY10205 - MRI - PM - Main Phase 5	0	0	0	0	0	0
16	LTNY12058 - Elmhurst Reliability - PM	0	0	0	0	0	0
17	LTNY13231 - Marine Park Regulator Station - PM	0	0	0	0	0	0
18	LNG - Vaporizers 3 & 4 Replacement	0	0	0	0	0	0
19	LNG - Vaporizers 7 & 8 Replacement	0	0	0	0	0	0
20	LNG - Salt Water Pump House Upgrade	0	0	0	0	0	0
21	Newtown Creek	0	0	0	0	0	0
22	Fleet and Supply Chain	0	0	0	0	0	0
23	Facilities - Base Spend	0	600,000	600,000	600,000	600,000	600,000
24	Facilities -Pitkin Cust Office Expansion	0	0	0	0	0	0
25	Facilities - NYC Training Center (s)	0	0	0	0	0	0
26	Facilities - Greenpoint Electrical	0	0	0	0	0	0
27	Facilities - Canarsie Roofs & Facades	0	0	0	0	0	0
28	Facilities - Canarsie Parking	0	0	0	0	0	0
29	Future of Heat - Power to Gas	0	0	0	0	0	0
30	Future of Heat - Gas Demand Response	0	0	0	0	0	0
31	Total Gas Plant	0	84,266,321	81,961,062	92,170,339	90,903,129	95,472,505

Column (a-f) - Lines 3 - Workpapers for Exhibit (RRP-7), Schedule 1, Workpaper 2 for respective period
Column (a-f) - Lines 23 - Workpapers for Exhibit (RRP-7), Schedule 1, Workpaper 4 for respective period

The Brooklyn Union Gas Company d/b/a National Grid NY
Case 19-G-00309
Company Rebuttal
Capex Expenditures (Capex) and Cost of Removal (COR) Forecasts
$(000)

	Corrections & Updates					Rebuttal Adjustments					Rebuttal				
	FY2020	FY2021	FY2022	FY2023	FY2024	FY2020	FY2021	FY2022	FY2023	FY2024	FY2020	FY2021	FY2022	FY2023	FY2024
1 Gas Customer Connections	97,900,413	80,611,594	114,262,735	138,471,124	144,024,433	(29,211,775)	(40,997,262)	(78,314,101)	(90,105,941)	(92,306,795)	68,688,638	39,614,332	35,948,634	48,365,183	51,717,638
2 Gas Mandated	590,264,707	625,472,125	724,405,857	769,707,698	795,236,172	0	(261,789)	(267,305)	(454,001)	(460,615)	590,264,707	625,210,336	724,138,552	769,253,697	794,775,557
3 Gas Reliability	163,615,794	139,846,898	171,257,285	78,169,671	96,879,598	4,911,218	(188,706)	(22,769,000)	0	(2,000,000)	168,527,012	139,658,192	148,488,285	78,169,671	94,879,598
4 Gas Non-Infrastructure	10,020,351	9,942,183	8,044,536	8,146,671	8,301,929	0	0	0	0	0	10,020,351	9,942,183	8,044,536	8,146,671	8,301,929
5 Facilities	7,656,640	18,425,000	10,250,000	5,850,000	4,600,000	0	0	0	0	0	7,656,640	18,425,000	10,250,000	5,850,000	4,600,000
6 Fleet and Supply Chain	1,144,800	1,250,000	1,550,000	750,000	750,000	0	0	0	0	0	1,144,800	1,250,000	1,550,000	750,000	750,000
7 Future of Heat	235,840	58,960	58,960	58,960	0	0	0	0	0	0	235,840	58,960	58,960	58,960	0
Total	870,838,545	875,606,760	1,029,829,373	1,001,154,124	1,049,792,132	(24,300,557)	(41,447,757)	(101,350,406)	(90,559,942)	(94,767,410)	846,537,988	834,159,003	928,478,967	910,594,182	955,024,722

Rebuttal Adjustments:					
NESE Exclusions	(29,211,775)	(42,084,296)	(101,350,406)	(90,559,942)	(94,767,410)
Newtown Creek	4,911,218	810,621	0	0	0
Pipeline Integrity - IVP	0	(174,083)	0	0	0
Total Rebuttal Adjustments	(24,300,557)	(41,447,758)	(101,350,406)	(90,559,942)	(94,767,410)

Exhibit __ (RRP-3R)

Other Taxes Adjustment

The Brooklyn Union Gas Company d/b/a National Grid NY
PSC Case No. 19-G-0309
Company Rebuttal
Taxes Other Than Income Taxes
Sales Tax Reserve Adjustment Summary
Historic Test Year Ended December 31, 2018

Amount	# Months	Avg/Month
222,510	39	5,705.38

CY 2018 full year at average rates over audit period (Avg/Month x 12)	68,465
Actual amount booked CY 2018	45,513
Adjustment needed to normalize HTY	22,952
Inflation to Rate Year	3.96%
Rate Year Adjustment to Staff Amount	23,860
Staff's proposed adjustment	(184,001)
Company proposed adjustment to other taxes	(160,141)

Exhibit __ (RRP-4R)

Relevant Portions of Company Information Request ("IR") Responses

Date of Request: June 18, 2019 Request No. DPS-550
Due Date: June 28, 2019 NG Request No. NG-735

KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID
THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY
Case Nos. 19-G-0309 & 19-G-0310
Gas Utilities Rates

Request for Information

FROM: DPS Staff, Hina M Thalho

TO: National Grid, Revenue Requirements Panel

SUBJECT: Other Expenses- KEDNY

Request:

Note: In all interrogatories, all requests for workpapers or supporting calculations shall be construed as requesting any Word, Excel or other computer spreadsheet models in original electronic format with all formulae intact and unlocked.

Referring to the two attached documents "DPS-548 Attachment 1 – KEDNY Other Expense by Activity Description," and "DPS-548 Attachment 2 – KEDNY Other Expense by Vendor," which are pivot tables created by Staff using the Company provided excel files detailing the KEDNY historic test year costs of $33.078 million as shown on Exhibit__(RRP-3), Summary, p. 1 and the MS Excel File Exhibit__(RRP-11), Workpapers to Exhibit___(RRP-3), Schedule 7, WP 1 for the O&M cost element "Other expense." The first schedule is a summary of historic test year costs identified by activity description, and the second schedule provides the historic test year costs broken down by vendor.

The activity description of Maint Svcs-Repair Gas Leak Maint includes $3.541 million of charges paid to the vendor titled "Finance Commissioner." Explain in detail what type of costs these charges represent.

Response:

These costs represent summonses associated with Notice of Violations ("NOVs") of permit conditions issued by the New York City Department of Transportation ("DOT").

To construct, operate, and maintain KEDNY's natural gas distribution system, the Company must regularly excavate in streets and sidewalks in the City of New York. For all non-emergency work, the Company secures a street opening permit in advance from the DOT. The Company electronically submits a permit application, that is reviewed by the DOT, and a permit is issued. The permit indicates, among other items, the area to be excavated and any work restrictions. From time to time, the Company receives NOVs in connection with these street

openings. These violations include failure to follow permit conditions such as work hour restrictions, working outside of the permit area, and failure to restore the area to the DOT's standards. Many of these violations are the result of unanticipated field conditions (*e.g.*, subsurface facilities, parking conditions, heavy traffic) that necessitate work beyond the scope of the permit. KEDNY is focused on reducing the number of violations related to street opening permits and traffic violations. The Company reviews and analyzes NOVs to identify root causes and review work practices, implement process and reporting enhancements to increase awareness and improve performance, and inform whether additional training is required to reduce NOVs.

Attachment 1 is a report summarizing KEDNY's efforts to reduce the number of municipal violations incurred in connection with the Company's road openings, street closing, and related activities for year ended December 31, 2018.

Tae Kim
Counsel
Legal Department

April 1, 2019

VIA ELECTRONIC DELIVERY
Honorable Kathleen H. Burgess, Secretary
Public Service Commission
Three Empire State Plaza
Albany, NY 12223-1350

Re: Case 16-G-0059 – Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service

Dear Secretary Burgess:

The Brooklyn Union Gas Company d/b/a National Grid ("Company") hereby submits this report describing its efforts to reduce the number of (i) municipal violations incurred in connection with the Company's road openings, street closing, and related activities and (ii) traffic violations, for year ended December 31, 2018 pursuant to the Joint Proposal adopted by the Commission's *Order Adopting Terms of Rate Plans and Establishing Gas Rate Plans* in the above-referenced matter.

Thank you for your attention to this filing. Please contact the undersigned with any questions or concerns on these matters.

Respectfully submitted,

/s/ Tae Kim
Tae Kim

One Metrotech Center, Brooklyn, NY 11201
T: 929-324-4550 ■ F: 917-310-0132 ■ Tae.Kim@nationalgrid.com ■ www.nationalgrid.com

NEW YORK STATE PUBLIC SERVICE COMMISSION

CASE 16-G-0059 – Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service

ROADWORK AND TRAFFIC VIOLATIONS REPORT FOR YEAR ENDED 2018

The Brooklyn Union Gas Company d/b/a National Grid NY

Dated: April 1, 2019

Cases 16-G-0059 – Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service

Roadwork and Traffic Violations Report for Year Ended 2018

The Brooklyn Union Gas Company d/b/a National Grid ("KEDNY" or "Company") submits this report describing its efforts to reduce the number of (i) municipal violations incurred in connection with the Company's road openings, street closing, and related activities and (ii) traffic violations, for the year ended December 31, 2018 pursuant to the Joint Proposal adopted by the Public Service Commission's (the "Commission") *Order Adopting Terms of Rate Plans and Establishing Gas Rate Plans* (Issued and Effective December 16, 2016) in Case 16-G-0059.[1]

I. BACKGROUND

KEDNY provides natural gas service to 1.2 million customers in the Boroughs of Brooklyn, Queens, and Staten Island in the City of New York. KEDNY operates a gas distribution network comprised of more than 4,100 miles of underground gas pipelines. To construct, operate, and maintain KEDNY's natural gas distribution system, the Company must regularly excavate in streets and sidewalks in the City of New York. For all non-emergency work, the Company secures a street opening permit in advance from the New York City Department of Transportation ("DOT"). The Company electronically submits a permit application, which is reviewed by the

[1] The Joint Proposal requires a report describing KEDNY's efforts to reduce notice of violations within 90 days after the close of each Rate Year, the twelve months ending December 31 of each year, of KEDNY's rate plan, beginning with Rate Year One (January 1, 2017 through December 31, 2017).

NYC DOT and a permit is issued. The permit indicates, among other items, the area to be excavated and any work restrictions.

From time to time, the Company receives violations ("Notice of Violations" or "NOVs") in connection with these street openings. These violations include failure to follow permit conditions, work hour restrictions, working outside of the permit area, and failure to restore the area to the DOT's standards. Many of these violations are the result of unanticipated field conditions (*e.g.*, subsurface facilities, parking conditions, heavy traffic) that necessitate work beyond the scope of the permit. For example, the Company may be required to work in a larger area or for a longer period than was contemplated at the time the permit was secured because of the conditions observed when the underground facilities are exposed. To complete the job, minimize disruptions, and ensure the provision of safe and reliable gas service to customers, the Company may be required to perform work that may not strictly conform to the permit stipulations in these cases. The Company may also work beyond the permit scope to expedite construction activities to accommodate local parking, traffic flow on critical roadways, or local business needs.

The Company works with the NYC DOT to amend street opening permits, when possible. However, changes to the scope/duration of street work that are identified in real time or during off hours, do not always afford the opportunity to secure permit modifications. The Company's efforts to coordinate permit modifications have been further challenged by a steady increase in the number of permits required in connection with KEDNY's increased construction activity. In 2014, the Company applied for approximately 20,000 street opening permits in NYC (including KEDLI's territory in the Rockaways); approximately 35,000 in 2015 and 2016; approximately 40,000 in 2017; and approximately 66,000 in 2018 – a more than 200 percent increase in just four years.

KEDNY also operates a fleet of more than one thousand vehicles to support field operations. The nature of the Company's business necessitates over five million driving miles each year across the Company's service territory. KEDNY prioritizes the safe operation of its vehicles, and its drivers undergo comprehensive driver safety training. However, from time to time, the Company's drivers/vehicles are issued citations for various moving and non-moving violations.

KEDNY is focused on reducing the number of violations related to street opening permits and traffic violations. As discussed in this report, the Company is reviewing and analyzing NOVs to identify root causes and review work practices, implementing process and reporting enhancements to increase awareness and improve performance, and providing additional training to reduce NOVs.

II. CONTINUED EFFORTS TO REDUCE ROADWORK VIOLATIONS

Beginning in 2017, internal resources (over 40 individuals) from various business functions within the Company participated in numerous process improvement workshops to identify internal and external root causes contributing to NYC DOT violations incurred by KEDNY. This effort identified both internal and external factors and root causes contributing to DOT violations. The following summarizes the continuing effort, accomplishments, and impact of the process improvements for calendar year 2018.

A. Transition to NYCSTREETS.NET

In June 2018, the DOT required KEDNY transition to the DOT's NYCSTREETS.NET web-based platform for ordering, reissuing, and renewing all permits by December 2018. The team currently tasked with reducing summonses supported the Company's transition from its internal

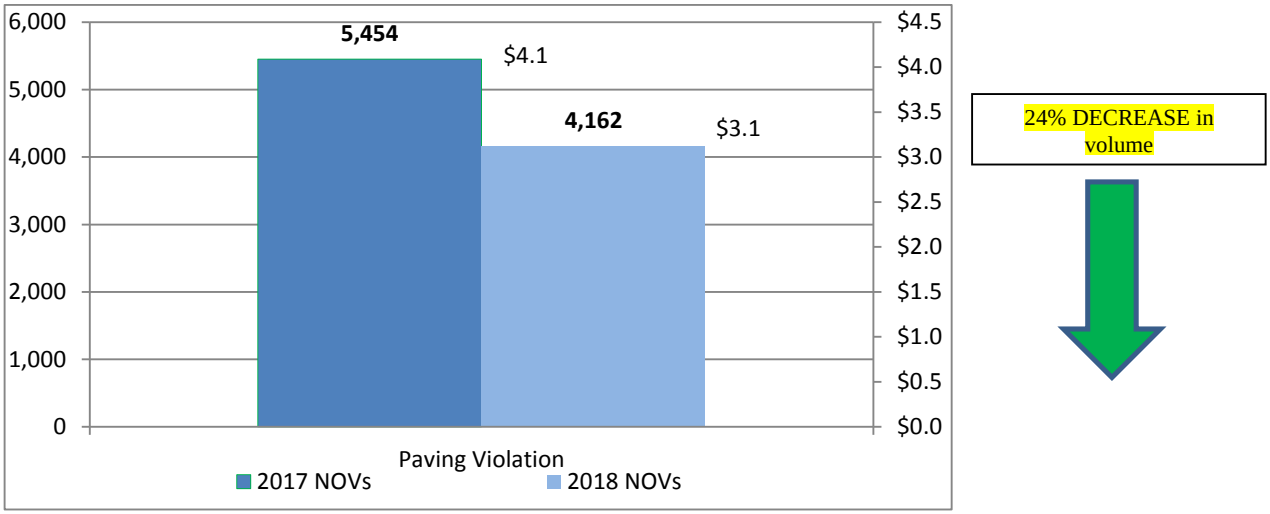
permit management system to NYCSTREETS.NET. While the transition was successfully completed as required, it affected efforts for reducing overall summonses due to the shift of the team's duties.

Despite a short-term impact to progress on reducing overall summonses, the Company expects the transition to NYCSTREETS.NET and future enhancements of the platform by DOT will allow KEDNY to more effectively manage its permits in line with the DOT's expectations. Currently, a nightly data output allows the Company to account for and report on all permits ordered – a feature not present prior to the transition. Additionally, KEDNY received permission from the DOT to explore automation opportunities to order, renew, and reissue roadwork permits, a process improvement implemented prior to the transition, on the new web-based platform.

B. <u>Process Automation</u>

KEDNY is currently utilizing Robotics Process Automation technology to renew and reissue a select group of both expired and upcoming expiring permits. The Company is looking to expand this technology to all its internal business units, expanding the concept to all permit reissues and renewals as well as new permit orders. By doing this, the Company expects to see a reduction in "*No Permit*" related summonses by removing the manual effort needed to manage them entirely. In calendar year 2018, the Company targeted paving related summonses, also known as D4F – Overdue for Final Restoration summonses. The Company saw a 24% reduction in these violations incurred compared with the prior year due to Robotics Process Automation, as shown in the chart below.

Paving Violations



C. Collaboration with DOT and External Contractors

In addition to automation, the Company set up monthly meetings with the DOT to discuss specific issues related to NOVs. This collaboration has opened avenues for future improvements to be made to reduce summonses incurred. Monthly process improvement meetings have been established with the Company's major contractors as well to ensure that both parties are working together to resolve field related issues resulting in NOVs.

D. Internal Process Improvements

The following are internal process improvements implemented in calendar year 2018:

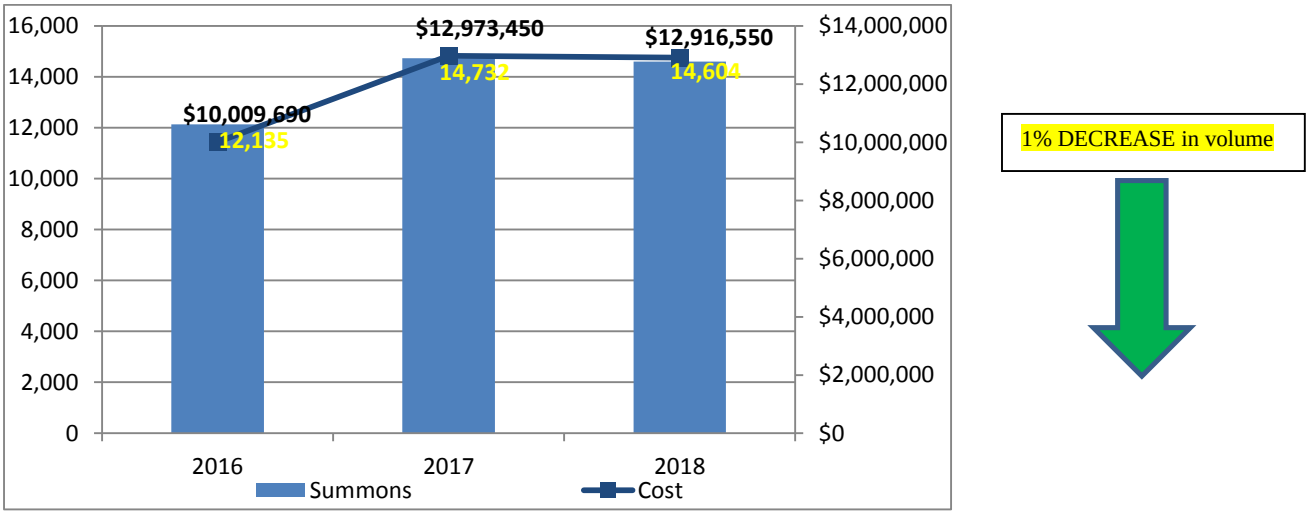
- The Company recently established a system improvement to create internal transparency for sending and receiving up-to-date information for barricade and plate pick-ups. Trucks receive orders for material pick-up upon job completion. The Company is also exploring route optimization opportunities to further increase its efficiencies with material pickup.

- Engineers in charge of designing and managing projects in the field are now routinely making daily site visits. The same applies for both external contractor and internal Company inspectors to ensure plates are secure and countersunk, per DOT specifications (implemented late November 2018).
- Additional checks and oversight have been put into place to ensure confirmations are ordered for all protected street permits requiring them. A 28% reduction in cost and 4% reduction in the volume of summonses has been achieved.
    - No Confirmation Summonses (D1B & D1J): CY2018 – 1,344, $477,000 (28%)
    - No Confirmation Summonses (D1B & D1J): CY2017 – 1,278, $610,500
- The Company has streamlined its summons response process by funneling summons through specific project managers/engineers with enhanced focus on direct line of responsibility.
- The Company has added a designated supervisor to manage the Corrective Action Request End-to-End process and have daily communication with contractors addressing those job sites.
- The Company has improved its NOVs reporting with monthly reports to leadership on NOVs incurred by internal function down to the project manager / engineer level. Additionally, these reports show the top violations incurred by function to facilitate identification of areas of improvement. This increased transparency allows leadership to take necessary actions to improve performance across their functional teams.

E. Changes to DOT Violation Enforcement

Overall, summonses have increased approximately $2 million over CY17. This is largely attributed to an observed 100+% increase in stipulation violations incurred ($2.2 million increase over last year) due to the DOT enforcement of stipulation violation codes 078 and 016. Both codes pertain to the clearing of the roadway and sidewalk at the end of each work day. These violations were only selectively enforced in years prior but are now being enforced on every job site where a permit for roadwork exists. If the enforcement continues at this rate, the Company will need to determine how best to handle as the cost and effort to remove all materials and barricades at the end of each day could be significant. The Company is currently in discussion with DOT officials regarding this concern. Notably, without this change in enforcement practices, the Company would have seen a 1% decrease in stipulation violations CY18 over CY17:

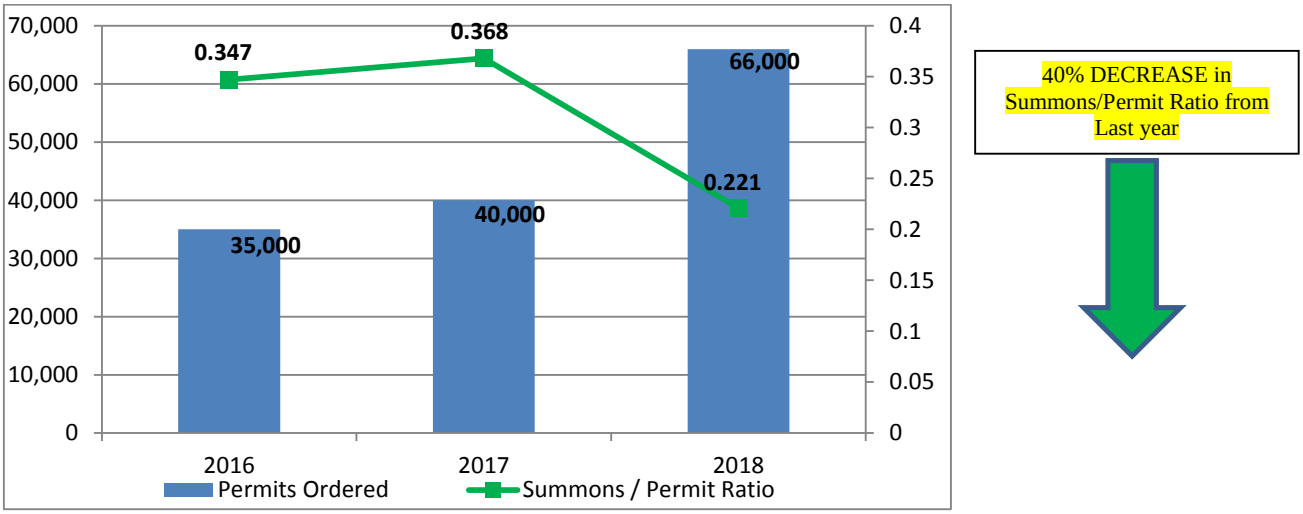
Total NOVs Incurred CY2018 Comparison ADJUSTED (Assuming no Stipulation Enforcement change)



F. Total NOVs Normalized based upon Volume of Permits Ordered

The Company's portfolio of construction activity has steadily grown over the recent years to meet the needs of customers. This translates to increased exposure for potential NOVs based upon the sheer volume of permits required to perform this work. In 2014, the Company applied for approximately 20,000 street opening permits in NYC; approximately 35,000 in 2015 and 2016; approximately 40,000 in 2017; and approximately 66,000 in 2018. This reflects a 230% increase in just four years. The below chart demonstrates a normalized data reduction in summonses of approximately 40% in calendar year 2018 compared to calendar year 2017 if the volume of work had not increased.

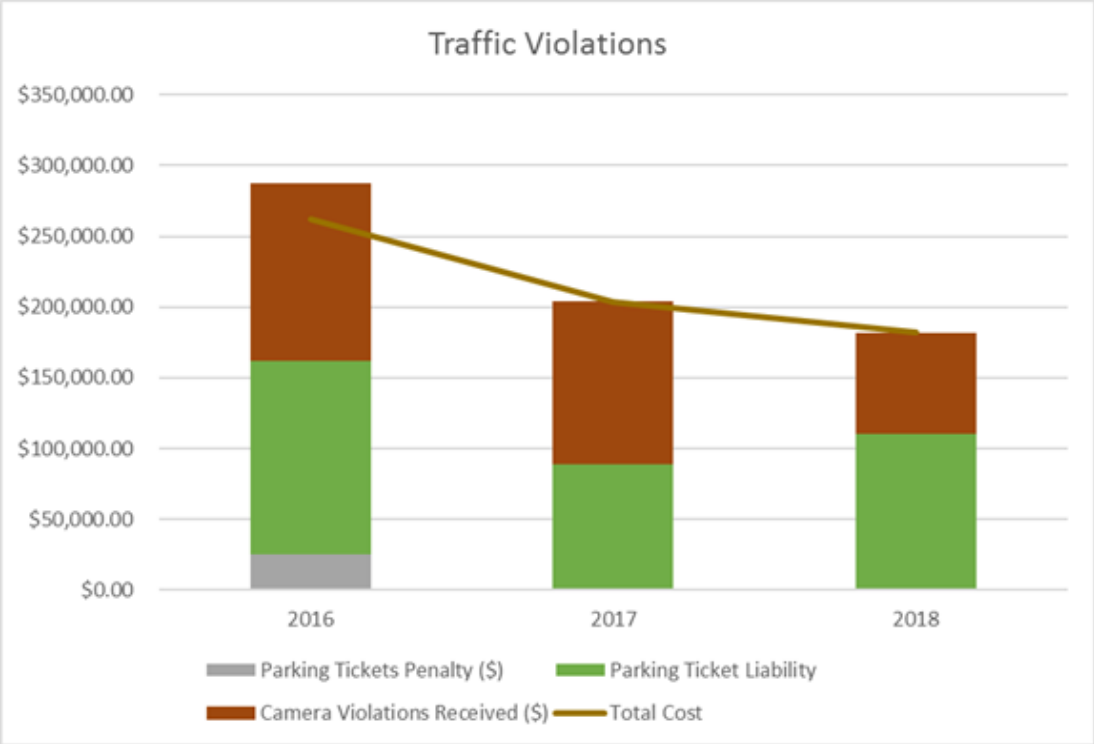
Summons / Permit Ratio (Normalized)



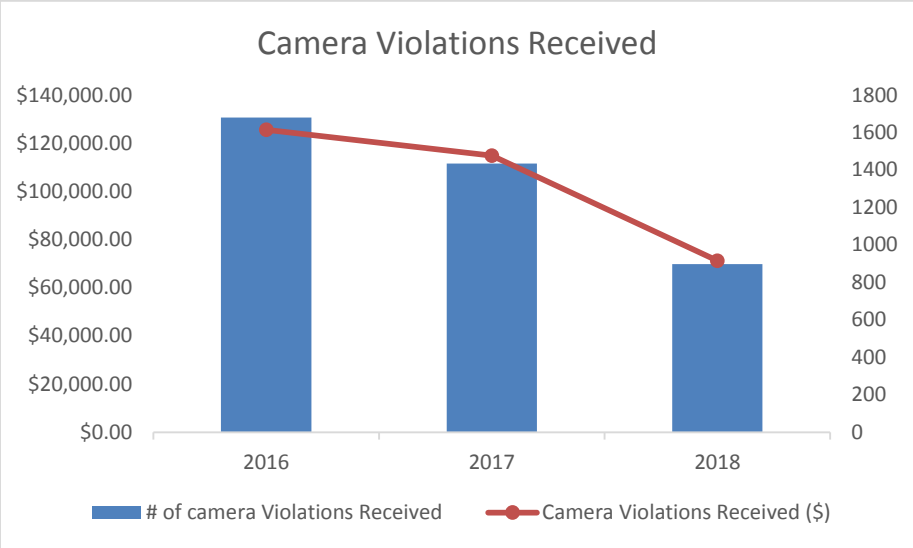
III. EFFORTS TO REDUCE TRAFFIC VIOLATIONS

From time to time, the Company receives traffic violations including parking violations and camera violations (*i.e.*, violations for, among others, speeding in a school zone, driving in a bus lane, and failure to stop at a red light). Since creating process improvements and enhanced

reporting, as discussed in the Company's report for 2017, the Company has reduced costs related to traffic violations from $261,903.91 in 2016 to $203,556.46 in 2017 and $182,002.00 in 2018, as shown in the chart below.



The Company continues to utilize weekly reports on parking and moving violations by line of business and the vehicle number for easy identification of drivers with violations. As a result, supervisors are able to conduct timely conversations and instill necessary discipline to foster a positive change in driving behavior. The Company has been able to decrease its liability in moving violations by over 50% from 2016 (1679 camera violations tickets in 2016 compared to 897 tickets in 2018), as shown below.



	2016	2017	2018
# of camera Violations Received	1679	1434	897
Camera Violations Received ($)	$ 125,560.68	$ 114,851.46	$ 71,237.00

As a result of an analysis of tickets received in 2016, KEDNY determined that 37 percent of the tickets were due to failure to display a muni-meter receipt. After several process workshops, KEDNY identified an opportunity for tickets to be dismissed by having operators submit copies of expired muni meter receipts. As part of a pilot, the Company equipped operators with muni-meter prepaid cards to purchase muni meter receipts and avoid tickets. As a result of the pilot, tickets received due to failure to display muni meter receipt decreased by 18%. In 2018, the Company rolled out a muni meter app out to all employees to further decrease costs from tickets received from muni meters with no receipt.

In addition to reporting and analysis, the Company continued a standard process change from 2016 to expedite payment of violations received by replacing once a month check payments with payments weekly via credit card for camera violations and bi-weekly via ACH transfer for

parking violations was created. This change resulted in a significant decrease in penalties from $25,513.23 in 2016 to $280.00 in 2017 and $10.00 in 2018.

	2016	2017	2018
Parking Tickets Penalty ($)	$ 25,513.23	$ 280.00	$ 10.00

The Company also continue to utilize the DriveCam Program to improve driver behavior, including risky behavior resulting in parking and traffic violations. The DriveCam Program enables daily tracking of violations and reporting of events including collision, near collision avoidance, driver conduct, traffic violations, driver awareness, distractedness, and seatbelt use. The Program provides training and, presentations on driver behaviors for lessons learned, and identification and assessment of coaching needs and effectiveness, risk scores and trends, and repeat offender status by team and individual. Data from DriveCams for the evaluation of driver performance together with the training and coaching from the DriveCam Program are intended to identify and improve driver behavior, including risk behavior that often results in parking and traffic violations.

IV. CONCLUSION

KEDNY is committed to reducing the number of traffic violations and violations related to street opening permits. As discussed in this report, the Company has undertaken, and continues to undertake, significant efforts to reduce the number of violations for the benefit of customers and the public.

Date of Request: June 20, 2019 Request No. DPS-620
Due Date: July 1, 2019 NG Request No. NG-806

KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID
THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY
Case Nos. 19-G-0309 & 19-G-0310
Gas Utilities Rates

Request for Information

FROM: DPS Staff, Chelsea Kruger and Magen Bauer

TO: National Grid, Information Technology Panel

SUBJECT: IT — CDG Low Income Bill Discount Program

Request:

Note: In all interrogatories, all requests for workpapers or supporting calculations shall be construed as requesting any Word, Excel or other computer spreadsheet models in original electronic format with all formulae intact and unlocked.

Referring to Exhibit___(ITP-4) line item "CDG Low Income Bill Discount," INVP 5474.

a. Provide a detailed description of this items use for both KEDNY and KEDLI.
b. Provide a detailed description of how the budget was set for this item. Include all supporting documentation and workpapers including but not limited to reports, calculations, and other cost allocations used by the Companies.

Response:

a. Please refer DPS-487 Attachment 2 page 194, which is a copy of the IRS document for INVP 5474 CDG Low Income Bill Discount Program. In preparing this response the Company determined that Exhibit ___(ITP-4) includes the wrong allocation code as this program relates to NMPC only.

b. Please refer to DPS-487 Response and DPS-487 Attachment 2 page 194.

Name of Respondent: Date of Reply:
Daniel J. DeMauro Jr. July 1, 2019

Date of Request: July 1, 2019 Request No. DPS-755
Due Date: July 11, 2019 NG Request No. NG-984

KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID
THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY
Case Nos. 19-G-0309 & 19-G-0310
Gas Utilities Rates

Request for Information

FROM: DPS Staff, Sarah E. Keymel

TO: National Grid, Revenue Requirements Panel (KEDNY & KEDLI)

SUBJECT: Savings

Request:

Note: In all interrogatories, all requests for workpapers or supporting calculations shall be construed as requesting any Word, Excel or other computer spreadsheet models in original electronic format with all formulae intact and unlocked.

1. The Companies' response to Staff's Information Request DPS-394, Attachment 25, p. 8, indicates that implementation level 3 initiatives are in the planned and approved stage. Explain why the Companies did not include any level 3 initiative savings in the rate year forecasts, considering the Companies' state that this level indicates "estimates [are] sound enough to take to the bank in budget."

2. For each implementation level 0 through 4, provide a monthly breakdown from inception of the Accelerate Program to present that includes: (i) how many initiatives were in each level; (ii) how many initiatives were cancelled; and (iii) how many initiatives progressed to the next level.

3. What is the average time it takes for an initiative to move from
   a. Implementation level 0 to 1;
   b. Implementation level 1 to 2;
   c. Implementation level 2 to 3;
   d. Implementation level 3 to 4; and
   e. Implementation level 4 to 5.

4. For each of the implementation level 5 initiatives shown on KEDNY's and KEDLI's Exhibit__(RRP-11), Workpapers to Exhibit-3, Schedule 34, Workpaper 1, provide the estimated savings for these initiatives when they were at each level 1-4, further broken down between KEDNY savings, KEDLI savings and Other Companies savings.

Response:

1. The phrase "estimates [are] sound enough to take to the bank in budget" means the Company has enough confidence in the initiative's business case and project plan that it is willing to invest the time and resources into attempting to execute on that initiative.

   While Implementation Level ("IL") 3 initiatives contain approved estimates and business cases, the initiatives have not yet been implemented and still carry significant risks to achieving the targeted savings. These risks include, but are not limited to, delayed implementation, changes to the implementation plan affecting the forecast savings value, or cancellation of the initiative. Any of these reasons could lead to significant overall savings adjustments or no savings at all despite the initial confidence in the business case and estimated value. Therefore, because the savings from these initiatives are still aspirational at this point and may not materialize, the Company does not believe it is appropriate to include a forecast of these savings in the cases. In contrast, IL4 initiatives have implementation plans that have all been completed and are therefore expected to deliver savings, as explained in the response to DPS-758.

   It should be noted that the Company did account for IL3 initiatives in two ways in the filings. First, the Company included a productivity adjustment in addition to the significant level of savings already reflected through the Accelerate Program. The purpose of this adjustment was to account for initiatives moving from IL3 to ILs 4 or 5. In addition, although the Accelerate Program ends in the Rate Year, the Company included the Rate Year adjustment with inflation across the Data Years – assuming the risk that it could sustain this level of savings across multiple years. For these reasons, IL3 initiatives have been accounted for and should not be separately included in the case.

2. Please see Attachment 1 for the IL0 to IL4 estimated monthly breakdown for all initiatives from inception of the Accelerate Program to present:

   - Tab 1 – (i) how many initiatives were in each level (excludes cancelled initiatives)
   - Tab2 – (ii) how many initiatives were cancelled each month at each level
   - Tab 3 – (iii) how many initiatives progressed to the next level each month

3. Please see Attachment 2 for the estimated average time it takes for an initiative to move to the next IL. Please note that when the Company launched the Accelerate program, many initiatives moved quickly through Wave because they were already in flight. Now that the Company is past the inaugural period in the process, as expected, initiatives and the movement of initiatives have begun to slow. New ideas have to be vetted and then approved by the appropriate individuals at each level of the process. As ideas become exhausted, more work is required to ensure that the initiative can actually deliver savings and benefits to customers.

4. Please see Attachment 3 for the estimated savings for the IL5 initiatives when they were at each level 1-4, broken down between KEDNY and KEDLI savings and Other

Companies savings as shown on KEDNY's and KEDLI's Exhibit__(RRP-11), Workpapers to Exhibit-3, Schedule 34, Workpaper 1.

Please note initiative owners can enter/edit the planned annualized impact in IL1 and IL2. Once an initiative moves to IL3, the planned benefits get locked and initiative owners will then be editing the forecast savings for each initiative.

The Brooklyn Union Gas Company d/b/a National Grid NY
How many initiatives were in each level

Data as of	IL0	IL1	IL2	IL3	IL4	IL5	Grand Total
6/30/2018 4:00	23	13	17	29	0	5	87
7/28/2018 4:00	634	195	25	29	9	4	896
8/25/2018 4:00	509	223	39	35	13	2	821
9/29/2018 4:00	487	500	67	61	17	3	1135
10/27/2018 4:00	363	553	58	63	45	5	1087
11/24/2018 4:00	245	538	59	79	62	8	991
12/29/2018 4:00	277	563	78	81	92	12	1103
1/30/2019 4:00	271	655	88	95	109	16	1234
2/27/2019 4:00	273	580	79	82	139	22	1175
3/29/2019 3:00	268	537	75	89	152	31	1152
4/26/2019 3:00	351	335	71	82	156	39	1034
5/31/2019 3:00	353	513	80	77	161	41	1225
6/28/2019 3:00	358	606	64	75	173	42	1318

Keyspan Gas East Company
The Brooklyn Union Gas Company
d/b/a National Grid
Case 19-G-0309/0310
Attachment 1 to DPS-755
Page 2 of 3

The Brooklyn Union Gas Company d/b/a National Grid NY
How many initiatives were cancelled at each level

Data as of	IL0	IL1	IL2	IL3	IL4	IL5
7/28/2018 4:00	79	30	8	22	9	4
8/25/2018 4:00	82	0	0	0	0	0
9/29/2018 4:00	2	51	1	0	1	0
10/27/2018 4:00	146	5	1	0	0	0
11/24/2018 4:00	22	2	2	0	0	0
12/29/2018 4:00	20	23	1	0	0	0
1/30/2019 4:00	54	4	1	0	0	1
2/27/2019 4:00	61	1	3	3	0	0
3/29/2019 3:00	27	21	0	0	0	0
4/26/2019 3:00	15	213	6	1	0	0
5/31/2019 3:00	0	5	1	2	1	0
6/28/2019 3:00	7	15	12	0	0	0

The Brooklyn Union Gas Company d/b/a National Grid NY
How many initiatives progressed to at each level

Data as of	IL0 -> IL1	IL1 -> IL2	IL2 -> IL3	IL3 -> IL4	IL4 -> IL5
6/30/2018 4:00	13	17	29	0	5
7/28/2018 4:00	184	18	22	9	4
8/25/2018 4:00	143	22	13	5	0
9/29/2018 4:00	393	45	30	9	1
10/27/2018 4:00	113	27	21	29	2
11/24/2018 4:00	80	22	21	24	3
12/29/2018 4:00	115	53	11	35	3
1/30/2019 4:00	204	45	35	23	5
2/27/2019 4:00	34	30	22	44	6
3/29/2019 3:00	30	21	26	25	9
4/26/2019 3:00	23	10	12	15	7
5/31/2019 3:00	208	20	14	8	2
6/28/2019 3:00	138	7	5	18	4

The Brooklyn Union Gas Company d/b/a National Grid NY
What is the average time it takes for an initiative to move from IL0-IL5?

Implementation level	Days
IL0 to IL1	17
IL1 to IL2	39
IL2 to IL3	31
IL3 to IL4	26
IL4 to IL5	31

The Brooklyn Union Gas Company d/b/a National Grid NY
Estimated savings for IL5 initiatives when they were at each IL 1-4 by Op Co

Initiative	Planned Annualized Impact (IL1 & IL2) Other	KEDLI	KEDNY	Planned Annualized	Forecast FY21 (IL3 & IL4) Other	KEDLI	KEDNY	Total Forecast FY21
796	$ 56	$ 6	$ 10	$ 72	$ 58	$ 6	$ 10	$ 75
811	$ 91	$ 12	$ 17	$ 120	$ 85	$ 12	$ 15	$ 112
2125	$ 1,659	$ 714	$ 1,239	$ 3,612	$ 1,089	$ 470	$ 816	$ 2,375
2145	$ 2,855	$ 769	$ 1,176	$ 4,800	$ 2,379	$ 641	$ 980	$ 4,000
4049	$ -	$ 310	$ 452	$ 762	$ -	$ 720	$ 1,080	$ 1,800
4182	$ 446	$ 58	$ 86	$ 590	$ 372	$ 48	$ 72	$ 492
13757	$ 1,464	$ 160	$ 256	$ 1,879	$ 1,220	$ 133	$ 213	$ 1,566
13781	$ 264	$ 32	$ 52	$ 348	$ 220	$ 27	$ 43	$ 290
14989	$ 1,775	$ 198	$ 428	$ 2,401	$ 1,479	$ 165	$ 356	$ 2,001
14995	$ 92	$ 42	$ 69	$ 204	$ 77	$ 35	$ 58	$ 170
15001	$ 1,055	$ 113	$ 182	$ 1,350	$ 879	$ 94	$ 151	$ 1,125
15007	$ 565	$ 69	$ 111	$ 746	$ 471	$ 58	$ 93	$ 622
15010	$ 400	$ 18	$ 29	$ 448	$ 125	$ 15	$ 24	$ 164
15691	$ 429	$ 53	$ 84	$ 566	$ 356	$ 43	$ 70	$ 469
16998	$ 2,850	$ 306	$ 445	$ 3,601	$ 2,375	$ 255	$ 371	$ 3,001
Grand Total	**$ 14,002**	**$ 2,862**	**$ 4,635**	**$ 21,499**	**$ 11,185**	**$ 2,723**	**$ 4,352**	**$ 18,260**

Date of Request: July 1, 2019 Request No. DPS-758
Due Date: July 11, 2019 NG Request No. NG-987

KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID
THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY
Case Nos. 19-G-0309 & 19-G-0310
Gas Utilities Rates

Request for Information

FROM: DPS Staff, Sarah E. Keymel

TO: National Grid, Revenue Requirements Panel (KEDNY & KEDLI)

SUBJECT: Savings

Request:

Note: In all interrogatories, all requests for workpapers or supporting calculations shall be construed as requesting any Word, Excel or other computer spreadsheet models in original electronic format with all formulae intact and unlocked.

1. Referring to the Companies' Exhibit__(RRP-11), Workpapers to Exhibit___(RRP-3), Schedule 34, Workpaper 2, provide the summary pages for the implementation level 3 initiatives, in a format similar to the exhibit referred to above.

2. Provide the detailed implementation plans for each of the top ten level 3 initiatives as determined by the largest estimated savings to KEDNY and KEDLI.

Response:

1. Please see Attachment 1 for summary pages for the initiatives in implementation level ("IL") 3 for KEDNY and KEDLI as presented in Companies' Exhibit__(RRP-11), Workpapers to Exhibit___(RRP-3), Schedule 34, Workpaper 2.

2. Please see Attachment 2 for summary milestones for each of the top ten IL 3 initiatives based on OPEX savings as determined by the largest estimated savings to KEDNY and KEDLI. The Company only requires a summary milestone of the plans as WAVE is not a project management tool, but a benefit tracking tool, as discussed below.

Please note that prior to January 31, 2019 milestones were suggested, but not required. New governance was put in place effective February 1, 2019 and the following fields are now required elements for entering the milestones.

- Milestone Name

- Milestone Owner
- Description of milestone
- Dependency (may be own workstream)
- Planned Start Date
- Planned End Date

Because WAVE is not a project management tool, every step in a project plan cannot be entered. Initiative owners are therefore instructed to enter 5 to 10 milestones, including the milestone that will have the primary impact on delivering the planned benefits. While it is possible to have fewer than five milestones, such an occurrence is rare.

Milestone #	Initiative #	Name	Description and purpose	Milestone owner	Expected start date	Planned end date	Milestone completion end date	Planning summary
3467	50	System Integration Testing	Verizon working to complete SIT to hand off to NG IS for Assurance Testing	Matt Dorsey	6/1/2018		7/27/2018	Completed
3469	50	Assurance Testing	Reliant on completion of System Integration Testing by Verizon	Matt Dorsey	7/30/2018		8/10/2018	Completed
3471	50	User Acceptance Testing	UAT to be completed at each Contact Center	Matt Dorsey	8/13/2018	3/1/2019	3/1/2019	Completed
3474	50	UAT Training	Training on AIMS applications to be completed by Verizon. Training on JIRA bug tracking tool to be completed by NG.	Matt Dorsey	8/6/2018		8/10/2018	Completed
3476	50	Northboro Contact Center Deployment	Northboro Electric (CSS) IVR Cutover scheduled for 9PM on April 29th. Go-Live to being 7AM on April 30th Massachusetts Gas (CRIS) IVR Cutover scheduled for 9PM on May 1st. Go-Live to being 7AM on May 2nd	Matt Dorsey	4/29/2019	5/2/2019	5/2/2019	Late
3477	50	Workforce Management Training	Calabrio WFM/QM Admin Training Complete. Advanced CUIC and Data Explorer training to be completed week of 3/4/19	Matt Dorsey	2/12/2019	3/8/2019	3/8/2019	Late
3478	50	Northboro Training	Agent/Supvr, Desktop, Reporting, Icportal & QM - 10/15-10/26 WFM Supervisor - 11/6 & 11/7 Calabrio QM Admin Training - 10/23	Matt Dorsey	10/15/2018		11/7/2018	Completed
3479	50	Metrotech Training	Agent/Supvr, Desktop, Reporting, Icportal & QM - 11/5-11/16 WFM Supervisor - 11/13 & 11/14 Advanced Reporting (301) - 11/13 Advanced Reporting (401) - 11/14	Matt Dorsey	11/5/2018		11/16/2018	Completed
3481	50	Syracuse Training	Agent/Supvr, Desktop, Reporting, Icportal & QM - 10/15-10/26 WFM Supervisor - 11/27-11/28 icList - 11/28 (Metrotech)	Matt Dorsey	11/5/2018		11/28/2018	Completed
3484	50	Northboro Contact Center Deployment	Includes Contact Center and Business Services DUPLICATE	Matt Dorsey	9/17/2018		9/21/2018	Cancelled
3486	50	Metrotech Contact Center Deployment	Long Island IVR Cutover scheduled for 9PM on April 8th. Go-Live to being 7AM on April 9th. New York City IVR Cutover scheduled for 9PM on April 10th. Go-Live to being 7AM on April 11th	Matt Dorsey	4/8/2019	4/11/2019	4/11/2019	Late
3487	50	Syracuse Contact Center Deployment	IVR Cutover scheduled for 10PM on March 18th. Go-Live to being 7AM on March 19th	Matt Dorsey	3/18/2019	3/19/2019	3/19/2019	Late
24547	50	Business Services Deployment	IVR Cutover scheduled for 7PM on March 7th. Go-Live to being 7AM on March 8th	Matt Dorsey	3/6/2019	3/7/2019	3/7/2019	Late
24673	953	Content Migration	Phase 1 Content Migration	Courtney Acker	2/1/2019	3/1/2019	3/1/2019	Completed
24674	953	Content Web Development Sprints	Complete content web development	Courtney Acker	2/1/2019	3/5/2019	3/12/2019	Completed
24675	953	Content Web UAT	User acceptance testing for Content Web	Courtney Acker	3/26/2019	5/31/2019		Late to start
24676	953	TRX Web Design	Web design for the CRIS transaction site	Courtney Acker	1/22/2019	8/16/2019		Not planned
24677	953	TRX Development & Testing	Development of the new CRIS transaction portal	Courtney Acker	1/1/2019	11/12/2019		Not planned
24678	953	TRX UAT	User acceptance testing for the new CRIS transaction portal	Courtney Acker	11/12/2019	1/31/2020		Not planned
24679	953	TRX Launch	Move the new CRIS transaction portal to production and decommission the Siebel site	Courtney Acker	2/6/2020	2/6/2020		Not planned
24680	953	Content Web Launch	Move the new content web design to production	Courtney Acker	6/8/2019	6/8/2019		Late to start
5573	1137	Data Collection	Data collection / Validation (Preventive Maintenance, Customer requests) – Template creation	Patrick McCrann	9/1/2018		12/31/18	Late
5574	1137	Specifications , Define scope of work	Specifications , Define scope of work - required assistance with a solid well defines specification / scope - third party	Patrick McCrann	10/31/2018		1/31/19	Late
5576	1137	RFP – Guidance in the writing , strategy going to market	RFP – Guidance in the writing , strategy going to market –by 2/28	Patrick McCrann	11/28/2018		2/28/19	Late
5577	1137	Evaluation process	Evaluation process – by 5/29/2019 - Evaluate the RFP responses	Patrick McCrann	2/28/2019		6/29/19	Late
5578	1137	Labor plan (internal labor)	Labor plan (internal labor) 10/30/2019	Patrick McCrann	9/3/2019		11/30/18	Late
5579	1137	Implementation – 1/1/2019	Implementation – 1/1/2020	McCrann	11/29/2019		1/1/20	Not started
15450	3600	Stop contractor spend on data scrub	Perform work in house and end contractor spend on data scrub work prior to rate case filings. Current spend of $750k p.a. for contractors to perform work as we did not previously have the capacity among Controllership FTEs. Plan going forward is to perform work using National Grid FTEs (no additional hiring) as a result of rebalancing work within Controllership and freeing up capacity.	Sean McCabe	4/1/2019	3/31/2020		Not planned
15451	3600	End contractor spend on leasing project	End contractor spend in support of leasing project. Spend is $500k p.a. and efficieincies realized throughout Controllership enable enduring work to be performed in house	Enzo Ciccia	4/1/2019	3/31/2021		Not planned
15452	3600	Stop contractor spend on ULT	Current ULT process is reliant on support of contractors, costing $650k p.a. Plan in place to reduce need, bringing work inhouse and reducing manual effort involved in testing.	Sean McCabe	4/1/2019	3/31/2021		Not planned
15453	3600	Complete Project Zero (eliminate mapping files)	Controllership team eliminating manual financial reporting mapping files, that involve the recording in Microsoft Excel of thousands of lines of data, ultimately feeding financial statements. Level of effort for manual entry and subsequent checks equates to 6 FTEs. Roles are analyzed within overall	Peter Wanner	11/1/2018	3/31/2020		Not planned

Milestone #	Initiative #	Name	Description and purpose	Milestone owner	Expected start date	Planned end date	Milestone completion end date	Planning summary
13591	3705	Charter and Strategy Development		Michael Guerin	8/1/2018	1/1/2019	1/1/19	Late
13592	3705	Markety Assessment & Program Developme	begin search- evaluate uses- develop office program- evaluate parallel ops center evaluation	Michael Guerin	10/16/2018	2/1/2019	2/1/19	Late
13593	3705	Space Criteria & Site Evaluation		Michael Guerin	2/1/2019	5/1/2019	5/1/19	Late
13594	3705	Negotiation Strategy & Execution	lease execution complete	Michael Guerin	5/1/2019	7/1/2019	7/1/19	Late
13595	3705	detail planning and construction developmen	programming and pre-construction activity	Michael Guerin	7/1/2019	3/31/2020		Late to start
13596	3705	Construction Related Activities	PM and CM own this task via 3rd party	Michael Guerin	5/1/2020	12/31/2020	12/31/20	Not started
24721	14707	Pilot success in Albany	Pilot was a success in Albany with 75% appointments made to work plan	ristopher Shelans	1/8/2019	2/1/2019	2/1/19	Completed
24592	14712	Op Model effective date	Update actual data pending departures.	Catherine Wisnic	4/1/2019	4/6/2019		Late to start
17196	15403	Paving Program - Strategy & Administration of Paving Orders	The initiative seeks to review the administration of paving and restoration strategy to see if opportunities exist to reduce this cos	Michael Goodma	3/5/2019	8/29/2020		Late to start
26999	16176	Strategy and Regulation Efficiencies	Strategy and Regulation efficiencies	N/A	N/A	N/A		Not Started
24724	17509	Project Kickoff Meeting	Bring the team together; review project charter and business case, and team member roles and expectations.	Polina Adelson	3/19/2019	3/19/2019	N/A	Started

Date of Request: July 1, 2019 Request No. DPS-762
Due Date: July 11, 2019 NG Request No. NG-991

KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID
THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY
Case Nos. 19-G-0309 & 19-G-0310
Gas Utilities Rates

Request for Information

FROM: DPS Staff, Luke Quackenbush

TO: National Grid, Gas Infrastructure and Operations Panel (KEDNY & KEDLI)

SUBJECT: Service Company Rent Expense

Request:

Note: In all interrogatories, all requests for workpapers or supporting calculations shall be construed as requesting any Word, Excel or other computer spreadsheet models in original electronic format with all formulae intact and unlocked.

The following questions reference Exhibit___(GIOP-6), Schedule 2, p. 9:

1. Under the 'Brief Description' of the Hicksville Office Relocation, the Companies state 'target completion in 2020.' Provide the date at which the Hicksville office relocation program will be complete.

2. Provide the Property Strategy plan documents the Companies use, including but not limited, to the Hicksville Office Relocation.

3. Provide the dollar amount of savings associated with the relocation program, and where it is reflected in the Companies' proposal.

4. Provide the anticipated start date for the new Long Island office location and explain where in the filing the new Long Island office location is accounted for in the Rate Year. If not accounted for in the Rate Year, explain why not.

5. Are any costs associated with the Hicksville office being incurred during the same time period as any Long Island office costs? If so, explain why?

Response:

1. The new Long Island Office lease (Hicksville Office Relocation) is targeted to commence August 2020 with a targeted move in date for the end of March of 2021.

2. Attachment 1 is the Long Island Property Investment Plan.

3. Attachment 2 reflects the forecast savings related to the Hicksville Office Relocation. The Hicksville Office Relocation is currently reflected in the Implementation Level (IL3) "Planned" phase of National Grid's Accelerate Program because any potential savings are not expected to accrue until FY23 (Data Year 2) and FY24 (Data Year 3) and the Companies' ability to achieve those savings is somewhat uncertain given the complexity of the project. Notwithstanding, for purposes of the revenue requirement presented in these rate filings, the Companies reflected savings associated with fully transitioning from the Hicksville Office to the new Long Island office. Specifically, as shown in Attachment 2, KEDLI's revenue requirement includes savings of $1.871 million and $1.883 million in Data Years 2 and 3. KEDNY's revenue requirement includes savings of $2.863 million and $2.865 million in Data Years 2 and 3 (inclusive of the new Long Island Office capital investment). While these savings have been reflected in the revenue requirement, the Companies are assuming the risk they will be able to fully transition from the current Hicksville Office to the new office and that they will no longer incur costs associated with the Hicksville Office by the end of FY22.

4. The anticipated start date for the new Long Island office location is the end of March 2021. The Long Island office location costs are accounted for in FY21, within Exhibit___RRP-11, Workpapers to Exhibit___RRP-3, Schedule 9, Workpaper 4 (Long Island Office (Hicksville)).

5. Yes, the Company will incur costs related to both Hicksville and the new Long Island office during FY21 and FY22 to allow for a period to transition fully from the existing Hicksville office and operations buildings. All of the existing Hicksville site costs were removed from the Service Company rent model beginning in FY23 (DY2) in the Corrections & Updates filing. This update can be found within Exhibit___RRP-11CU, Workpapers to Exhibit___RRP-3CU, Schedule 9, Workpapers 10 and 13.

Date of Request: July 10, 2019 Request No. DPS-806
Due Date: July 22, 2019 NG Request No. NG-1090

KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID
THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY
Case Nos. 19-G-0309 & 19-G-0310
Gas Utilities Rates

Request for Information

FROM: DPS Staff, John Castano and Sarah E. Keymel

TO: National Grid, Revenue Requirements Panel (KEDNY)

SUBJECT: Consultants

Request:

Note: In all interrogatories, all requests for workpapers or supporting calculations shall be construed as requesting any Word, Excel or other computer spreadsheet models in original electronic format with all formulae intact and unlocked.

Refer to the "Detail Cost Tracing" tab in the KEDNY's Excel workpaper RRP-11, Workpapers to RRP-3, Schedule 1, WP1 and the Company's response to IR DPS-450 for the following question:

The Company is including $1.654 million of costs for AlixPartners LLP:

1. Provide copies of all the invoices that make up the $1.654 million.

2. Provide a detailed explanation as to why these charges were incurred.

3. Provide a copy of the purchase order that supports and identifies the work being performed.

4. Explain why there were no charges for this vendor in 2016 and 2017.

5. Explain whether or not this charge will recur during the Rate Year.

Response:

1. See Attachments 1 – 13 for the invoices that comprise the $1.654 million in question and Attachment 14 for the accounting applied. Confidential banking information has been redacted as it has not been requested.

2. Alix Partners LLP ("Alix") was contracted to conduct an IT Spend analysis aimed at identifying potential cost reduction opportunities and to assist with contract negotiations to

attempt to achieve said reductions. Alix also supported IT network contract extension negotiations.

3. See Attachment 15 for a copy of the Purchase Order associated with Alix.

4. The engagement of Alix commenced in 2018. Therefore, there were no charges associated with this vendor in prior years.

5. The Company outsources many IT services to external consultants. The use of consultants to provide expertise aimed at ensuring the efficient delivery of the IT portfolio and assisting with contract negotiations will continue and is a reasonable and prudent activity of any major company with a significant IT portfolio.

Date of Request: July 12, 2019 Request No. DPS-869
Due Date: July 22, 2019 NG Request No. NG-1169

KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID
THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY
Case Nos. 19-G-0309 & 19-G-0310
Gas Utilities Rates

Request for Information

FROM: DPS Staff, John Castano

TO: National Grid, Revenue Requirements Panel (KEDNY)

SUBJECT: Contractors Expense

Request:

Note: In all interrogatories, all requests for workpapers or supporting calculations shall be construed as requesting any Word, Excel or other computer spreadsheet models in original electronic format with all formulae intact and unlocked.

In the Companies' response to IR DPS-236, Supplemental Response, KEDNY states that the LL30 forecast of $17M, has been updated, which lowers the Rate Year expense to $11M. KEDNY also stated that the updated forecast would be reflected in the Company's Correction and Updates filing.

1. Identify where in the Corrections and Updates filing the updated LL30 forecast has been reflected.
2. If the updated LL30 forecast was not included in the Corrections and Updates filing, identify where the adjustment should have been made, and provide all supporting workpapers, and calculations.

Response:

1. The Company inadvertently did not reflect the updated LL30 forecast in the Corrections and Updates filing.

2. See Attachment 1 for an analysis of LL30 expense indicating that the Rate Year amount in the Company's Corrections and Updates filing is $16.642 million based on the original LL30 forecast. Using the updated LL30 forecast, the Rate Year LL30 expense would be $10.264 million. As such, the expense amount in the Company's Corrections and Updates filing should be lower by $6.378 million. As presented in Attachment 1, this adjustment is made

up of an amount related to paving equal to $1.177 million and an amount related to general contractors equal to $5.201 million.

The Brooklyn Union Gas Company d/b/a National Grid NY
Cases 19-G-0309
Local Law 30 Expense Reconciliation

Net Impact to C&U for Change in LL30 Forecast

	RY1	DY1	DY2	DY3
Change to C&U Filing				
Total LL30 in C&U Filing	16,642.1	403.1	411.4	419.4
Updated LL30 Forecast	10,263.6	-	-	-
Variance - Adjustment Needed	(6,378.5)	(403.1)	(411.4)	(419.4)
Adjustment By Cost Type				
General Contractors	(5,201.3)	10.0	9.1	8.8
Paving	(1,177.1)	(413.1)	(420.5)	(428.2)
	(6,378.5)	(403.1)	(411.4)	(419.4)

Original Filing - Reconcile LL30 Expense

	HTY	RY1	DY1	DY2	DY3
Contactors Exhibit LL30					
G/L Amount	63,902,854	67,014,924	68,379,038	69,739,407	71,081,687
Reclass (pg 5)	-	-	-	-	-
Normalization (pg 5)		(47,602,783)	(48,571,755)	(49,538,068)	(50,491,531)
Normalization (pg 5)			(16,300,071)	(16,624,353)	(16,944,324)
Total LL30		19,412,141	3,507,211	3,576,986	3,645,832
LL30 Forecast		16,300,071	-	-	-
Difference		3,112,070	3,507,211	3,576,986	3,645,832

C&U - Reconcile LL30 Expense (Original LL30 Forecast)

	HTY	RY1	DY1	DY2	DY3
Contactors Exhibit LL30					
G/L Amount	57,301,679	59,569,108	60,815,851	62,054,918	63,263,609
Reclass (pg 5)	(2,042,180)	(2,141,634)	(2,185,228)	(2,228,702)	(2,271,598)
Normalization (pg 5)	(41,700,662)	(43,350,759)	(44,258,062)	(45,159,779)	(46,039,391)
Normalization (pg 5)			*(14,382,540)*	(14,675,571)	(14,961,418)
Total LL30		14,076,715	(9,979)	(9,134)	(8,798)
LL30 Forecast		14,095,360	-	-	-
Difference		(18,645)	(9,979)	(9,134)	(8,798)
Paving Exhibit LL30					
G/L Amount	6,601,175	6,862,384	7,006,009	7,148,750	7,287,992
Reclass (pg 5)	2,042,180	2,141,634	2,185,228	2,228,702	2,271,598
Normalization (pg 5)		*(6,438,644)*	(6,573,401)	(6,707,328)	(6,837,972)
Normalization (pg 5)			*(2,204,711)*	(2,249,630)	(2,293,447)
Total C&U LL30		2,565,374	413,125	420,494	428,171
LL30 Forecast		2,204,711	-	-	-
Difference		360,663	413,125	420,494	428,171
Total LL30					
G/L Amount	63,902,854	66,431,492	67,821,861	69,203,668	70,551,601
Reclass (pg 5)		-	-	-	-
Normalization (pg 5)		(49,789,403)	(67,418,715)	(68,792,308)	(70,132,228)
Total LL30		16,642,089	403,146	411,360	419,372
LL30 Forecast		16,300,071	-	-	-
Difference		342,018	403,146	411,360	419,372

C&U Corrected - Reconcile LL30 Expense (Updated LL30 Forecast)

	HTY	RY1	DY1	DY2	DY3
Contactors Exhibit LL30					
G/L Amount	57,301,679	59,569,108	60,815,851	62,054,918	63,263,609
Reclass (pg 5)	(2,042,180)	(2,122,989)	(2,167,422)	(2,211,581)	(2,254,657)
Normalization (pg 5)	(46,721,939)	(48,570,728)	(49,587,282)	(50,597,577)	(51,583,104)
Normalization (pg 5)			(9,061,148)	(9,245,760)	(9,425,847)
Total LL30		8,875,392	-	-	-
LL30 Forecast		8,875,392	-	-	-
Difference		-	-	-	-
Paving Exhibit LL30					
G/L Amount	6,601,175	6,862,384	7,006,009	7,148,750	7,287,992
Reclass (pg 5)	2,042,180	2,122,989	2,167,422	2,211,581	2,254,657
Normalization (pg 5)	(7,307,962)	(7,597,138)	(7,756,141)	(7,914,166)	(8,068,316)
Normalization (pg 5)			(1,417,290)	(1,446,166)	(1,474,334)
Total C&U LL30		1,388,235	-	-	-
LL30 Forecast		1,388,235	-	-	-
Difference		-	-	-	-
Total LL30					
G/L Amount	63,902,854	66,431,492	67,821,861	69,203,668	70,551,601
Reclass (pg 5)		-	-	-	-
Normalization (pg 5)		(56,167,866)	(67,821,861)	(69,203,668)	(70,551,601)
Total LL30		10,263,626	-	-	-
C&U Filling LL30		16,642,089	403,146	411,360	419,372
Correction (C&U Difference)		***(6,378,463)***	***(403,146)***	***(411,360)***	***(419,372)***

Original Filing - Reconcile LL30 Expense

Calculation of HTY Normalization Adjustment

	HTY	FY2021 Forecast	HTY Normalization
Total LL30 Incremental / Non-incremental			
Contractors & Other	63,902,854	16,300,071	47,602,783
Labor & Transportation	2,744,003	699,929	-
Total	66,646,858	17,000,000	47,602,783
Split Incremental to Paving/Non-paving			
Paving	8,643,355	2,204,711	6,438,644
Non-Paving	55,259,499	14,095,360	41,164,139
	63,902,854	16,300,071	47,602,783

Notes

Inflation Rates	Orig Filing	C&U Filing	
HTY to RY	4.8700%	3.9570%	-0.9130%
DY1	2.0355%	2.0929%	0.0574%
DY2	1.9895%	2.0374%	0.0480%
DY3	1.9247%	1.9478%	0.0231%

C&U - Reconcile LL30 Expense (Original LL30 Forecast)

Calculation of HTY Normalization Adjustment

	HTY	FY2021 Forecast in HTY dollars	HTY Normalization	FY2021 Forecast
Total LL30 Incremental / Non-incremental				
Contractors & Other	63,902,854	15,679,628	48,223,226	16,300,071
Labor & Transportation	2,744,003	673,287		699,929
Total	66,646,858	16,352,915	48,223,226	17,000,000
Split Incremental to Paving/Non-paving				
Paving	8,643,355	2,120,791	6,522,564	2,204,711
Non-Paving	55,259,499	13,558,837	41,700,662	14,095,360
	63,902,854	15,679,628	48,223,226	16,300,071
			6,780,662	342,018

Basis for Adjustments on Contractors C&U Summary page

	HTY	RY1	DY1
Original Filing			
HTY Spend	63,902,854	67,014,924	68,379,038
		(47,602,783)	(48,571,755)
			(16,300,071)
Total LL30 Orig Filing	63,902,854	19,412,141	3,507,211
Corrections & Updates			
HTY Spend	63,902,854	66,431,492	67,821,861
Non-paving adj	(41,700,662)	(43,350,759)	(44,258,062)
Paving Normalization	(6,522,564)	(6,780,662)	(6,922,577)
Paving Normalization			(2,250,854)
Non-paving adj			(14,382,540)
Total LL30 C&U Filing	15,679,628	16,300,071	7,827
Difference from Orig		(3,112,070)	(3,499,384)

C&U Corrected - Reconcile LL30 Expense (Updated LL30 Forecast)

Calculation of HTY Normalization Adjustment

	HTY	FY2021 Forecast in HTY dollars	HTY Normalization	FY2021 Forecast
Total LL30 Incremental / Non-incremental				
Contractors & Other	63,902,854	9,872,953	54,029,901	10,263,626
Labor & Transportation	2,744,003	423,947		440,723
Total	66,646,858	10,296,900	54,029,901	10,704,349
Split Incremental to Paving/Non-paving				
Paving	8,643,355	1,335,393	7,307,962	1,388,235
Non-Paving	55,259,499	8,537,560	46,721,939	8,875,392
	63,902,854	9,872,953	54,029,901	10,263,626

Date of Request: July 15, 2019 Request No. DPS-877
Due Date: July 25, 2019 NG Request No. NG-1177

KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID
THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY
Case Nos. 19-G-0309 & 19-G-0310
Gas Utilities Rates

Request for Information

FROM: DPS Staff, Sarah E. Keymel

TO: National Grid, Revenue Requirements Panel (KEDNY & KEDLI)

SUBJECT: Other Initiatives - FTEs

Request:

Note: In all interrogatories, all requests for workpapers or supporting calculations shall be construed as requesting any Word, Excel or other computer spreadsheet models in original electronic format with all formulae intact and unlocked.

Referring to the Companies' response to IR DPS-393, question 3, the Companies stated that calculating the overhead rates based on the Rate Year labor and benefits is a more reasonable forecast and that the Companies would make this update in their Corrections and Updates filings.

Explain why the amounts used to calculate the overhead rates in the Companies' Corrections and Updates filing do not tie to the Rate Year figures.

Response:

The overhead (OH) rates used to calculate OH burdens on incremental FTEs in Exhibit (RRP-3CU), Schedule 27 Other Initiatives, in the Company's Corrections and Updates (C&U) filing were applied before all updates were made to the associated Rate Year benefits amounts that are the basis for those OH rates (i.e. the update to inflation rates was not reflected in the OH rates). OH rates based on the final Rate Year benefits amounts in the Company's C&U filing would result in reductions to incremental FTE expense of $0.173 million for KEDNY and $0.140 million for KEDLI.

Name of Respondent: Date of Reply:
Mark Stiner July 23, 2019

Date of Request: July 19, 2019 Request No. DPS-916
Due Date: July 29, 2019 NG Request No. NG-1228

KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID
THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY
Case Nos. 19-G-0309 & 19-G-0310
Gas Utilities Rates

Request for Information

FROM: DPS Staff, Sarah E. Keymel

TO: National Grid, Revenue Requirements Panel (KEDNY & KEDLI)

SUBJECT: Savings

Request:

Note: In all interrogatories, all requests for workpapers or supporting calculations shall be construed as requesting any Word, Excel or other computer spreadsheet models in original electronic format with all formulae intact and unlocked.

1. The Companies state in their response to IR DPS-755, Question 1, that the Companies are assuming the risk that they could sustain this level of savings across multiple years, by including these savings in the data year, with inflation. Identify and explain the risks involved.

2. For each initiative listed in the Companies' Corrections and Updates Exhibit__(RPP-11CU), Workpapers to Exhibit__(RRP-3CU), Schedule 34, Workpaper 1, identify whether the savings amount is a one-time savings amount or on-going savings amount.

Response:

1. The Accelerate Program is an aspirational efficiency challenge that ends in FY 2021, the start of the Rate Year in these proceedings. Many factors impact the sustainability of savings beyond the Rate Year such as new mandates or increases in cost that could potentially offset any savings, evolving customer and stakeholder expectations, actions by third-parties, and other similar factors. For instance, Initiatives #2134 Early Payment Discounts and #800 Virtual Card Rebates seek to increase vendor payment options to capture discount opportunities. While there are forecast savings in the Rate Year associated with these initiatives, there is no assurance that vendors will continue discounts in the Data Years, or that the discounts will be as high as they were in the Rate Year.

   Notwithstanding, for purposes of the revenue requirements, the Companies included the savings associated with all IL4 and IL5 savings impacting KEDNY and KEDLI –

including those that are one-time in nature (see the response to question 2 below) – and held these amounts constant (with inflation) across each of the Rate Year and Data Years. This totals more than $125 million and $50 million in savings, respectively, for KEDNY and KEDLI across the proposed rate plan from the Accelerate Program alone. On top of this, the Companies added a productivity adjustment, thereby assuming they could find one percent more in savings in addition to those savings in the Accelerate Program. This is a substantial challenge as the Accelerate Program has challenged the business already in the form of a comprehensive program to find efficiencies across the U.S. The Companies included this aggressive proposal to mitigate the number of issues in the case and to account for unknown savings from initiatives in ILs 0-3 that could move to ILs 4-5 before the start of the Rate Year. For these reasons, the Companies are assuming the risk that the substantial level of savings reflected in the revenue requirements can be sustained across future years once the program ends.

2. Attachment 1 to DPS-774 shows savings that are one-time in nature (on the tab called "One-Time O&M"). As discussed above, regardless if an initiative was one-time in nature, the Companies treated all initiatives the same and assumed, for purposes of the revenue requirements, that savings from initiatives in IL4 and IL5 would be on-going and sustained across the term of the rate plan along with a one percent productivity adjustment.

Date of Request: July 23, 2019 Request No. DPS-928
Due Date: August 2, 2019 NG Request No. NG-1244

KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID
THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY
Case Nos. 19-G-0309 & 19-G-0310
Gas Utilities Rates

Request for Information

FROM: DPS Staff, Hina M. Thalho

TO: National Grid, Revenue Requirements Panel

SUBJECT: Other Expenses- KEDNY

Request:

Note: In all interrogatories, all requests for workpapers or supporting calculations shall be construed as requesting any Word, Excel or other computer spreadsheet models in original electronic format with all formulae intact and unlocked.

Referring to the Companies' response to IR DPS-768, Attachment, "Attachment 1 to DPS-768" Tab, "ALL (2)," the KEDNY included a list of fines related to the permits show below:

Row Labels	Sum of Fine
Failure To Comply With Terms & Cond. Of Permit	4,261,000
Street Opening Without Permit	3,378,000
Failure To Permanently Restore Cut Within Required Time	2,108,800
Materials/Equipment Storage On Street Without Permit	842,250
Protected Street Opening Without A Permit	469,800
Sidewalk / Street Closing Without A Permit	289,800
No Notice To Dot Before Start Phase Of Work On Protected St	265,500
Installing r/w markings, parking, const, or regulatory signs w/o a	60,000
Doing Non-Emergency With An Emergency Authorization Numb	34,000
Failure To Begin Emergency Work In 2 Hrs After Authorization	23,000

1. Explain why the Company performed the work without permits.

2. Explain why the Company did not follow the Terms and Condition of the Permits.

3. Explain how the Company could reduce or avoid fines through its due diligence or other procedures? If KEDNY asserts that the fines cannot be avoided or reduced explain why.

4. Explain why ratepayers should bear the cost of fines for permit violations.

5. Does the Company believe that the Company will incur similar fines (type and amount) in the Rate Year? If yes, explain why. If no, explain why.

Response:

1, 2 & 4.

To construct, operate, and maintain KEDNY's natural gas distribution system, the Company must regularly excavate in streets and sidewalks in the complex operating environment of the City of New York. For all non-emergency work, the Company secures street opening permits in advance from the NYC Department of Transportation (DOT). The Company electronically submits a permit application, which is reviewed by the NYC DOT, and a permit is issued. The permit indicates, among other items, the area to be excavated and any work restrictions. From time to time, the Company receives violations ("Notice of Violations" or "NOVs") in connection with these street openings. These violations include failure to follow permit conditions, work hour restrictions, working outside of the permit area, and failure to restore the area to the DOT's standards. Many of these violations are the result of unanticipated field conditions (*e.g.*, subsurface facilities, parking conditions, heavy traffic) that necessitate work beyond the scope of the permit, which was applied for before the field work began. For example, the Company may be required to work in a larger area or for a longer period than was contemplated at the time the permit was secured because of the conditions observed when the underground facilities are excavated and exposed, perform work that does not strictly conform to the permit stipulations in these cases, or perform work beyond the permit scope to expedite construction activities to accommodate local parking, traffic flow on critical roadways, or local business needs. Based on these field conditions, the violations may be incurred to enable the Company to complete the job efficiently (*e.g.*, avoid mobilizing crews for multiple workdays), minimize customer disruptions, and ensure the provision of safe and reliable gas service to customers. These activities are performed for the benefit of customers and therefore included in the Company's cost of service, as they have been in the past. If the Company did not perform the required activities in the field, customers may experience increased service outage and construction delays as well as a general increase in the cost of service associated with inefficient remobilization of resources.

3. The Company is focused on reducing the number of violations related to street opening permits and traffic violations. These efforts are described in the Company's response to DPS-859 and in the Company's Roadwork and Traffic Violation Report that was filed with the Commission on April 1, 2019 in Case 16-G-0059.

5. Please see the Company's response to DPS-859. Despite the Company's efforts to reduce the number of violations, there are several factors that are driving costs higher. For example, as discussed in the Company's April 1, 2019 Roadwork and Traffic Violation Report, the NYC DOT changed the manner in which it applies and enforces certain stipulation requirements in CY 2018, and the Company incurred violations while the Company was working to change processes to comply with stipulations. As the Company continues its work to improve overall compliance, NYC DOT may continue to

alter areas of enforcement focus that may require the Company to further adapt its work processes. Additionally, expansion of the Company's construction portfolio will likely increase the potential violations incurred (*i.e.* based on historical trends, an increase in the amount of permitted work is likely to correspond to an increase in the number of violations incurred, despite the Company's efforts to minimize exposure). The Company's work plan will expand in the Rate Year and Data Years. On page 3 of the Roadwork and Traffic Violation Report, KEDNY described a more than 200% increase in the number of street opening permits it obtained from 2014 to 2018. While significant, the report actually understated the number of permits received. Since filing the report in April 2019, updated data shows the final number of 2018 permits was approximately 76,000 (not 66,000 as originally reported). In the calendar year to date, the Company has obtained approximately 54,017 permits already to date in calendar year 2019. Therefore, the Company not only anticipates the number of violations to remain steady in the Rate Year and Data Year, but there is a potential for the number to increase.

Date of Request: July 23, 2019 Request No. DPS-931
Due Date: August 2, 2019 NG Request No. NG-1247

KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID
THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY
Case Nos. 19-G-0309 & 19-G-0310
Gas Utilities Rates

Request for Information

FROM: DPS Staff, Sarah E. Keymel

TO: National Grid, Revenue Requirements Panel (KEDNY & KEDLI)

SUBJECT: Consultants

Request:

Note: In all interrogatories, all requests for workpapers or supporting calculations shall be construed as requesting any Word, Excel or other computer spreadsheet models in original electronic format with all formulae intact and unlocked.

Referring to the Companies responses to Staff's IR DPS-806 and DPS-807.

1. The Companies hired Alix Partners to conduct an IT Spend analysis aimed at identifying potential cost reduction opportunities and to assist with contract negotiations to attempt to achieve said reductions.
   a. Were any cost reduction opportunities identified? If so, explain in detail each opportunity identified and the potential cost reductions.
   b. For each opportunity identified, state whether the Companies are currently, pursuing or not intending to pursue the opportunity identified. If the Companies decided not to pursue an opportunity, explain why not.
   c. Have the potential cost reduction opportunities been reflected in the Companies' filing? If so, specifically identify where in the Companies' filing these cost reductions are reflected. If no, explain why no cost reduction opportunities have been reflected.

Response:

1a. Yes, the Companies identified annual run rate savings of $12.3M from the Verizon contract re-negotiation and annual run rate savings of $9.8M from the reset of the Application Development and Application Maintenance (ADAM) contracts. Alix Partners also identified several potential cost reduction opportunities in their review of the IT spend analysis, which was provided in the Companies' Response to DPS-930.

1b. The primary focus of the Alix Partners engagement was to assist with the contract negotiations on two major contracts that were set to expire. This scope of work represents $10.7M (86%) of the costs identified in the responses to DPS-806 and DPS-807. A large portion of this fee was also based on the successful achievement of the cost reductions identified above. Additionally, Alix Partners was hired to perform an IT spend analysis to identify potential cost reduction opportunities. The Company has taken several short-term actions based on the report including the hiring of several critical roles and making further modifications to the IT organization structure. Other potential opportunities identified by Alix Partners are generally longer-term initiatives that the Company continues to evaluate. Until the Company determines the viability of the remaining potential opportunities, and whether and how to move forward with any of them, it would be premature to reflect other cost adjustments (reductions or increases) related to these activities within the filing.

1c. Yes, the annual run rate savings noted above were included in Exhibit _ (ITP-8CU), p. 1 of 2, on the Infrastructure & Operation's line. An initial savings amount occurred during the test year, resulting in reductions of $5.5 million, and incremental annual savings of $16.6M are included in the Rate Year and Data Years.

Date of Request: July 24, 2019 Request No. DPS-933
Due Date: August 5, 2019 NG Request No. NG-1249

KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID
THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY
Case Nos. 19-G-0309 & 19-G-0310
Gas Utilities Rates

Request for Information

FROM: DPS Staff, Sarah E. Keymel

TO: National Grid, Revenue Requirements Panel (KEDNY & KEDLI)

SUBJECT: Consultants

Request:

Note: In all interrogatories, all requests for workpapers or supporting calculations shall be construed as requesting any Word, Excel or other computer spreadsheet models in original electronic format with all formulae intact and unlocked.

Referring to the Companies responses to Staff's IR DPS-806 and DPS-807.

1. On each invoice provided in Attachments 1 through 13 to DPS-806 and DPS-807, either "Phase 2 Billable Time and Expense", "IS Deep Dive Billable Time and Expense" or "SOW 3 Billable Time and Expense" is stated on the invoice.
    a. Explain what specific work "Phase 2" consists of.
    b. Explain what specific work "IS Deep Dive" consists.
    c. Explain what specific work "SOW 3" consists.

2. Attachment 3 to DPS-806 and DPS-807 contain an invoice dated December 14, 2017. Explain why the Companies are including charges for an invoice dated before the Historic Test Year in the Rate Year.

3. Have the Companies hired a consultant to perform the same analysis Alix Partners performed for the Companies in 2016 or 2017?

Response:

1. Please see the response to DPS-932 which contains the three Statement of Work (SOW) documents describing the work to be performed. Specifically,

    a. Invoices noted with "Phase 2" pertain to SOW #2 which is Attachment 3 to DPS-932.

b. Invoices noted with “IS Deep Dive” pertain to SOW #1 which is Attachment 2 to DPS-932.

c. Invoices noted with “SOW 3” pertain to SOW #3 which is Attachment 4 to DPS-932.

Please note that the responses to DPS-806 and DPS-807 included the invoices only. There is also a reclass entry, included in the filing, for each invoice that cross charges a portion of the costs to the UK Billing Entity.

2. The Companies included this invoice because it relates to the Alix Partners work on the Verizon and ADAM contract negotiations, the savings of which have been reflected in the revenue requirement (see the response to DPS-931). The Alix Partners invoice was received by accounts payable on March 26, 2018; therefore, the Company relied on the March 2018 date.

3. The work performed by Alix Partners on the Verizon and ADAM contract negotiations and the IT Spend Analysis were not previously performed in 2016 and 2017. While the work was unique to this time-period, the use of external consultants to provide expertise on the rapidly changing technology market has been a standard course of business for the IT function over the last several years. Given the size of the IT Portfolio and number of outsourced contracts, the Companies expect that the use of external consultants for similar efforts will continue in the foreseeable future.

Also, please note that the response to DPS-806 and DPS-807 incorrectly stated that the Alix Partners work commenced in 2018. As noted above, this work commenced in 2017.

Exhibit __ (RRP-5R)

Staff IR Responses

STAFF OF THE DEPARTMENT OF PUBLIC SERVICE
RESPONSE TO INTERROGATORY/DOCUMENT REQUEST

The Brooklyn Union Gas Company d/b/a National Grid NY
KeySpan Gas East Corporation d/b/a National Grid
Cases 19-G-0309 & 19-G-0310 – Gas Rates

Request No.:	NG-06
Requested By:	KEDNY/KEDLI, Revenue Requirements Panel
Information Requested of:	Staff Accounting Panel
Date of Request:	September 3, 2019
Response Due Date:	September 13, 2019
Date of Response:	September 13, 2019
Name & Position of Respondent:	Hina M Thalho, Senior Auditor
Subject:	Uncollectible Rate - KEDNY

Question:

1. Does Staff agree with the recalculation of KEDNY's uncollectible rate as shown on Attachment 1 using the three-year period June 2016 through May 2019? If not, explain.

Response:

1. Staff agrees with the recalculation of KEDNY's uncollectible rate as shown on MS Excel file "NG-6 RRP-2 Attachment 1 KEDNY Uncollectible Rate Adjusted," which the Companies attached to IR NG-06.

Question:

2. Does Staff agree that their calculation of uncollectible expense as shown on Exhibit___(SAP-2), pages 2 and 4, is based on the Companies Corrections and Updates tariff revenues that include NESE in its sales forecast?

Response:

2. Yes. Staff calculated its calculation of uncollectible expenses based on the Companies' Corrections and Updates tariff revenues, which assumed NESE would be built for the purposes of the sales forecast.

STAFF OF THE DEPARTMENT OF PUBLIC SERVICE
RESPONSE TO INTERROGATORY/DOCUMENT REQUEST

The Brooklyn Union Gas Company d/b/a National Grid NY
KeySpan Gas East Corporation d/b/a National Grid
Cases 19-G-0309 & 19-G-0310 – Gas Rates

Request No.:	NG-07
Requested By:	KEDNY/KEDLI, Revenue Requirements Panel
Information Requested of:	Staff Revenue Requirements Panel
Date of Request:	September 3, 2019
Response Due Date:	September 13, 2019
Date of Response:	September 13, 2019
Name & Position of Respondent:	John Castano, Auditor 2 (Public Utilities)
Subject:	Labor – Vacancy Rates

Question:

Is it Staff's position that there are no vacancies included in the December 31, 2018 headcounts used in KEDNY's and KEDLI's Rate Year labor expense forecast?

Response:

It is Staff's position that the Companies did not account for vacancies from the end of the Historic Test Year, through the Rate Year in developing the Companies Rate Year labor forecasts and the Companies projected Rate Year incremental FTEs contained in the Other Initiatives expense cost element. As explained in the Companies' Revenue Requirement Panel testimonies, the Companies based their Rate Year labor forecast on the actual number of employees on the payroll at December 31, 2018. Further, the Companies state they made adjustments to remove employees from management, to include headcounts for those on long term leave who were not expected to return, and to add average headcounts for seasonal and temporary employees who were excluded from the December 31, 2018 employee headcounts. The Companies also included in their headcounts employees who separated from the Companies during the 2018 calendar year, through December 30, 2018. The Companies, however, did not apply a vacancy rate assumption with respect to their projected incremental FTEs contained in the Other Initiatives operation and maintenance expense cost element.

While the Companies did not account for such vacancies in their labor and incremental FTE forecasts, they do recognize that vacancies will exist. In response to IRs DPS-690 and DPS-691, the Companies state that " …headcounts can vary from month to month (or even day to day)," and that "[v]ariables such as attrition related to retirements, terminations, voluntary separations, and long-term leave, as well as the filling of positions that have been vacated, can result in fluctuations in staffing headcount from one period to another." However, as explained in the Companies responses to DPS-646 and DPS-647, the Companies indicate that National Grid does not track vacancy rates for existing positions.

STAFF OF THE DEPARTMENT OF PUBLIC SERVICE
RESPONSE TO INTERROGATORY/DOCUMENT REQUEST

The Brooklyn Union Gas Company d/b/a National Grid NY
KeySpan Gas East Corporation d/b/a National Grid
Cases 19-G-0309 & 19-G-0310 – Gas Rates

Request No.:	NG-10
Requested By:	KEDNY/KEDLI Revenue Requirement Panel and Gas Infrastructure and Operation Panel (GIOP)
Information Requested of:	Staff Gas Infrastructure and Operation Panel (SGIOP)
Date of Request:	September 3, 2019
Response Due Date:	September 13, 2019
Date of Response:	September 16, 2019
Name & Position of Respondent:	Mark Tintera – Assistant Engineer Qin Shi – Utility Engineer Specialist 2 Sean Walters – Professional Engineer 1 Brian Fisher – Utility Engineer Specialist 2
Subject:	KEDNY and KEDLI Exhibit _(SGIOP-4)

Question:

There are various discrepancies between SGIOP testimony discussing capital changes, Staff's Exhibits SGIOP-4 and the capital changes embedded in the net plant and depreciation forecast that supports Exhibit SGIOP-6. For example, page 36 of SGIOP testimony recommends a total downward adjustment of $50.506 million and $92.545 million for KEDNY and KEDLI, respectively for Customer Connections. However, page 41 of GIOP testimony presents a $10.231 million and $16.079 million downward adjustment for Gas System Reinforcement for KEDNY and KEDLI, respectively and a $38.187 million and $75.847 million downward adjustment for KEDNY and KEDLI, respectively for the No-NESE scenario. When combining those adjustments on page 41, the total adjustment would be $48.418 million for KEDNY and $91.926 million of KEDLI, which is different than the total discussed on page 36 and presented on Exhibit SGIOP-4. The testimony further down on page 41 refers to an upward adjustment of $8.773 million for KEDNY and a downward adjustment of $22.044 million for KEDLI, which appears to be related to the Clean Choice Programs being eliminated, which also doesn't tie out to Exhibit SGIOP-4, nor appears to be included in the total adjustment described in the testimony on page 36.

Additionally, when comparing Exhibit SGIOP-4 to the Customer Connections capital reductions embedded in the net plant and depreciation forecast that is used for making the adjustments presented on Exhibit SGIOP-6, the capital reductions are $43.818 for KEDNY and $93.466 million for KEDLI, which don't reconcile to either the SGIOP testimony or Exhibit SGIOP-4.

1. Please provide the correct source of Staff's capital reductions by each spending rationale project separately (i.e. Customer Connections, Mandated, Reliability, Non-Infrastructure and Indirect) and reconcile them between:
   a. SGIOP testimony

STAFF OF THE DEPARTMENT OF PUBLIC SERVICE
RESPONSE TO INTERROGATORY/DOCUMENT REQUEST

The Brooklyn Union Gas Company d/b/a National Grid NY
KeySpan Gas East Corporation d/b/a National Grid
Cases 19-G-0309 & 19-G-0310 – Gas Rates

Response to IR NG-10 continued.

b. Exhibit SGIOP-4
c. Capital embedded in net plant forecast model supporting Exhibit SGIOP-6

Response:

1. The discrepancies between pages 36 and 41 identified in the question above are due to the customer contribution adjustments of $2.089 million for KEDNY and $0.619 million for KEDLI, which were presented in Exhibit_(SGIOP-4), but not mentioned in testimony.

   Regarding the upward adjustment of $8.773 million for KEDNY and downward adjustment of $22.044 million for KEDLI discussed on page 41, these are our recommended adjustments in the event the Northeast Supply Enhancement (NESE) project is built. Under this scenario, we would recommend applying our three-year average methodology to the budget items for Customer Connections category that were forecasted using unit costs. For KEDLI, we reflected elimination of the Clean Conversion Program as recommended by the Staff Policy Panel. This would result in upward adjustments of $8.637 million for KEDNY and downward adjustment of $22.109 million for KEDLI for the budget items based on unit costs. Additionally, Staff recommended a decrease to customer contributions based on the three-year average historical spending, which further increases the capital budgets by $0.136 million for KEDNY and $0.065 million for KEDLI in the Rate Year. These adjustments are presented in separate tables in Exhibit___(SGIOP-4).

   In addition, the discrepancies identified by the Companies among SGIOP testimony, Exhibit_(SGIOP-4), and Net Plant Forecast Model resulted from modifications to our CapEx recommendations, which were not reflected in the Net Plant model, are highlighted in yellow below:

   KEDNY:

Customer Connections (no NESE):	**Corrected SGIOP-4**	**As Filed Net-Plant Model**
Install Main	(16,940,542)	(16,940,542)
Install Service	(17,773,852)	(17,773,852)
Customer Contribution	(2,088,896)	(2,088,896)
Meter Purchase	(1,522,814)	(1,549,291)
Install Meter/Regulator	(1,006,076)	(1,006,076)
AMR	(943,514)	(943,514)
Gas System Reinforcement	(10,230,750)	(4,035,506)
Jamaica Inlet - PM	520,000	520,000
Kew Gardens Gate - PM		

STAFF OF THE DEPARTMENT OF PUBLIC SERVICE
RESPONSE TO INTERROGATORY/DOCUMENT REQUEST

The Brooklyn Union Gas Company d/b/a National Grid NY
KeySpan Gas East Corporation d/b/a National Grid
Cases 19-G-0309 & 19-G-0310 – Gas Rates

Response to IR NG-10 continued.

Belmont Gate Station - PM		
Customer Connections Subtotal	**(49,986,444)**	**(43,817,677)**
Non-Infrastructure:		
Telecom - Radio Capital Expenditure	(5,997)	(6,065)
Telecom – Comm Site Upgrade	(43,594)	(43,597)
Telecom – Damaged Failure	(11,852)	(11,852)
Tools & Equipment - All	334,265	327,337
Learning and Development		
AMR Installation		
Meter Testing Equipment	(31,559)	(31,688)
AMR Replacement		
Non-Infrastructure Subtotal	**241,263**	**234,135**
Facilities		
Base Spend	92,060	0

KEDLI:

Customer Connections (no NESE):	**Corrected SGIOP-4**	**As Filed Net-Plant Model**
Install Main	(21,231,400)	(21,231,400)
Install Service	(25,946,279)	(25,946,279)
CCP - Main	(20,790,000)	(20,790,000)
CCP - Service	(4,768,560)	(4,768,560)
Customer Contribution	(619,432)	(619,432)
Meter Purchase	(1,429,086)	(1,429,086)
Install Meter/Regulator	(728,025)	(728,025)
AMR	(953,319)	(953,319)
Gas System Reinforcement	(16,079,250)	(17,000,260)
Riverhead Transmission - PM		
Southeast Suffolk Infra - Phase 1		
Southeast Suffolk Infra - Phase 2		
Customer Connections Subtotal	**(92,545,351)**	**(93,466,361)**
Non-Infrastructure:		
Telecom - Radio Capital Expenditure	(49,841)	(49,841)
Telecom – Comm Site Upgrade	(27,103)	(27,141)

STAFF OF THE DEPARTMENT OF PUBLIC SERVICE
RESPONSE TO INTERROGATORY/DOCUMENT REQUEST

The Brooklyn Union Gas Company d/b/a National Grid NY
KeySpan Gas East Corporation d/b/a National Grid
Cases 19-G-0309 & 19-G-0310 – Gas Rates

Response to IR NG-10 continued.

Telecom – Damaged Failure	(12,750)	(12,750)
Tools & Equipment - All	(88,352)	(92,502)
Learning and Development		
AMR Installation		
Meter Testing Equipment	(124,752)	(124,899)
AMR Replacement		
Non-Infrastructure Subtotal	**(302,798)**	**(307,133)**
Facilities		
Base Spend	(31,401)	0

Question:

2. Please provide Exhibit SGIOP-4 and all supporting calculations in original electronic excel format with all formulae intact and unlocked.

Response:

2. Please see the following attachments:
   - MS Excel File "Response to IR NG-10 (Attachment 1), which is an updated version of Exhibit__(SGIOP-4);
   - MS Excel File "Response to IR NG-10 (Attachment 2),, which is the workpapers for the Customer Connections, Non-Infrastructure, and Facilities categories;
   - MS Excel File "Response to IR NG-10 (Attachment 3), which is the workpaper for the Mandated Category;
   - MS Excel File "Response to IR NG-10 (Attachment 4), which is the workpaper for the Reliability category;
   - MS Excel File "Response to IR NG-10 (Attachment 5), which is the corrected net plant model for KEDNY; and
   - MS Excel File "Response to IR NG-10 (Attachment 6), which is the corrected net plant model for KEDLI.

   MS Excel file "Response to IR NG-10 (Attachment 1), the updated version of Exhibit___(SGIOP-4), includes the following corrections for the Rate Year (FY21):

   - For the Customer Connections category, the original filed Exhibit_(SGIOP-4) incorrectly included $520,000 for the Jamaica Inlet project as a portion of KEDNY's

STAFF OF THE DEPARTMENT OF PUBLIC SERVICE
RESPONSE TO INTERROGATORY/DOCUMENT REQUEST

The Brooklyn Union Gas Company d/b/a National Grid NY
KeySpan Gas East Corporation d/b/a National Grid
Cases 19-G-0309 & 19-G-0310 – Gas Rates

Response to IR NG-10 continued.

FY21 CapEx budget. To correct this error, Staff removed $520,000 from the FY21 CapEx budget.

- The budget proposed for the Storm Hardening project was removed from FY21 and the budget proposed for FY20 was moved into FY21 before applying the slippage adjustment to the Reliability category for KEDNY and KEDLI.
- The Newtown Creek project was updated to reflect KEDNY's current CapEx forecast.
- KEDNY's Rate Year budget for Renewable Natural Gas Interconnections was removed before applying the slippage adjustment to the Reliability category for KEDNY and KEDLI.

Attachment 1

Exhibit_(SGIOP-4)
Corrections and Updates

Keyspan Gas East Corporation d/b/a National Grid NY
Cases 19-G-0309 and 19-G-0310

Direct Capital Expenditures (CAPEX and COR)			
Customer Connections (without NESE):	**KEDLI FY21**	**Staff FY21**	**Adjustments**
Customer Connections - Install Main	21,494,500	263,100	(21,231,400)
Customer Connections - Install Services	26,454,725	508,446	(25,946,279)
Install Services Bare Main Replacement Program	-		-
Customer Connections - Clean Choice Program - Main	20,790,000	-	(20,790,000)
Customer Connections - Clean Choice Program - Services	4,768,560	-	(4,768,560)
Customer Connections - Customer Contributions	(4,300,000)	(4,919,432)	(619,432)
Customer Connections - Meter Purchases	1,429,086	-	(1,429,086)
Customer Connections - Install Meter/Regulator	860,997	132,972	(728,025)
Customer Connections - Automatic Meter Reading (AMR)	953,319	-	(953,319)
Gas System Reinforcement	21,439,000	5,359,750	(16,079,250)
LTLI10860 Riverhead Transmission Main - PM	-		-
LTLI10985- Southeast Suffolk Infrastructure - Phase 1	20,000,000	20,000,000	-
LTLI10985- Southeast Suffolk Infrastructure - Phase 2	-	-	-
Customer Connection Subtotal	**113,890,187**	**21,344,836**	**(92,545,351)**
Mandated:			
CSC/Public Works - Non Reimbursable	5,360,398	2,624,221	(2,736,177)
CSC/Public Works - Reimbursable	5,517,132	4,506,882	(1,010,250)
CSC/Public Works - Reimbursements	(1,102,000)	(1,102,000)	-
Main Replacements (Proactive) - Leak Prone Pipe	235,190,918	225,163,768	(10,027,150)
Cross Bore Remediation	101,779	101,779	-
Latent Damage	514,842	514,842	-
Large Diameter Main Rehabilitation	6,505,000	6,505,000	-
Main Replacements (Reactive) - Maintenance	2,609,202	2,638,948	29,746
Service Replacement (Reactive) - Leaks	1,892,745	2,169,063	276,318
Service Replacement (Reactive) - Non-Leaks - Other	4,705,606	3,656,168	(1,049,438)
Restrictions for Elevated Gas Infrastructure	485,000	485,000	-
Buried Vent Lines	319,000	-	(319,000)
Plastic Fusion QA/QC Re-Digs	974,100	667,000	(307,100)
Plastic Fusion - In Process Inspections	610,470	610,470	-
Low Pressure Main Valve Installation	50,000	-	(50,000)
Contrator Safety Inspection	3,613,536	3,381,064	(232,472)
Operator Qualification Program	652,822	652,822	-
Atmospheric Corrosion Inside Inspections	650,000	650,000	-
Corrosion	972,495	899,921	(72,574)
Pipeline Integrity - IMP	7,400,365	7,400,365	-
Pipeline Integrity - IVP	250,000	250,000	-
Pipeline Integrity -IVP - GM 9 Stewart Ave to	-	-	-
Pipeline Integrity - IVP Reactive Main Replacement	500,000	500,000	-
NY Joint Facilities	-	-	-
Valve Installations/Replacements	111,000	111,000	-
Meter Pitts	1,121,344	1,121,344	-
Meter Changes	2,861,185	2,861,185	-
Purchase Meters (Replacements)	3,411,987	3,411,987	-
Transmission Station Integrity	3,000,000	180,000	(2,820,000)
Complex Capital Delivery Initiative - Savings	(914,000)	(914,000)	-
Mandated Subtotal	**287,364,926**	**269,046,829**	**(18,318,097)**
Reliability:			
Gas System Reliability - Gas Planning/RCV Program	2,339,350	1,669,124	(670,226)
LTLI10652- Lynbrook- RCV QL-04	1,750,000	1,248,623	(501,377)
LTLI11985- Farmingdale- RCV 032583255 - PM	75,000	53,512	(21,488)
LTLI11032-Westbury- RCV 023123400 - PM	50,000	35,675	(14,325)
LTLI11715- Westbury- RCV 023123413 - PM	50,000	35,675	(14,325)
LTLI12046- Glenwood Interconnect- Transmission - PM	-	-	-
LTLI12020- Deer Park- RCV 040632167-PM	25,000	17,837	(7,163)
LTLI12021- Deer Park- RCV 040632133-PM	25,000	17,837	(7,163)
LTLI12022- Pinelawn- RCV 041025722-PM	25,000	17,837	(7,163)
LTLI10676 Elmont- RCV 007646335	-	-	-

Attachment 1

LTLI12023- Engineering costs 2025 projects	-	-	-
Northwest Nassau Transmission Main & Control Valve - Phase 1	-	-	-
Northwest Nassau Transmission Main & Control Valve - Phase 2	79,239,000	56,536,945	(22,702,055)
Northwest Nassau Transmission Main & Control Valve - Phase 3	25,000,000	17,837,474	(7,162,526)
Storm Hardening - Install Remote Service Shutoff Valves	15,579,000	5,136,479	(10,442,521)
Water Intrusion	210,404	150,123	(60,281)
Gas System Control	157,430	112,326	(45,104)
Gas System Control - Telemetry Upgrade 3G to 4G	-	-	-
Gas System Control - M2M Upgrade	-	-	-
Gas System Reliability - Gas Control (Training Simulator)	-	-	-
I&R - Reactive	270,652	193,110	(77,542)
I&R - Training and Test Lab	800,000	570,799	(229,201)
Heater Installation Program	1,504,957	1,073,785	(431,172)
Pressure Regulating Facilities	8,690,855	6,200,916	(2,489,939)
South Commack Take Station Overhaul	400,000	285,400	(114,600)
Rockville Centre Take Station Overhaul	4,500,000	3,210,745	(1,289,255)
Bay Shore Take Station Overhaul	400,000	285,400	(114,600)
Long Beach Gate Station Overhaul	-	-	-
ND 45	-	-	-
ND 02	-	-	-
ND 16	-	-	-
Riverhead Take Station	-	-	-
SL 54	350	250	(100)
Stewart Ave	-	-	-
SL 74 SL 75 Holtsville	-	-	-
Distribution Station Over Pressure Protection	1,746,000	1,245,769	(500,231)
Northport M&R Station Refurbishment	-	-	-
System Automation	1,142,980	815,515	(327,465)
CNG - NY Hewlett - New Compressor, Controls, Storage	-	-	-
CNG - NY Brentwood - New Compressor, Controls, Storage, Dispensing	3,190,096	2,276,130	(913,966)
CNG - NY Riverhead - Retirement	500,000	356,749	(143,251)
CNG - NY Hicksville - Retirement	500,000	356,749	(143,251)
CNG - NY KEDLI - New Mobile Compressor and Storage systems	-	-	-
CNG - KEDLI Contract Closeout	400,000	285,400	(114,600)
CNG - KEDLI Blanket	500,000	356,749	(143,251)
LNG - Blanket	1,075,085	767,072	(308,013)
LNG - Controls System Upgrade	6,594,000	4,704,812	(1,889,188)
LNG - AESD System	2,000,000	1,426,998	(573,002)
LNG - Storage Building	-	-	-
P-20 Pump Upgrade	-	-	-
LNG - Security System Upgrade	-	-	-
LNG - Solar Panel Farm	-	-	-
LNG - Mol Sieve Refurbishment	-	-	-
LNG - Hydrant System Piping Refurbishment	-	-	-
LNG - Liquefaction Critical Spares	-	-	-

Attachment 1

LNG - Tank Stair Replacement	-	-	-
LNG - Tank Painting	-	-	-
LNG - Analyzer Replacement 2	-	-	-
LNG - Odorant System Replacement	-	-	-
LNG - LNG C Train Replacement	-	-	-
LNG - Raw Gas Makeup System Replacement	-	-	-
LNG - ReGen Heater Replacement	-	-	-
LNG - Dry Powder System Replacement	-	-	-
LNG - Boiloff Compressor System	75,000	53,512	(21,488)
LNG - Heat Exchanger/Plant Cooling Systems Replacement	-	-	-
LNG - SST1 & SST2 Replacement	-	-	-
LNG - Cyber Security Enhancements	500,000	356,749	(143,251)
LNG - Tank Upgrade	900,000	642,149	(257,851)
LNG - Analyzer Replacement 1	200,000	142,700	(57,300)
LNG - Vaporizer Replacement	-	-	-
LNG - IPC Coating Upgrade	-	-	-
LNG - Power Center Upgrade	-	-	-
LNG - Flare Refurbishment	-	-	-
LNG - 4KV Cable Replacement	-	-	-
LNG - Nitrogen System Refurbishment	-	-	-
LNG - Emergency Generator Upgrade	-	-	-
LNG - Hi Ex Foam System	893,000	637,155	(255,845)
LNG - Liquefaction System Refurbishment	-	-	-
Renewable Natural Gas (RNG) Interconnections	450,000	321,075	(128,925)
Reliability Subtotal	**161,758,159**	**109,435,158**	**(52,323,001)**
Non-Infrastructure:			
Telecomm - Comm site upgrades	48,450	21,347	(27,103)
Telecomm - Damaged Failure	12,750	-	(12,750)
Telecomm - Radio Capital Expenditures	49,841	-	(49,841)
Tools & Equipment - All	2,468,455	2,380,103	(88,352)
Meter Testing Equipment	208,931	84,179	(124,752)
Learning and Development - Materials, Tools and Equipment	375,000	375,000	-
Automatic Meter Reading (AMR) - Replacement	1,397,204	1,397,204	(0)
Non Infrastructure Subtotal	**4,560,631**	**4,257,833**	**(302,798)**
Total Capital Including Cost of Removal	**567,573,903**	**404,084,656**	**(163,489,247)**
Cost of Removal	**38,595,025**	**28,871,018**	**(9,724,007)**
Total Direct Capital (Net of Removal)	**528,978,878**	**375,213,638**	**(153,765,240)**

Indirect Capital Expenditures (CAPEX and COR)			
Facilities:			
Base Spend	300,000	268,599	(31,401)
Bayshore New Building Completion	-	-	-
Materials Testing Lab ((w/equip)	180,000	180,000	-
Melville HUB Expansion (GC, Pkg Str & LI Training)	1,350,000	1,350,000	-
New Large Ops Site	20,255,000	20,255,000	-
Other New LI Ops Sites	-	-	-
Facilities Subtotal	**22,085,000**	**22,053,599**	**(31,401)**
Fleet and Supply Chain:			
FLEET	1,150,000	1,150,000	-
SUPPLY CHAIN	400,000	400,000	-
Fleet and Supply Chain Subtotal	**1,550,000**	**1,550,000**	**-**
Future of Heat:			
Future of Heat - Power to Gas	-		
Future of Heat - Demand Response	26,800	26,800	-
Furture of Heat Subtotal:	**26,800**	**26,800**	**-**
Total Indirect Capital	**23,661,800**	**23,630,399**	**(31,401)**

Grand Total Direct and Indirect Capital	**591,235,703**	**427,715,055**	**(163,520,648)**

Attachment 1

KEDLI	FY21		
Customer Connections (with NESE):	**KEDLI**	**Staff**	**Adjustments**
Install Main	21,494,500	24,373,260	2,878,760
Install Service	26,454,725	25,620,451	(834,274)
Install Service Bare Main Repl Program			-
Clean Choice Program-Main	20,790,000	-	(20,790,000)
Clean Choice Program-Service	4,768,560	-	(4,768,560)
Cust Contribution	(4,300,000)	(4,235,322)	64,678
Meter Purchase	1,429,086	1,875,887	446,801
Install Meter/Regulator	860,997	1,819,176	958,179
AMR	953,319	953,319	-
Gas System Reinforcement	21,439,000	21,439,000	-
LTL110860 Riverhead Transmission Main-PM			-
LTL110985-Southeast Suffolk Infrastructure-Phase 1	20,000,000	20,000,000	-
LTL110985-Southeast Suffolk Infrastructure-Phase 2			
Total Cust. Connection	**113,890,187**	**91,845,772**	**(22,044,415)**

Attachment 1

Exhibit_(SGIOP-4)
Corrections and Updates

The Brooklyn Union Gas Company d/b/a National Grid NY
Cases 19-G-0309 and 19-G-0310

Direct Capital Expenditures (CAPEX and COR)			
Customer Connections (without NESE):	**KEDNY FY21**	**Staff FY21**	**Adjustments**
Customer Connections - Install Main	21,729,722	4,789,180	(16,940,542)
Customer Connections - Install Services	25,488,092	7,714,240	(17,773,852)
Customer Connections - Customer Contributions	(2,352,000)	(4,440,896)	(2,088,896)
Customer Connections - Meter Purchases	1,847,990	325,176	(1,522,814)
Customer Connections - Install Meter/Regulator	1,257,700	251,624	(1,006,076)
Customer Connections - Automatic Meter Reading (AMR)	1,062,090	118,576	(943,514)
Gas System Reinforcement	13,641,000	3,410,250	(10,230,750)
LTNXXXXX - Jamaica Inlet - PM		520,000	520,000
LTNY11751 - Kew Gardens Gate - PM	17,937,000	17,937,000	-
LTNY12025 - Belmont Gate Station - PM	-		-
Customer Connections Subtotal	**80,611,594**	**30,625,150**	**(49,986,444)**
Mandated:			
CSC/Public Works - Non Reimbursable	125,897,715	114,750,000	(11,147,715)
CSC/Public Works - Reimbursable	153,874,985	140,250,000	(13,624,985)
Flatlands - SE853 Phase 2 - Trans Offset Louisiana Ave & Georgia Ave .	-		
SE856 Phase 2 Trans. Offset Sheffield & New Jersey Ave. - Trans Work	26,590,000	26,590,000	
SE856 Phase 2 Trans. Offset Sheffield & New Jersey Ave. - Dist Work	14,400,000	14,400,000	
SE851-Flatlands Ave Ph 2	-		
LaGuardia Redevelopment	164,382	164,382	
CSC/Public Works - Reimbursements	(33,399,619)	(33,399,619)	
Main Replacements - (Proactive) - Leak Prone Pipe	250,061,000	244,070,607	(5,990,393)
CISBOT	5,336,499	5,336,499	
Large Diameter Main Rehabilitation	14,088,000	14,088,000	
Cross Bore Remediation	150,000	150,000	
Latent Damage Inspections	416,000	416,000	
Main Replacements - (Reactive) - Maintenance	6,941,127	6,340,520	(600,607)
Service Replacements - Proactive	2,053,847	1,993,433	(60,414)
Service Replacement (Reactive) - Leaks	5,148,762	5,905,448	756,686
Service Replacement (Reactive) - Non-Leaks - Other	5,216,717	4,503,027	(713,690)
Atmospheric Corrosion Inside Inspections	650,000	650,000	
Restrictions for Elevated Gas Infrastructure	373,000	373,000	
Buried Vent Lines	111,000	-	(111,000)
Plastic Fusion QA/QC Re-Digs	3,250,200	3,000,200	(250,000)
Plastic Fusion - In Process Inspections	307,530	307,530	
Low Pressure Main Valve Installation	2,460,000	-	(2,460,000)
High Density Polyethylene Services	2,458,800	2,458,800	
Contractor Safety Inspections	5,370,628	4,932,098	(438,530)
Operator Qualification Program	909,361	909,361	
Local Law 30	11,400,000	11,400,000	
Inactive Accounts	274,924	274,924	
Corrosion	1,004,571	1,004,571	
Pipeline Integrity - IMP	500,000	500,000	
Pipeline Integrity - IMP - Jamaica Bay Line ILI	2,000,000	2,000,000	
Pipeline Integrity - IMP - Southern Line Robotic ILI	3,000,000	3,000,000	
Pipeline Integrity - IVP	3,224,083	3,050,000	(174,083)
Pipeline Integrity - IVP Reactive Main Replacement	500,000	500,000	
5.0.0.0.0.1 Launcher - Clove Lakes	-	-	
5.0.0.0.0.2;3;4 Receiver - Clove La	-	-	
Valve Installations/Replacements	142,000	142,000	
Meter Changes	4,437,998	4,437,998	
Purchase Meters (Replacements)	3,736,114	3,736,114	
Transmission Station Integrity	3,000,000	180,000	(2,820,000)
Complex Capital Delivery Initiative - Savings	(577,500)	(577,500)	
Mandated Subtotal	**625,472,125**	**587,837,393**	**(37,634,732)**
Reliability:			
I&R - Reactive	524,484	388,098	(136,386)
I&R - Training and Test Lab	800,000	591,969	(208,031)
Gas System Control	117,182	86,710	(30,472)
Gas System Control - Telemetry Upgrade 3G to 4G	-	-	-

Gas System Control - M2M Upgrade	-	-	-
Gas System Reliability - Gas Control (Training Simulator)	-	-	-
Heater Installation Program	500,000	369,981	(130,019)
Pressure Regulating Facilities	7,050,000	5,216,726	(1,833,274)
System Automation	1,394,307	1,031,733	(362,574)
Bay Ridge Gate Station Refurbishmnt	-	-	-
Shafer Narrows	-	-	-
Bowery Bay Station Upgrade	500,000	369,981	(130,019)
Canarsie Gate Refurbishment	-	-	-
Floyd Bennett Field M&R ROV's	-	-	-
McGuiness Mini Gate	-	-	-
Kings Plaza Mini Gate	-	-	-
Bush Terminal (IF-09)	-	-	-
Tetco Relief Valve Replacement	-	-	-
Citizens Gate - Bulkhead	3,100,000	2,293,880	(806,120)
Sheepshead Bay Mini Gate	-	-	-
GOV 110	-	-	-
Hyman station	300,000	221,988	(78,012)
Varick Reg Station Retirement	-	-	-
North Brooklyn Mini Gate	3,800,000	2,811,852	(988,148)
Jamaica Gate	-	-	-
Kennedy Gate	-	-	-
Distribution Station Over Pressure Protection	928,000	686,684	(241,316)
PRE-SP-Maspeth St Decommissioning..	-	-	-
Gas System Reliability - Gas Planning /RCV Program	5,132,000	3,797,481	(1,334,519)
Water Intrusion	222,142	164,377	(57,766)
Storm Hardening - Remote Service Shutoff Valves	7,368,000	2,320,518	(5,047,482)
LTNY10240 - Grasmere Reliability - PM	100,000	73,996	(26,004)
LTNY11690 - LGA Backfeed - PM	50,000	36,998	(13,002)
LTNY12314 - Spring Creek - PM	213,467	157,957	(55,510)
LTNY10205 - MRI - PM - Main Phase 1-4	35,425,601	26,213,568	(9,212,033)
LTNY10205 - MRI - PM - Main Phase 5	39,574,399	29,283,518	(10,290,881)
LTNY12058 - Elmhurst Reliability - PM	-	-	-
LTNY13231 - Marine Park Regulator Station - PM	999,327	739,463	(259,864)
LTNY11165 - Northern Queens Gas T&D - PM	13,312	9,850	(3,462)
LTNYXXXXX - Northern Line - PM	-	-	-
LTNYXXXXX - Northern Queens Extension - PM	-	-	-
LTNY10074 - Clove Lakes Uprate - PM	-	-	-
Citizens Tunnel - Upgrade	21,545	15,942	(5,602)
Newtown Creek	58,782	869,403	810,621
CNG - KEDNY Blanket	497,806	368,357	(129,449)
CNG - KEDNY Contract Closeout	400,000	295,984	(104,016)
CNG - NY KEDNY - New Mobile Compressor and Storage systems	-	-	-
CNG - NY Brooklyn (Canarsie) - Compressor Upgrade, New Controls	50,000	36,998	(13,002)
CNG - NY Brooklyn (Greenpoint) - Fueling Island Access	1,200,000	887,953	(312,047)
CNG - NY Brooklyn (Greenpoint) - New Compressors, Panels, and Controls	996,643	737,477	(259,166)
LNG - Blanket	2,648,113	1,959,501	(688,612)
LNG - Vaporizers 7 & 8 Replacement	500,000	369,981	(130,019)
LNG - Barge Piping Decommissioning	-	-	-
LNG - Ice Shield	-	-	-
LNG - Bulkhead Upgrade	700,000	517,973	(182,027)
LNG - Controls System Upgrade	769,865	569,670	(200,195)
LNG - Vaporizers 3 & 4 Replacement	2,000,000	1,479,922	(520,078)
LNG - Relocate Maintenance Area & New Control Building	1,406,000	1,040,385	(365,615)
LNG - Truck Load/Unload Station	2,100,000	1,553,918	(546,082)
LNG - Salt Water Pump House Upgrade	9,634,000	7,128,786	(2,505,214)
LNG - Geoweb Dike Replacement	-	-	-
LNG - Tank 2 Upgrade	-	-	-
LNG - Solar Panels	-	-	-
LNG - Liquefaction Critical Spares	949,664	702,714	(246,949)
LNG - Sub M-Sub L Interconnect	-	-	-
LNG - Instrument Air System Replacement	-	-	-
LNG - Stormwater Drainage	-	-	-
LNG - Hydrant & Deluge Piping Upgrade	4,700,000	3,477,817	(1,222,183)
LNG - Tank 1 Upgrade	-	-	-
LNG - Generators Upgrade	-	-	-
LNG - Hi Ex Foam System	892,664	660,536	(232,127)

Attachment 1

LNG - Security System Upgrades	-	-	-
LNG - Nitrogen System Refurbishment	-	-	-
LNG - Tail Gas Compressor Upgrade	100,000	73,996	(26,004)
LNG - RNG Blanket	200,000	147,992	(52,008)
LNG - Piping Insulation Replacement & Inspection	499,664	369,732	(129,932)
LNG - Boiloff Heaters/Steam Boiler Upgrade	499,933	369,931	(130,002)
LNG - Plant Outlet Drip Leg	10,000	7,400	(2,600)
LNG - Vaporizers 9 & 10 Replacement	-	-	-
LNG - ReGen Heater Replacements	-	-	-
Renewable Natural Gas (RNG) Interconnections	900,000	-	(900,000)
Reliability Subtotal	**139,846,898**	**100,509,697**	**(39,337,200)**
Non-Infrastructure:			
Telecomm - Radio Capital Expenditures	45,176	39,179	(5,997)
Telecomm - Comm site upgrades	45,039	1,445	(43,594)
Telecomm - Damaged Failure	11,852	-	(11,852)
Tools & Equipment - All	3,639,064	3,973,329	334,265
Special project	-		-
Learning and Development - Materials, Tools and Equipment	375,000	375,000	-
AMR Installation	2,334,873	2,334,873	0
Meter Testing Equipment	105,441	73,882	(31,559)
Automatic Meter Reading (AMR) - Replacement	3,385,738	3,385,738	0
Non-Infrastructure Subtotal	**9,942,183**	**10,183,446**	**241,263**
Total Capital Including Cost of Removal	**855,872,800**	**729,155,686**	**(126,717,114)**
Cost of Removal	**85,501,693**	**75,911,933**	**(9,589,760)**
Total Capital (Net of Removal)	**770,371,107**	**653,243,753**	**(117,127,354)**

Attachment 1

Indirect Capital Expenditures (CAPEX and COR)			
Facilities:			
Base Spend	2,975,000	3,067,060	92,060
Pitkin Cust Office Expansion	500,000	500,000	-
NYC Training Center (s)	11,600,000	11,600,000	-
Greenpoint Electrical	600,000	600,000	-
Canarsie Roofs & Facades	2,300,000	2,300,000	-
Canarsie Parking	450,000	450,000	-
Facilities Subtotal	**18,425,000**	**18,517,060**	**92,060**
Fleet & Supply Chain:			
FLEET	650,000	650,000	-
SUPPLY CHAIN	600,000	600,000	-
Fleet & Supply Chain Subtotal	**1,250,000**	**1,250,000**	**-**
Future Heat Business & Customer:			
Future of Heat - Power to Gas	-	-	-
Future of Heat - Gas Demand Response	58,960	58,960	-
Future Heat Business & Customer Subtotal	**58,960**	**58,960**	**-**
Total Indirect Captial	**19,733,960**	**19,826,020**	**92,060**

Grand Total Direct and Indirect Capital	**875,606,760**	**748,981,706**	**(126,625,054)**

KEDNY	FY21		
Customer Connections (with NESE):	**KEDNY**	**Staff**	**Adjustments**
Install Main	21,729,722	26,714,976	4,985,254
Install Service	25,488,092	28,940,107	3,452,015
Cust Contribution	(2,352,000)	(2,216,417)	135,583
Meter Purchase	1,847,990	2,390,909	542,919
Install Meter/Regulator	1,257,700	1,190,252	(67,448)
AMR	1,062,090	786,385	(275,705)
Gas System Reinforcement	13,641,000	13,641,000	-
LTNY11751-Kew Gardens Gate-PM	17,937,000	17,937,000	-
LTNYXXXXX-Jamaica Inlet - PM			-
LTNY12025-Belmont Gate Station-PM			-
Total Cust. Connection	**80,611,594**	**89,384,212**	**8,772,618**

Staff's IR NG-10
Attachment 5

The Brooklyn Union Gas Company d/b/a National Grid NY
Staff Adjusted Monthly Balances of Gas Net Utility Plant
Rate Year Ending March 31, 2021

($000's)

	Balance at Month End	Total Gas Plant in Service	Non-Interest Bearing CWIP	Reserve for Depreciation	Gas Net Utility Plant in Service	Depreciation
1	Mar-20 (1/2 month)	$ 3,348,539	$ 18,771	$ (638,710)	$ 2,728,600	
2	Apr-20	$ 6,746,225	$ 37,218	$ (1,281,097)	$ 5,502,346	$ 11,659
3	May-20	$ 6,788,558	$ 37,133	$ (1,285,276)	$ 5,540,415	$ 11,733
4	Jun-20	$ 6,853,308	$ 35,945	$ (1,287,894)	$ 5,601,360	$ 11,798
5	Jul-20	$ 6,891,630	$ 36,119	$ (1,293,145)	$ 5,634,605	$ 11,896
6	Aug-20	$ 6,936,902	$ 37,880	$ (1,295,338)	$ 5,679,443	$ 11,955
7	Sep-20	$ 6,968,326	$ 39,844	$ (1,299,562)	$ 5,708,608	$ 12,025
8	Oct-20	$ 7,068,594	$ 38,748	$ (1,299,686)	$ 5,807,655	$ 12,076
9	Nov-20	$ 7,122,622	$ 38,038	$ (1,303,820)	$ 5,856,841	$ 12,227
10	Dec-20	$ 7,167,857	$ 39,235	$ (1,306,999)	$ 5,900,093	$ 12,310
11	Jan-21	$ 7,204,421	$ 39,353	$ (1,313,411)	$ 5,930,363	$ 12,385
12	Feb-21	$ 7,248,301	$ 39,793	$ (1,317,845)	$ 5,970,249	$ 12,441
13	Mar-21 (1/2 month)	$ 3,653,247	$ 20,372	$ (659,955)	$ 3,013,664	$ 12,507
14	Total Gas	83,998,531	458,448	(15,582,738)	68,874,241	145,013
15	Average Monthly Balance	$ 6,999,878	$ 38,204	$ (1,298,561)	$ 5,739,520	

The Brooklyn Union Gas Company d/b/a National Grid NY
Monthly Balances of Gas Net Utility Plant
Rate Year Ending March 31, 2022

($000's)

	Balance at Month End	Total Gas Plant in Service (a)	Non-Interest Bearing CWIP (b)	Reserve for Depreciation (c)	Gas Net Utility Plant in Service (d)	Depreciation (e)
1	Mar-21 (1/2 month)	$ 3,653,247	$ 20,372	$ (659,955)	$ 3,013,664	
2	Apr-21	$ 7,354,028	$ 41,752	$ (1,321,664)	$ 6,074,115	$ 12,595
3	May-21	$ 7,396,700	$ 42,895	$ (1,326,277)	$ 6,113,317	$ 12,663
4	Jun-21	$ 7,477,700	$ 41,707	$ (1,328,586)	$ 6,190,821	$ 12,729
5	Jul-21	$ 7,515,398	$ 42,707	$ (1,333,840)	$ 6,224,265	$ 12,883
6	Aug-21	$ 7,560,439	$ 46,044	$ (1,335,443)	$ 6,271,040	$ 12,940
7	Sep-21	$ 7,590,783	$ 49,376	$ (1,339,501)	$ 6,300,657	$ 13,008
8	Oct-21	$ 7,684,342	$ 50,922	$ (1,338,178)	$ 6,397,086	$ 13,055
9	Nov-21	$ 7,738,650	$ 51,257	$ (1,341,337)	$ 6,448,570	$ 13,194
10	Dec-21	$ 7,789,488	$ 53,308	$ (1,344,009)	$ 6,498,787	$ 13,277
11	Jan-22	$ 7,836,777	$ 53,312	$ (1,350,025)	$ 6,540,064	$ 13,357
12	Feb-22	$ 7,892,782	$ 53,707	$ (1,353,921)	$ 6,592,567	$ 13,429
13	Mar-22 (1/2 month)	$ 4,005,019	$ 25,328	$ (676,460)	$ 3,353,887	$ 13,514
14	Total Gas (Sum of Lines 1 to 13)	91,495,352	572,685	(16,049,197)	76,018,840	156,642
15	Average Monthly Balance (Line 16 / 12)	$ 7,624,613	$ 47,724	$ (1,337,433)	$ 6,334,903	

The Brooklyn Union Gas Company d/b/a National Grid NY
Monthly Balances of Gas Net Utility Plant
Rate Year Ending March 31, 2023

($000's)

	Balance at Month End	Total Gas Plant in Service (a)	Non-Interest Bearing CWIP (b)	Reserve for Depreciation (c)	Gas Net Utility Plant in Service (d)	Depreciation (e)
1	Mar-22 (1/2 month)	$ 4,005,019	$ 25,328	$ (676,460)	$ 3,353,887	
2	Apr-22	$ 8,073,464	$ 49,902	$ (1,357,465)	$ 6,765,901	$ 13,689
3	May-22	$ 8,128,678	$ 49,339	$ (1,361,462)	$ 6,816,555	$ 13,784
4	Jun-22	$ 8,212,532	$ 47,383	$ (1,364,518)	$ 6,895,397	$ 13,866
5	Jul-22	$ 8,265,375	$ 46,779	$ (1,370,899)	$ 6,941,254	$ 13,992
6	Aug-22	$ 8,323,755	$ 48,433	$ (1,373,262)	$ 6,998,926	$ 14,073
7	Sep-22	$ 8,365,112	$ 50,396	$ (1,378,382)	$ 7,037,126	$ 14,161
8	Oct-22	$ 8,413,904	$ 55,196	$ (1,378,786)	$ 7,090,313	$ 14,224
9	Nov-22	$ 8,480,982	$ 54,059	$ (1,382,918)	$ 7,152,123	$ 14,299
10	Dec-22	$ 8,536,680	$ 55,228	$ (1,386,728)	$ 7,205,180	$ 14,398
11	Jan-23	$ 8,583,773	$ 54,970	$ (1,394,019)	$ 7,244,724	$ 14,484

12	Feb-23	$ 8,639,913	$ 54,996	$ (1,399,243)	$ 7,295,666	$ 14,556
13	Mar-23 (1/2 month)	$ 4,341,715	$ 29,056	$ (701,490)	$ 3,669,281	$ 14,640
14	Total Gas (Sum of Lines 1 to 13)	100,370,902	621,064	(16,525,634)	84,466,333	170,165
15	Average Monthly Balance (Line 16 / 12)	$ 8,364,242	$ 51,755	$ (1,377,136)	$ 7,038,861	

The Brooklyn Union Gas Company d/b/a National Grid NY
Monthly Balances of Gas Net Utility Plant
Rate Year Ending March 31, 2024

($000's)

	Balance at Month End	Total Gas Plant in Service (a)	Non-Interest Bearing CWIP (b)	Reserve for Depreciation (c)	Gas Net Utility Plant in Service (d)	Depreciation (e)
1	Mar-23 (1/2 month)	$ 4,341,715	$ 29,056	$ (701,490)	$ 3,669,281	
2	Apr-23	$ 8,751,517	$ 57,337	$ (1,407,827)	$ 7,401,028	$ 14,707
3	May-23	$ 8,810,864	$ 56,896	$ (1,413,689)	$ 7,454,071	$ 14,809
4	Jun-23	$ 8,900,749	$ 54,799	$ (1,416,813)	$ 7,538,735	$ 14,896
5	Jul-23	$ 8,954,941	$ 54,369	$ (1,423,723)	$ 7,585,588	$ 15,030
6	Aug-23	$ 9,017,104	$ 56,202	$ (1,426,249)	$ 7,647,057	$ 15,113
7	Sep-23	$ 9,059,916	$ 58,456	$ (1,431,777)	$ 7,686,595	$ 15,206
8	Oct-23	$ 9,127,444	$ 62,266	$ (1,431,487)	$ 7,758,223	$ 15,272
9	Nov-23	$ 9,280,787	$ 53,743	$ (1,432,707)	$ 7,901,823	$ 15,374
10	Dec-23	$ 9,337,607	$ 55,222	$ (1,436,042)	$ 7,956,787	$ 15,600
11	Jan-24	$ 9,387,107	$ 54,977	$ (1,442,962)	$ 7,999,122	$ 15,685
12	Feb-24	$ 9,446,496	$ 55,033	$ (1,447,701)	$ 8,053,828	$ 15,759
13	Mar-24 (1/2 month)	$ 4,795,068	$ 24,842	$ (723,753)	$ 4,096,157	$ 15,847
14	Total Gas (Sum of Lines 1 to 13)	109,211,316	673,198	(17,136,219)	92,748,295	183,298
15	Average Monthly Balance (Line 14 / 12)	$ 9,100,943	$ 56,100	$ (1,428,018)	$ 7,729,025	

Staff's IR NG-10
Attachment 6

Keyspan Gas East Corporation d/b/a National Grid
Staff Adjusted Monthly Balances of Gas Net Utility Plant
Rate Year Ending March 31, 2021

($000's)

	Balance at Month End	Total Gas Plant in Service	Non-Interest Bearing CWIP	Reserve for Depreciation	Gas Net Utility Plant in Service	Depreciation
1	Mar-20 (1/2 month)	$ 2,337,898	$ 10,008	$ (449,992)	$ 1,897,914	
2	Apr-20	$ 4,697,570	$ 19,993	$ (904,229)	$ 3,813,334	$ 7,936
3	May-20	$ 4,712,795	$ 21,323	$ (908,939)	$ 3,825,180	$ 7,966
4	Jun-20	$ 4,730,901	$ 22,103	$ (912,979)	$ 3,840,024	$ 7,990
5	Jul-20	$ 4,763,255	$ 20,570	$ (916,283)	$ 3,867,542	$ 8,014
6	Aug-20	$ 4,779,646	$ 24,515	$ (919,490)	$ 3,884,670	$ 8,057
7	Sep-20	$ 4,797,551	$ 26,173	$ (923,643)	$ 3,900,081	$ 8,080
8	Oct-20	$ 4,815,205	$ 32,515	$ (926,942)	$ 3,920,777	$ 8,106
9	Nov-20	$ 4,832,196	$ 35,682	$ (930,556)	$ 3,937,322	$ 8,130
10	Dec-20	$ 4,861,809	$ 35,373	$ (933,578)	$ 3,963,603	$ 7,996
11	Jan-21	$ 4,882,541	$ 34,771	$ (938,283)	$ 3,979,030	$ 7,878
12	Feb-21	$ 4,910,948	$ 33,977	$ (941,781)	$ 4,003,143	$ 7,906
13	Mar-21 (1/2 month)	$ 2,471,743	$ 17,848	$ (471,650)	$ 2,017,941	$ 7,944
14	Total Gas	57,594,059	334,849	(11,078,347)	46,850,562	96,004
15	Average Monthly Balance	$ 4,799,505	$ 27,904	$ (923,196)	$ 3,904,213	

Keyspan Gas East Corporation d/b/a National Grid
Monthly Balances of Gas Net Utility Plant
Rate Year Ending March 31, 2022

($000's)

	Balance at Month End	Total Gas Plant in Service (a)	Non-Interest Bearing CWIP (b)	Reserve for Depreciation (c)	Gas Net Utility Plant in Service (d)	Depreciation (e)
1	Mar-21 (1/2 month)	$ 2,471,743	$ 17,848	$ (471,650)	$ 2,017,941	
2	Apr-21	$ 5,054,272	$ 24,320	$ (947,454)	$ 4,131,138	$ 7,999
3	May-21	$ 5,071,160	$ 26,510	$ (952,107)	$ 4,145,563	$ 8,133
4	Jun-21	$ 5,090,576	$ 28,374	$ (956,113)	$ 4,162,837	$ 8,159
5	Jul-21	$ 5,123,004	$ 28,009	$ (959,509)	$ 4,191,504	$ 8,184
6	Aug-21	$ 5,148,348	$ 32,666	$ (961,966)	$ 4,219,048	$ 8,226
7	Sep-21	$ 5,176,048	$ 34,312	$ (965,372)	$ 4,244,987	$ 8,266
8	Oct-21	$ 5,201,390	$ 38,491	$ (968,076)	$ 4,271,805	$ 8,314
9	Nov-21	$ 5,261,117	$ 37,569	$ (971,081)	$ 4,327,605	$ 8,348
10	Dec-21	$ 5,300,345	$ 37,517	$ (973,410)	$ 4,364,453	$ 8,423
11	Jan-22	$ 5,327,937	$ 36,783	$ (978,090)	$ 4,386,629	$ 8,474
12	Feb-22	$ 5,366,410	$ 35,623	$ (981,369)	$ 4,420,665	$ 8,511
13	Mar-22 (1/2 month)	$ 2,707,595	$ 18,523	$ (491,551)	$ 2,234,567	$ 8,562
14	Total Gas (Sum of Lines 1 to 13)	62,299,945	396,544	(11,577,747)	51,118,742	99,599
15	Average Monthly Balance (Line 16 /	$ 5,191,662	$ 33,045	$ (964,812)	$ 4,259,895	

Keyspan Gas East Corporation d/b/a National Grid
Monthly Balances of Gas Net Utility Plant
Rate Year Ending March 31, 2023

($000's)

Gas

	Balance at Month End	Total Gas Plant in Service (a)	Non-Interest Bearing CWIP (b)	Reserve for Depreciation (c)	Net Utility Plant in Service (d)	Depreciation (e)
1	Mar-22 (1/2 month)	$ 2,707,595	$ 18,523	$ (491,551)	$ 2,234,567	
2	Apr-22	$ 5,440,492	$ 37,576	$ (987,596)	$ 4,490,472	$ 8,654
3	May-22	$ 5,457,931	$ 39,655	$ (992,125)	$ 4,505,462	$ 8,689
4	Jun-22	$ 5,478,263	$ 41,188	$ (996,074)	$ 4,523,377	$ 8,715
5	Jul-22	$ 5,513,534	$ 40,338	$ (999,685)	$ 4,554,188	$ 8,741
6	Aug-22	$ 5,534,457	$ 45,392	$ (1,002,910)	$ 4,576,939	$ 8,787
7	Sep-22	$ 5,558,281	$ 47,456	$ (1,007,047)	$ 4,598,690	$ 8,817
8	Oct-22	$ 5,633,110	$ 44,150	$ (1,010,322)	$ 4,666,937	$ 8,850
9	Nov-22	$ 5,655,209	$ 47,836	$ (1,014,167)	$ 4,688,878	$ 9,089
10	Dec-22	$ 5,692,623	$ 47,442	$ (1,017,550)	$ 4,722,514	$ 9,120
11	Jan-23	$ 5,719,108	$ 46,673	$ (1,022,910)	$ 4,742,871	$ 9,170
12	Feb-23	$ 5,756,190	$ 45,448	$ (1,026,784)	$ 4,774,854	$ 9,206
13	Mar-23 (1/2 month)	$ 2,894,706	$ 24,349	$ (514,615)	$ 2,404,440	$ 9,256
14	Total Gas (Sum of Lines 1 to 13)	67,041,498	526,026	(12,083,335)	55,484,189	107,094
15	Average Monthly Balance (Line 16 /	$ 5,586,792	$ 43,835	$ (1,006,945)	$ 4,623,682	

Keyspan Gas East Corporation d/b/a National Grid
Monthly Balances of Gas Net Utility Plant
Rate Year Ending March 31, 2024

($000's)

	Balance at Month End	Total Gas Plant in Service (a)	Non-Interest Bearing CWIP (b)		Reserve for Depreciation (c)	Gas Net Utility Plant in Service (d)	Depreciation (e)
1	Mar-23 (1/2 month)	$ 2,894,706	$ 24,349	$ -	$ (514,615)	$ 2,404,440	
2	Apr-23	$ 5,816,382	$ 49,254		$ (1,033,857)	$ 4,831,779	$ 9,300
3	May-23	$ 5,834,829	$ 51,505		$ (1,038,538)	$ 4,847,796	$ 9,337
4	Jun-23	$ 5,856,921	$ 53,172		$ (1,043,169)	$ 4,866,924	$ 9,364
5	Jul-23	$ 5,894,111	$ 52,331		$ (1,046,877)	$ 4,899,565	$ 9,394
6	Aug-23	$ 5,921,237	$ 57,081		$ (1,049,902)	$ 4,928,416	$ 9,442
7	Sep-23	$ 5,945,429	$ 59,417		$ (1,054,249)	$ 4,950,598	$ 9,496
8	Oct-23	$ 5,967,782	$ 64,505		$ (1,057,598)	$ 4,974,688	$ 9,531
9	Nov-23	$ 6,209,414	$ 36,924		$ (1,061,347)	$ 5,184,991	$ 9,562
10	Dec-23	$ 6,252,014	$ 36,233		$ (1,065,048)	$ 5,223,199	$ 9,853
11	Jan-24	$ 6,282,288	$ 35,127		$ (1,070,846)	$ 5,246,568	$ 9,909
12	Feb-24	$ 6,324,412	$ 33,567		$ (1,075,055)	$ 5,282,924	$ 9,950
13	Mar-24 (1/2 month)	$ 3,183,373	$ 18,165		$ (538,762)	$ 2,662,775	$ 10,007
14	Total Gas (Sum of Lines 1 to 13)	$ 72,382,899	$ 571,630		##########	$ 60,304,666	$ 115,146
15	Average Monthly Balance (Line 16 /	$ 6,031,908	$ 47,636		$ (1,054,155)	$ 5,025,389	

STAFF OF THE DEPARTMENT OF PUBLIC SERVICE
RESPONSE TO INTERROGATORY/DOCUMENT REQUEST

The Brooklyn Union Gas Company d/b/a National Grid NY
KeySpan Gas East Corporation d/b/a National Grid
Cases 19-G-0309 & 19-G-0310 – Gas Rates

Request No.:	NG-11
Requested By:	KEDNY/KEDLI, Revenue Requirements Panel
Information Requested of:	Staff Revenue Requirements Panel
Date of Request:	September 3 2019
Response Due Date:	September 13, 2019
Date of Response:	September 16, 2019
Name & Position of Respondent:	Brian Fisher, Utility Engineering Specialist 2
Subject:	KEDLI Exhibit____(SGIOP-5)

Question:

Please confirm that KEDLI's Exhibit __ (SGIOP-5) incorporates Staff's adjustment for the Leak Prone Pipe, Adjustments #22(b)2 and #18(2), which are shown on Exhibit____(SRRP-1), Schedule 7c.

Response:

Staff's adjustments for Leak Prone Pipe, Adjustments #22(b)2 and #18(2), which are shown on Exhibit___(SRRP-1), Schedule 7c, are not correctly reflected in Exhibit___(SGIOP-5), as originally filed with Staff's testimony. With regard to KEDLI, Staff's Exhibit __ (SGIOP-5), as filed, included an erroneous cell reference, or switch, which resulted in calculating net plant using KEDLI's proposed depreciation rates instead of Staff's proposed depreciation rates. In addition, other errors were also identified in the response to IR NG-10. Staff has corrected these errors and provides an updated version of Exhibit___(SGIOP-5) in PDF file "Response to IR NG-11 (Attachment)."

Exhibit__(SGIOP-5)
Corrected and Updated
Response to IR NG-11

Keyspan Gas East Corporation d/b/a National Grid
Staff Adjusted Monthly Balances of Gas Net Utility Plant
Rate Year Ending March 31, 2021

($000's)

	Balance at Month End	Total Gas Plant in Service	Non-Interest Bearing CWIP	Reserve for Depreciation	Gas Net Utility Plant in Service	Depreciation
1	Mar-20 (1/2 month)	$ 2,337,898	$ 10,008	$ (449,992)	$ 1,897,914	
2	Apr-20	$ 4,697,570	$ 19,993	$ (904,229)	$ 3,813,334	$ 7,936
3	May-20	$ 4,712,795	$ 21,323	$ (908,939)	$ 3,825,180	$ 7,966
4	Jun-20	$ 4,730,901	$ 22,103	$ (912,979)	$ 3,840,024	$ 7,990
5	Jul-20	$ 4,763,255	$ 20,570	$ (916,283)	$ 3,867,542	$ 8,014
6	Aug-20	$ 4,779,646	$ 24,515	$ (919,490)	$ 3,884,670	$ 8,057
7	Sep-20	$ 4,797,551	$ 26,173	$ (923,643)	$ 3,900,081	$ 8,080
8	Oct-20	$ 4,815,205	$ 32,515	$ (926,942)	$ 3,920,777	$ 8,106
9	Nov-20	$ 4,832,196	$ 35,682	$ (930,556)	$ 3,937,322	$ 8,130
10	Dec-20	$ 4,861,809	$ 35,373	$ (933,578)	$ 3,963,603	$ 7,996
11	Jan-21	$ 4,882,541	$ 34,771	$ (938,283)	$ 3,979,030	$ 7,878
12	Feb-21	$ 4,910,948	$ 33,977	$ (941,781)	$ 4,003,143	$ 7,906
13	Mar-21 (1/2 month)	$ 2,471,743	$ 17,848	$ (471,650)	$ 2,017,941	$ 7,944
14	Total Gas	57,594,059	334,849	(11,078,347)	46,850,562	96,004
15	Average Monthly Balance	$ 4,799,505	$ 27,904	$ (923,196)	$ 3,904,213	

STAFF OF THE DEPARTMENT OF PUBLIC SERVICE
RESPONSE TO INTERROGATORY/DOCUMENT REQUEST

The Brooklyn Union Gas Company d/b/a National Grid NY
KeySpan Gas East Corporation d/b/a National Grid
Cases 19-G-0309 & 19-G-0310 – Gas Rates

Request No.:	NG-12
Requested By:	KEDNY/KEDLI, Revenue Requirements Panel
Information Requested of:	Staff Revenue Requirements Panel
Date of Request:	September 3, 2019
Response Due Date:	September 13, 2019
Date of Response:	September 16, 2019
Name & Position of Respondent:	John Castano, Auditor 2 (Public Utilities)
Subject:	Labor – Payroll Tax and Productivity Adjustments

Question:

1. Please confirm that on Summary of Rate Base Schedule 5 of both Exhibit___(SRRP-1) and Exhibit____(SRRP-2), Staff included the Net Utility Plant Adjustment #8a based on the Company's Supplemental filing of the impact the Northeast Supply Enhancement (NESE) project had on Net Utility Plant.

Response:

1. Staff confirms including the Net Utility Plant Adjustment #8a based on the Company's Supplemental filing of the impact the NESE project had on Net Utility Plant.

Question:

2. Please confirm that on Summary of Depreciation and Amortization Expense, and Amortization of Regulatory Deferrals Schedule 8 of both Exhibit___(SRRP-1) and Exhibit____(SRRP-2), Staff included the Depreciation Adjustment #5 based on the Company's Supplemental filing of the impact the Northeast Supply Enhancement (NESE) project had on Depreciation Expense.

Response:

2. Staff confirms including the Depreciation Adjustment #5 based on the Company's Supplemental filing of the impact the NESE project had on Depreciation Expense.

Question:

3. Please confirm that Staff's Exhibit____(SGIOP-6) for both KEDNY and KEDLI includes Staff's Net Utility Plant and Depreciation Expense Forecast Model inclusive of both Staff's NESE capital adjustments as well as all other capital and depreciation related adjustments.

STAFF OF THE DEPARTMENT OF PUBLIC SERVICE
RESPONSE TO INTERROGATORY/DOCUMENT REQUEST

The Brooklyn Union Gas Company d/b/a National Grid NY
KeySpan Gas East Corporation d/b/a National Grid
Cases 19-G-0309 & 19-G-0310 – Gas Rates

Response to IR NG-12 continued.

Response:

3. Staff confirms Exhibit____(SGIOP-6) for both KEDNY and KEDLI includes Staff's Net Utility Plant and Depreciation Expense Forecast Model inclusive of both Staff's NESE capital adjustments as well as all other capital and depreciation related adjustments.

Question:

4. Please confirm that Staff's Net Utility Plant Forecast Model that supports Exhibit____(SGIOP-6) for both KEDNY and KEDLI reduces Net Utility Plant by $52.952 million for KEDNY and $91.683 million for KEDLI, which represents Staff's Adjustment #23 for KEDNY and #22 for KEDLI.

Response:

4. Staff confirms that the Net Utility Plant Forecast Model as originally filed, that supports Exhibit____(SGIOP-6) for both KEDNY and KEDLI reduced Net Utility Plant by $52.952 million for KEDNY and $91.683 million for KEDLI. However, Staff has corrected and revised its Net Utility Plant Model, which no longer reflects these numbers. Please see the response to IR NG-10, Attachments 5 & 6, which contain the updated adjustments to the Net Utility Plants for KEDNY and KEDLI, respectively.

Question:

5. Please confirm that Staff's Net Utility Plant Forecast Model that supports Exhibit____(SGIOP-6) for both KEDNY and KEDLI reduces Depreciation Expense by $17.546 million for KEDNY and $11.657 million for KEDLI, which represents Staff's Adjustment #19 and for KEDNY and #18 for KEDLI.

Response:

5. Staff confirms that the Net Utility Plant Forecast Model as originally filed, that supports Exhibit____(SGIOP-6) for both KEDNY and KEDLI reduces Depreciation Expense by $17.546 million for KEDNY and $11.657 million for KEDLI, which represents Staff's Adjustment #19 and for KEDNY and #18 for KEDLI. However, Staff has corrected and revised its Net Utility Plant Model, which no longer reflects these numbers. Please see the response to NG-10, Attachments 5 & 6, which contain the updated adjustments to the Net Utility Plants for KEDNY and KEDLI, respectively.

STAFF OF THE DEPARTMENT OF PUBLIC SERVICE
RESPONSE TO INTERROGATORY/DOCUMENT REQUEST

The Brooklyn Union Gas Company d/b/a National Grid NY
KeySpan Gas East Corporation d/b/a National Grid
Cases 19-G-0309 & 19-G-0310 – Gas Rates

Response to IR NG-12 continued.

Question:

6. Please confirm that by Staff included both the NESE Adjustments #8a and #5, as well as the Net Utility Plant Adjustments #19 and #23 for KEDNY and #18 and #22 for KEDLI, Staff is doubling counting the NESE capital related adjustments. If not, please explain.

Response:

6. Staff confirms that by including both the NESE Adjustments #8a and #5, as well as the Net Utility Plant Adjustments #19 and #23 for KEDNY and #18 and #22 for KEDLI, Staff is double counting the NESE capital related adjustments.

Question:

7. If Staff confirms that they have double counted the NESE capital related adjustments in the Exhibits (SRRP-1) and (SRRP-2), please confirm that the exhibits have been understated by the amounts included in Adjustments #8a and #5 for both KEDNY and KEDLI. In not, please explain.

Response:

7. Staff confirms that Exhibit___(SRRP-1), and Exhibit___(SRRP-2), have been understated by the amounts included in Adjustments #8a and #5 for both KEDNY and KEDLI.

STAFF OF THE DEPARTMENT OF PUBLIC SERVICE
RESPONSE TO INTERROGATORY/DOCUMENT REQUEST

The Brooklyn Union Gas Company d/b/a National Grid NY
KeySpan Gas East Corporation d/b/a National Grid
Cases 19-G-0309 & 19-G-0310 – Gas Rates

Request No.:	NG-13
Requested By:	KEDNY/KEDLI Revenue Requirement Panel
Information Requested of:	Staff Policy Panel
Date of Request:	September 3 2019
Response Due Date:	September 13, 2019
Date of Response:	September 13, 2019
Name & Position of Respondent:	Aric Rider, Chief, Consumer Advocacy
Subject:	KEDNY Newtown Creek

Question:

In the Company's response to DPS-972 and DPS-973, the Company stated that the Company had $32.2 million in the plant forecast included in the Company's revenue requirement for the Newtown Creek project, although the current estimate for this project is $37.898 million.

1. Please confirm that Staff increased the Newtown Creek project cost estimate in Exhibit___(SPP-3) to $37.898 million for purposes of calculating the project's revenue requirement in order to impute Staff's $3.281 million revenue adjustment.

Response:

1. Yes.

Question:

2. Please confirm that Staff did not increase the capital forecast in Staff's overall revenue requirement for the Newtown Creek project to the current estimate of $37.898 million reflected in Exhibit___(SRP-2).

Response:

2. Yes, however, this should be corrected.

STAFF OF THE DEPARTMENT OF PUBLIC SERVICE
RESPONSE TO INTERROGATORY/DOCUMENT REQUEST

The Brooklyn Union Gas Company d/b/a National Grid NY
KeySpan Gas East Corporation d/b/a National Grid
Cases 19-G-0309 & 19-G-0310 – Gas Rates

Response to IR NG-13 continued.

Question:

3. Does Staff agree that the current estimate of $37.898 million for the Newtown Creek project should be included in both the revenue requirement for purposes of calculating the imputed revenue adjustment, as well as the Staff's overall revenue requirement reflected in Exhibit____(SRP-2).

Response:

3. Yes.

STAFF OF THE DEPARTMENT OF PUBLIC SERVICE
RESPONSE TO INTERROGATORY/DOCUMENT REQUEST

The Brooklyn Union Gas Company d/b/a National Grid NY
KeySpan Gas East Corporation d/b/a National Grid
Cases 19-G-0309 & 19-G-0310 – Gas Rates

Request No.:	NG-14
Requested By:	Paul Normand and Revenue Requirement Panel
Information Requested of:	Staff Rates Panel
Date of Request:	September 3, 2019
Response Due Date:	September 13, 2019
Date of Response:	September 13, 2019
Name & Position of Respondent:	Mingdi Huang, Utility Engineering Specialist 1
Subject:	Exhibit___(SRP-4) LPP Depreciation

Question:

1. Please provide Exhibit SRP-4 and all supporting calculations in original electronic excel format with all formulae intact and unlocked.

Response:

1. See Response to IR NG-14 (Attachment). This is an updated version of Exhibit___(SRP-4), which includes the corrections discussed in the questions and responses below.

Question:

2. Please explain why Staff Recommendation for KEDNY Account 380.05 of an annual accrual of $2,686,774 included in Exhibit SRP-4 does not agree with the total $533,041 ($5,441 + $527,600) annual accrual reflected in the "Deprec Rates" tab of the Plant Forecast Model supporting Exhibit SGIOP-5 and Exhibit SGIOP-6.

Response:

2. The Staff Recommendation for the annual accrual of KEDNY Account 380.05 of $2,686,774 does not agree with the total annual accrual of $533,041 reflected in the Plant Forecast Model because the Plant Forecast Model utilized an incorrect depreciation rate of 1.73%. The correct depreciation rate is 11.62%.

STAFF OF THE DEPARTMENT OF PUBLIC SERVICE
RESPONSE TO INTERROGATORY/DOCUMENT REQUEST

The Brooklyn Union Gas Company d/b/a National Grid NY
KeySpan Gas East Corporation d/b/a National Grid
Cases 19-G-0309 & 19-G-0310 – Gas Rates

Response to IR NG-14 continued.

Question:

3. Please confirm that Staff's KEDNY Depreciation Adjustment #19(2) in SRRP-2 for a reduction of $16.784 million was calculated by comparing the Company's LPP depreciation proposal of $29.258 million to the $12.474 million included in Staff's Plant Forecast Model that included only $533,041 of depreciation for Account 380.05.

Response:

3. Yes, the reduction of $16.784 million was calculated by comparing the Company's LPP depreciation proposal of $29.258 million to the $12.474 million included in Staff's Plant Forecast Model.

Question:

4. Please confirm and explain KEDNY's Exhibit SRP-4 for Account 380.05 presents $2,686,744 annual depreciation accrual calculated using a 40-year average service life versus the 30-year average service life used for all other accounts with leak prone pipe assets.

Response:

4. Yes, the annual depreciation accrual of $2,686,744 was incorrectly calculated using a 40-year average service life. The Response to IR NG-14 (Attachment) reflects a 30-year average life.

Question:

5. Please explain why Staff did not consistently use a 30-year average service life for all accounts as described in the Staff Rates Panel testimony.

Response:

5. The use of a 40-year average service life was incorrect. Staff's recommendation is to use a 30-year average service life for all accounts, as described in the Staff Rates Panel testimony.

STAFF OF THE DEPARTMENT OF PUBLIC SERVICE
RESPONSE TO INTERROGATORY/DOCUMENT REQUEST

The Brooklyn Union Gas Company d/b/a National Grid NY
KeySpan Gas East Corporation d/b/a National Grid
Cases 19-G-0309 & 19-G-0310 – Gas Rates

Response to IR NG-14 continued.

Question:

6. Please confirm that if Staff used a 30-year average service life for KEDNY Account 380.05 the annual accrual would be $3,580,311 vs. the $2,686,744 presented in SRP-4 and the $533,041 included in Staff's Plant Forecast Model.

Response:

6. Yes, if a 30-year average service life was used in the calculation, the annual accrual would equal $3,580,311 for KEDNY Account 380.05. The Response to IR NG-14 (Attachment) reflects a 30-year average life.

Question:

7. If the $2,686,744 was in error and Staff agrees with the $3,580,311 calculation, please confirm that Staff's annual accrual for KEDNY is understated in the Plant Forecast Model by $3,047,270 (i.e. $3,580,311 - $533,041). If not, explain why.

Response:

7. Yes, the annual accrual for KEDNY is understated by $3,047,270 in the Plant Forecast Model.

STAFF OF THE DEPARTMENT OF PUBLIC SERVICE
RESPONSE TO INTERROGATORY/DOCUMENT REQUEST

The Brooklyn Union Gas Company d/b/a National Grid NY
KeySpan Gas East Corporation d/b/a National Grid
Cases 19-G-0309 & 19-G-0310 – Gas Rates

Request No.:	NG-19
Requested By:	KEDNY/KEDLI, Revenue Requirements Panel
Information Requested of:	Staff Revenue Requirements Panel
Date of Request:	September 4, 2019
Response Due Date:	September 16, 2019
Date of Response:	September 16, 2019
Name & Position of Respondent:	John Castano, Auditor 2 (Public Utilities)
Subject:	Cost Sharing Agreement

Question:

Does Staff agree that account C186122 – Cost Sharing Agreement was included in the rate base in determining the Historic Test Year earnings base adjustment? Does Staff agree that it would be inconsistent to remove a rate base item from the forecast and not the reflect the same adjustment to the Historic Test Year earnings base adjustment? If not, please explain why it would not be?

Response:

Staff agrees that account C186122 – Cost Sharing Agreement was included in the rate base in determining the Historic Test Year earnings base adjustment.

Staff agrees that when removing account C186122 from the Rate Year rate base forecast, Staff should have made a corresponding adjustment, to remove the Historic Test Year amount from the Historic Test Year earnings base.